Start here

IIM KOZHIKODE · BMS 01 · ORGANISATIONAL BEHAVIOUR · MID-TERM

OB made simple: Modules 1–5, one idea per slide 📘



M1
Intro · Ethics · Problem solving



M2
Values & Attitudes



M3
Emotions & Perception



M4
Motivation



M5
Positive OB

Every slide is read in the same order: ① **big idea** → ② **picture** → ③ **key points** → ④ **how to use it in the exam**.
Stars tell you priority: ★★★ **must know** · ★★ **important** · ★ **if time**. Each slide shows the 📖 **book page** where it lives.

How to read every slide (same layout every time)

Title of the idea ★★★ 📖 p.174

① **BIG IDEA (one sentence)**



② **PICTURE**



③ **KEY POINTS**

④ **IN THE EXAM (case link)**

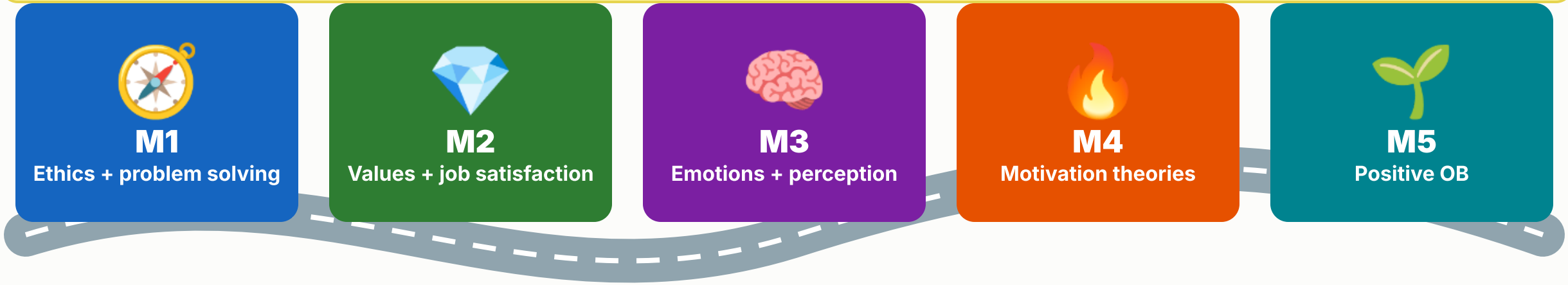
1. **Read the BIG IDEA**
   If you remember only one line, it's this one.
2. **Look at the PICTURE**
   It shows the theory as a shape: a scale, a ladder, a pyramid.
3. **Skim the KEY POINTS**
   3–5 facts. You don't memorise these: the book has them.
4. **Note the EXAM link**
   Which case or question this theory answers.

Each module starts with a **ROADMAP** slide listing its slides in reading order. **Short on time? Read only the ★★★ slides.**

START HERE

Your exam in one picture: 5 modules, 7 cases/readings

1 **Mid-term = Modules 1–5. Each module has a case. Your job: explain the case using the module's theories.**



📄 R1 Indiana DOR · R2 Carucci

📄 McKinsey 'Great Attrition'

📄 R3 · Prudence · Yelp

📄 Orix Geoscience

📄 Southwest Airlines

📖 **Open book:** you may carry ONLY the textbook. So mark it tonight (see the Visual Book Guide).

✍️ **Questions are open-ended & case-based:** apply 2–4 theories to the case. Copying definitions earns little.

START HERE

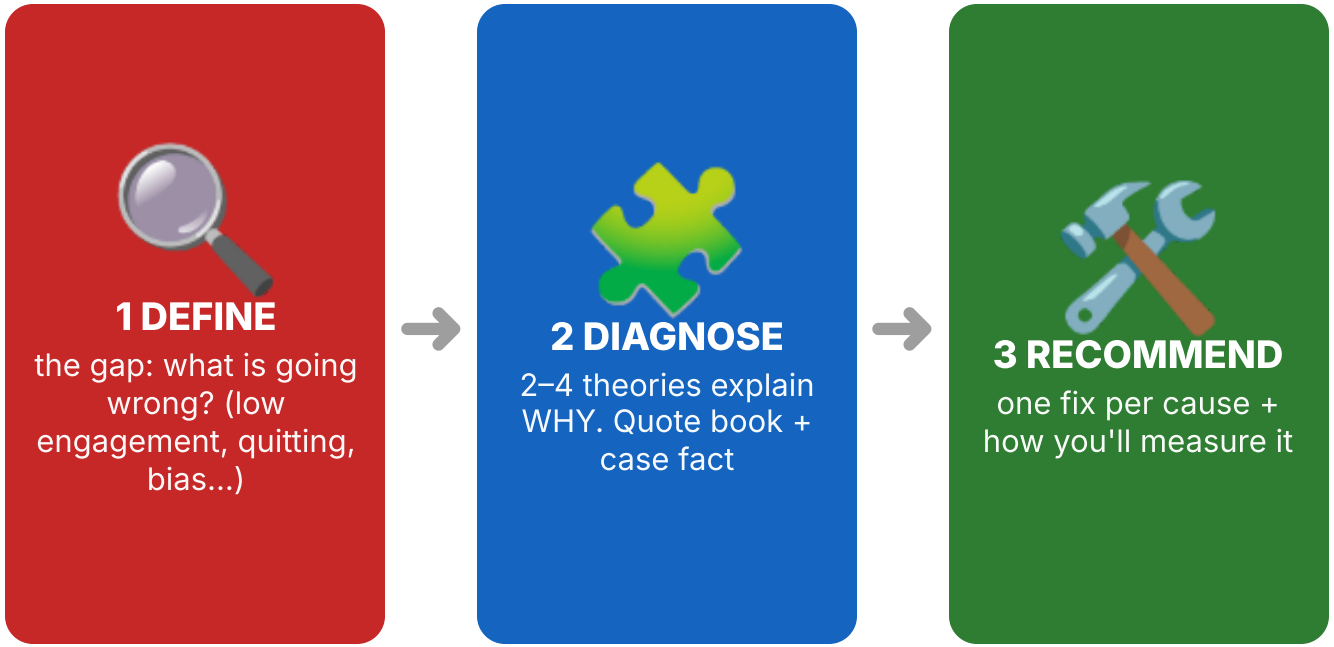
The ONE answer method: use it for every case question

★★★ MUST KNOW

📖 Book p.21-22, 27

1 **Every answer = ① what's the problem ② why is it happening (theory) ③ what should be done. That's it.**

2 THE 3 STEPS



3 KEY POINTS

1. Write one paragraph per theory: **theory → case fact → so what**
2. Cite the page: 'Herzberg (Kinicki, p.175) ...'
3. Sort causes: person vs situation; individual / group / organisation
4. End with an ethics check and how success is measured

4 **IN THE EXAM:** Example opener: 'The core problem at Orix is a possible fairness gap as it grows. Herzberg (p.175) explains...'

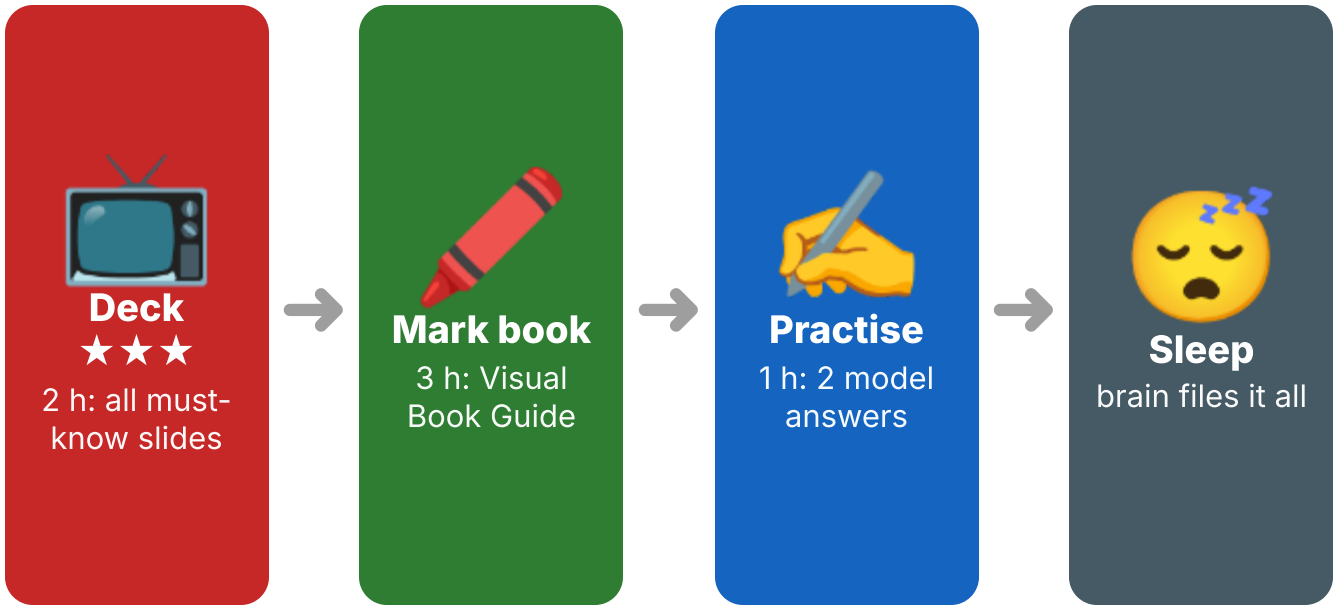
START HERE

Tonight's plan (about 7 hours)

★★ IMPORTANT

1 **Understand the ideas from the slides, then mark your book so you can FIND them tomorrow. Don't memorise.**

2 THE PLAN



3 KEY POINTS

1. Do ★★★ slides first in every module
2. Mark the book module by module, right after its slides
3. Practise with Toolkit slides (Orix model answer)
4. Short on time? ★★★ slides + ★★★ book pages only

4 **IN THE EXAM:** In the hall: read the case → pick theories from the Toolkit matcher → flip to the tab → write.

Module 1 roadmap: Intro, Ethics & Problem Solving

★ **Module 1 gives you the TOOLS (3-step method, person vs situation, Organizing Framework) you'll use in every other module.**

7 **What is OB? The study of people at work** + detail ★★

9 **Why OB is NOT just common sense** + detail ★

11 **What managers do + skills that get you promoted** + detail ★

13 **Ethics: why it matters for performance** + detail ★★

15 **Why good people act unethically: 5 causes (Table 1.2)** + detail ★★★

17 **Indian ethics cases in the book:** ★★

19 **What YOU can do when you see unethical conduct** + detail ★

21 **The 3-Step Problem-Solving Approach** + detail ★★★

23 **Person vs Situation: two sources of every behaviour** + detail ★★★

25 **The Organizing Framework: Inputs → Processes → Outcomes** + detail ★★★

27 **Choosing a solution: resolve, solve or dissolve?** + detail ★

29 **Behavioural problems: diagnose,** ★★

31 **People management: Starbucks manager 'Alex'** + detail ★★

33 **R1: Indiana Dept. of Revenue: a culture turnaround** + detail ★★★

35 **R1: Schein's 3 levels of culture (how DOR changed)** + detail ★★

37 **R2: Getting to the bottom of destructive behaviours** + detail ★★

39 **HR-OB success vs failure: Infosys vs Jet Airways** + detail ★

⚡ **Fast path:** read slides **15–16, 21–22, 23–24, 25–26, 33–34** first, then the rest.

Numbers = slide numbers. Each topic: 🖼️ picture slide, then 📚 full-detail slide. ★★★ **must know: read first** ★★ **important** ★ **if time**

What is OB? The study of people at work

★★ IMPORTANT

📖 Book p.4

1 **OB studies how individuals, groups and the organisation's structure shape behaviour at work, to make organisations work better.**

2 3 LEVELS OF OB



3 KEY POINTS

1. **Robbins**: individuals, groups & structure → org effectiveness
2. **Luthans**: understand, predict, control behaviour
3. Draws on psychology, sociology, anthropology, political science
4. **Contingency approach**: no one best way, it depends on the situation

4 **IN THE EXAM:** Opening line for any 'why study OB' question: 60–80% of org problems come from strained relationships, not lack of skill.

What is OB? The study of people at work (full detail)

📚 FULL DETAIL

📖 Book p.4

📖 **BOOK DEFINITION (Kinicki p.4):** *Organizational behavior (OB) describes an interdisciplinary field dedicated to understanding and managing people at work.*

📚 Three classic definitions

- **Robbins:** 'a field of study that investigates the impact that individuals, groups and structure have on behavior within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness'
- **Luthans:** OB is 'directly concerned with the understanding, prediction, and control of human behavior in organizations'
- **Organisation** = a consciously coordinated social unit of 2+ people, functioning on a relatively continuous basis to achieve common goals

🧩 Breaking Robbins down

- A **field of study**: a distinct area of expertise
- Studies **3 determinants**: individuals, groups, structure
- **Why**: apply knowledge to make organisations work more effectively
- Core topics: motivation, leadership, power, communication, groups, conflict, work design, stress

⭐ Features of OB (class PPT)

- Behavioural approach to management
- Body of theory, research & application
- Human tool for human benefit
- Influenced by other disciplines
- 3 levels of analysis
- Action-oriented & goal-directed
- Both science and art
- Fulfils organisational needs; systematic, not intuition

🎯 Goals & significance

- **Explain, predict and control** human behaviour
- Increase employee & organisational effectiveness
- Significance: understand self & others · motivation · effective communication · healthy climate · good HR relations
- 60–80% of org difficulties stem from strained relationships, not skill/motivation deficits (Dana, 2005)

🔬 Contributing disciplines

- **Psychology**: measures, explains, changes individual behaviour
- **Sociology**: people in relation to others; groups, org systems
- **Social psychology**: influence of people on one another
- **Anthropology**: societies, culture
- **Political science**: individuals & groups in political settings
- Book adds: economics, ethics, management, neuroscience, org theory, vocational counselling

🔀 Contingency approach (p.5)

- **No single best way** to manage people, teams or organisations
- Use the OB concepts and tools that best suit the situation
- Christensen: widely accepted principles are only situationally appropriate; 'don't use a hammer if not all problems are nails'
- Requires **self-awareness**: knowing your skills, values, weaknesses and how others see you

🔗 **CASE LINKS / USE IN ANSWER:** Opening line for 'why study OB': most problems are people problems (Dana 2005). Fortune-500 executives fail mostly due to poor interpersonal skills (class PPT).

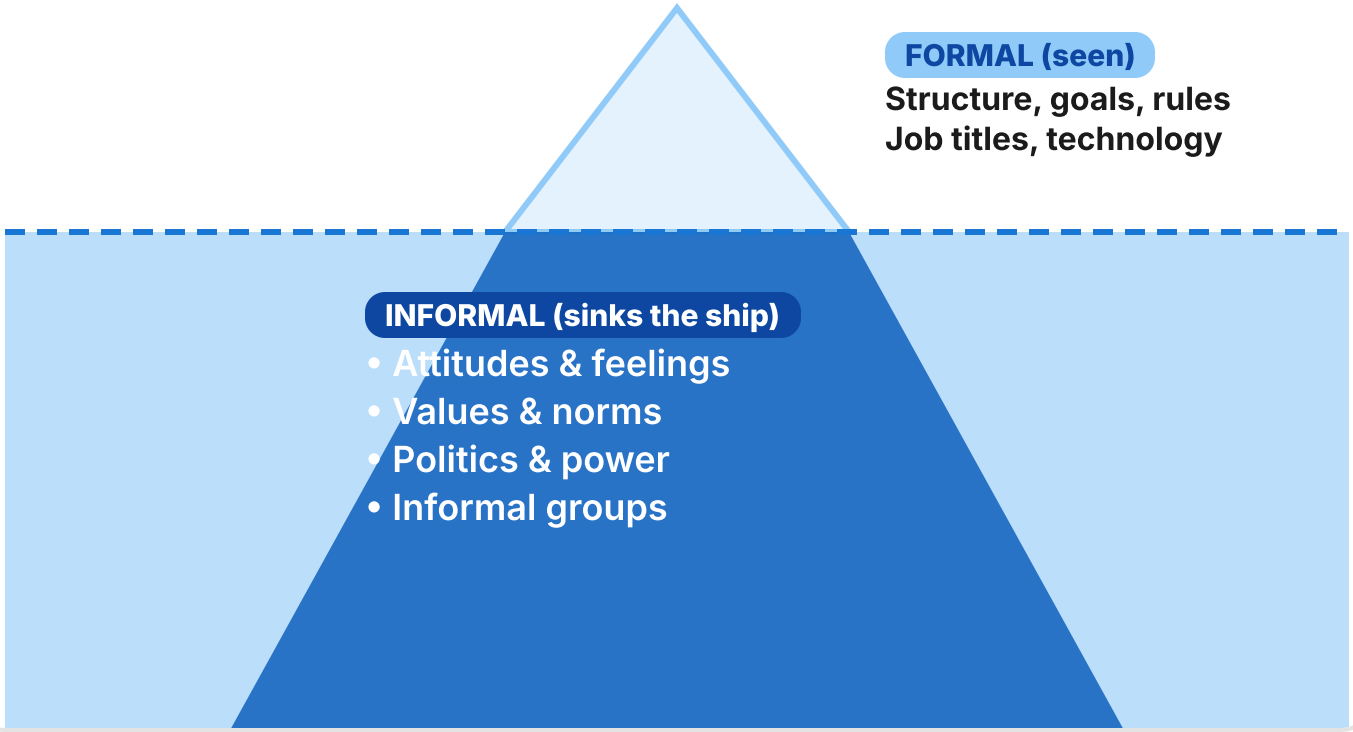
Why OB is NOT just common sense

★ GOOD TO KNOW

📖 Book p.7

1 **Common sense relies on hindsight and gut feel. OB uses evidence, so it sees what's hidden below the surface.**

2 THE ORGANISATIONAL ICEBERG



3 KEY POINTS

1. Common sense fails: **hindsight**, **no rigor**, **no objectivity**
2. Intuition = feeling not backed by research
3. Preconceived notions ≠ facts
4. The hidden part of the iceberg causes most problems

4 **IN THE EXAM:** Use to argue why a manager must diagnose (not guess) in a case.

Why OB is NOT just common sense (full detail)

📚 FULL DETAIL

📖 Book p.7

📖 **BOOK DEFINITION (p.7):** *Common sense is largely based on experience or logic, both of which have limits... OB is a scientific means for overcoming the limits and weaknesses of common sense.*

⚠️ Common sense's 3 weaknesses (p.7)

- **Overreliance on hindsight**: works only in well-known, stable situations; lacks vision for a complex, changing future
- **Lack of rigour**: comfortable answers skip the effort needed to analyse; you misidentify the true causes
- **Lack of objectivity**: overly subjective; can't explain or justify reasoning to others

🧪 Intuition vs systematic study (PPT)

- **Intuition** = a feeling not necessarily supported by research
- **Systematic study** = looking at relationships, attributing causes and effects, drawing conclusions from scientific evidence
- Provides a means to **predict** behaviour
- 'Preconceived notions ≠ facts'

🧊 Organisational iceberg (Hellriegel, Slocum & Woodman)

- 'What sinks a ship isn't always what sailors can see, but what they can't see'
- **Visible / formal**: goals, structure, technology, policies, job titles, financial resources
- **Hidden / informal**: attitudes, perceptions, values, feelings, group norms, informal interactions, politics, conflict
- Most behavioural problems live below the waterline

❓ Myths challenged in class

- AI can lead organisations / replace human beings
- Organisational decisions are always rational
- HRM is a myth
- Innovations are only technology-driven
- Technology is the key to success
- → OB shows people & relationships still drive results

🌍 Why systematic study is needed NOW

- Workforce **diversity** and changing demographics
- **Global** competition and foreign assignments
- **Technology's** influence on behaviour
- Social change: temporariness, networked organisations, work-life conflict
- Need to improve people skills, empower people, stimulate innovation, improve ethics

🔗 **CASE LINKS / USE IN ANSWER:** In a case: argue the manager acted on 'common sense' (e.g., Alex: 'just work faster') instead of diagnosing hidden causes below the iceberg line.

What managers do + skills that get you promoted

★ GOOD TO KNOW

📖 Book p.8-10

1 **Managers get results THROUGH people. Technical skill gets you hired; people skill gets you promoted.**

2 POLC + SKILLS



Plan
set goals



Organise
assign tasks



Lead
motivate, resolve conflict



Control
monitor, correct



Technical skill
matters less as you rise



Human skill
matters more as you rise

3 KEY POINTS

1. 4 functions: **Plan, Organise, Lead, Control (POLC)**
2. Katz: **technical, human, conceptual** skills
3. Hired for technical skill; **promoted for managing people**
4. Soft skills = how you do it; hard skills = what you do

4 **IN THE EXAM:** Starbucks 'Alex' managed tasks, not people → team fell apart (people-management handout).

What managers do + skills that get you promoted (full detail)

📚 FULL DETAIL

📖 Book p.8-10

🎓 **CLASS DEFINITION (class PPT):** *Managers: individuals who achieve goals through other people. They make decisions, allocate resources and direct the activities of others to attain goals.*

📋 4 management functions (POLC)

- **Planning**: defining goals, establishing strategy, developing plans to coordinate activities
- **Organising**: what tasks, who does them, how grouped, who reports to whom, where decisions are made
- **Leading**: motivating employees, directing others, choosing communication channels, resolving conflicts
- **Controlling**: monitoring activities and correcting significant deviations

🛠️ Katz's 3 management skills

- **Technical**: apply specialised knowledge or expertise
- **Human**: work with, understand and motivate people, individually and in groups
- **Conceptual**: mental ability to analyse and diagnose complex situations
- Fig 1.1 (p.10): technical skills **fall** and personal skills **rise** with job level

📊 Luthans: 4 managerial activities

- Traditional management: decisions, planning, controlling
- Communication: routine info, paperwork
- HRM: motivating, disciplining, conflict, staffing, training
- Networking: socialising, politicking
- **Successful** (fast-promoted) managers network most; **effective** managers communicate most

💼 Hard vs soft skills (p.7-8)

- **Hard skills** = technical expertise for a job (financial analysis, accounting)
- **Soft skills** = interpersonal skills + personal attributes: 'hard skills are what you do, soft skills are how you do it'
- Soft skills are **portable** across jobs and levels
- Table 1.1 most-wanted: problem solving, critical thinking, creativity, people management

🚀 Hired vs promoted (p.9-10)

- **Hired for**: technical skills, major, GPA, internships, ability to do the job
- **Promoted for**: ability to manage people, strong team skills, building relationships
- ManpowerGroup: **61%** of employers rate people (OB) skills most important
- Self-awareness: only 10–15% truly self-aware; build via mindfulness, timeouts, listening, diary, self-assessments, feedback

🔗 Common thread

- Functions, roles, skills and activities all stress **managing people**: the 'leading function', 'interpersonal roles', 'human skills', 'HRM'
- → managers must develop people skills to be both effective and successful

🔗 **CASE LINKS / USE IN ANSWER:** Starbucks 'Alex' = strong on planning/controlling targets, weak on leading & human skills. Hiring vs promotion → Rahul Verma (p.125) was passed over for weak visibility/people skills.

Ethics: why it matters for performance

★★ IMPORTANT

📖 Book p.11, 14, 16

1 **Unethical behaviour destroys trust and performance, and most of it is perfectly LEGAL, so the law won't protect you.**

2 4 IDEAS



Damages trust
harder to influence or do business



Hurts performance
less cooperation & loyalty



Unethical ≠ illegal
most unethical acts are legal



Ethical dilemma
2 choices, NEITHER is ethical

3 KEY POINTS

1. Employees face ethical challenges at every level
2. Indian cases: **Satyam, PNB (Nirav Modi), Kingfisher**
3. Dilemma example: #MeToo whistle-blowing
4. Good people + bad environment = misconduct

4 **IN THE EXAM:** Define 'ethical dilemma' word-for-word from p.16. Jet Airways collapse = OB-HR failure.

Ethics: why it matters for performance (full detail)

📚 FULL DETAIL

📖 Book p.11, 14, 16

📖 **BOOK DEFINITION (p.16):** *Ethical dilemmas are situations with two choices, neither of which resolves the situation in an ethically acceptable manner.*

❗ 3 reasons ethics gets priority (p.11)

- 1 Employees are confronted with ethical challenges at all levels and throughout their careers
- 2 Unethical behaviour **damages relationships, erodes trust**, making it hard to influence others and do business
- 3 Unethical behaviour **reduces cooperation, loyalty and contribution**, hurting individual, team and org performance
- Reward systems, decision making, leader behaviour and culture all challenge ethical standards

⚖️ Unethical does NOT mean illegal (p.14)

- Very few unethical acts are illegal; most go unpunished; even illegal ones are rarely prosecuted
- So **don't rely on the legal system** to assure ethical conduct
- Conflicts of interest are common and mostly legal (Dr José Baselga hid pharma payments)
- Southwest mechanics' 2019 slowdown: legal but ethically questionable (~100 flights/day cancelled)

🇮🇳 Indian ethical lapses (table p.14)

- **Satyam** (2009, Ramalinga Raju): inflated revenue & cash; India's largest accounting fraud
- **Harshad Mehta** (1992): stock market scam
- **PNB** (2018, Nirav Modi & Mehul Choksi): fraudulent Letters of Undertaking via SWIFT
- **ABG Shipyard** (2017): cheated a 28-bank consortium
- **Kingfisher** (2010–16, Vijay Mallya): fraud & mismanagement, massive debts

🏃 Cheating everywhere (p.11-13)

- Sports: match-fixing (Azharuddin), doping, age fraud in Indian football clubs
- Students: 51% of US high-schoolers cheat on exams; 16% paid for an assignment (contract cheating)
- Business: VW, Nissan, Mitsubishi emissions cheating; US college admissions scandal ($25M)
- Resumes: 85% of employers catch lies (Fig 1.2)

🤔 Ethical dilemmas: examples

- **#MeToo**: speak out (career risk) or stay silent (behaviour continues)
- **Pharma pricing**: profit for R&D vs denying life-saving medicine
- Working at SAC Capital, Enron, Theranos taints even innocent employees' careers
- Good people + bad environment = misconduct

🔗 **CASE LINKS / USE IN ANSWER:** Jet Airways collapse = OB-HR ethics failure (unfair pay, poor communication). Use p.16 definition verbatim for any 'dilemma' question; Prudence's family-vs-career choice is a dilemma.

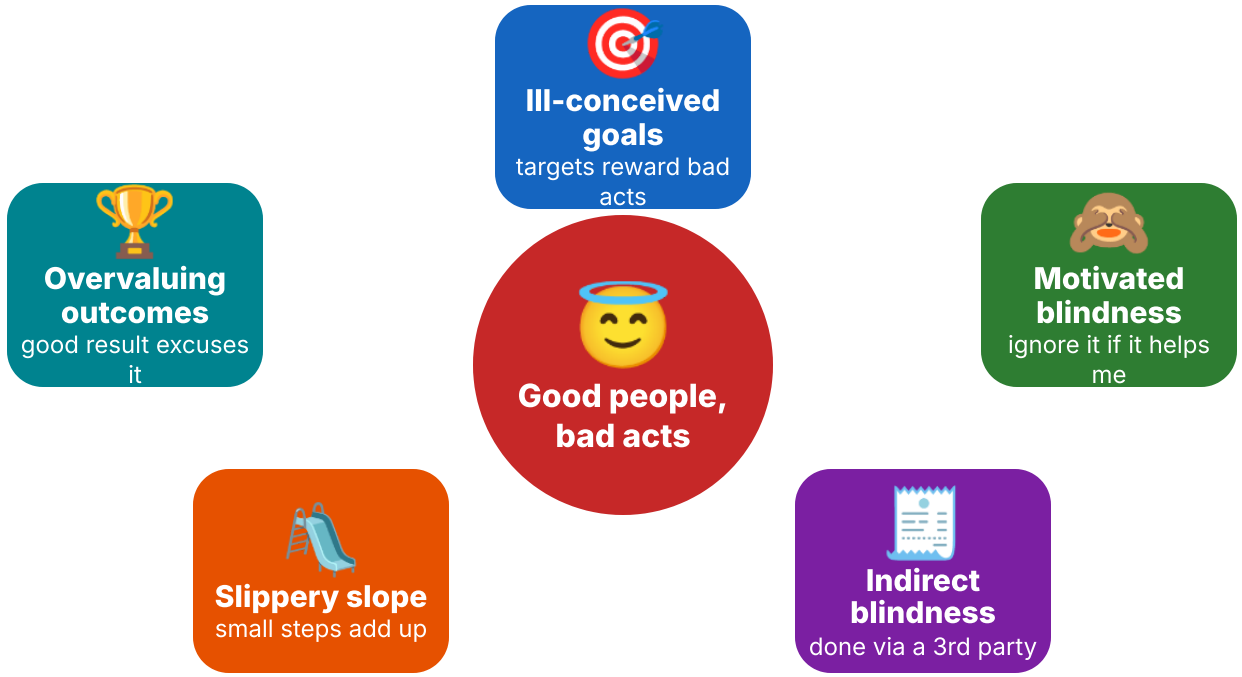
Why good people act unethically: 5 causes (Table 1.2)

★★★ MUST KNOW

📖 Book p.18

1 **Most unethical acts aren't done by villains. Bad goals, blind spots and slow drift push ordinary people over the line.**

2 THE 5 CAUSES



3 KEY POINTS

1. Each cause has an example + remedy in Table 1.2
2. Remedy for goals: think of side-effects; reward **process** not just results
3. Other causes: supervisor pressure, rewards, no consequences
4. Peer behaviour = strongest predictor of cheating

4 **IN THE EXAM:** Bank of Baroda app scam = ill-conceived goals. Satyam = slippery slope + overvaluing outcomes.

Why good people act unethically: 5 causes (Table 1.2) (full detail)

📚 FULL DETAIL

📖 Book p.18

📖 **BOOK DEFINITION (Bazerman & Tenbrunsel, p.18):** *While criminally minded people exist in the workplace, most employees are good people with good intentions... cognitive biases and organizational practices blind managers to the unethical behavior of others.*

🎯 1 Ill-conceived goals

- **What**: goals & incentives set to promote good behaviour encourage a negative one
- **Example**: pressure to maximise billable hours in accounting, consulting and law firms → unconscious padding
- **Remedy**: brainstorm unintended consequences; consider alternative goals more important to reward

🙈 2 Motivated blindness

- **What**: we overlook others' unethical behaviour when it's in our interest to remain ignorant
- **Example**: baseball officials failed to notice they'd created conditions encouraging steroid use
- **Remedy**: root out conflicts of interest; awareness alone doesn't remove their effect

🧾 3 Indirect blindness

- **What**: we hold others less accountable when the act is carried out through third parties
- **Example**: drug company sells rights to another firm, which then raises the price
- **Remedy**: when outsourcing, ask if it invites unethical behaviour and own the implications

🛝 4 Slippery slope

- **What**: we fail to see unethical behaviour that develops gradually
- **Example**: auditors accept a client's questionable statements if infractions accrued slowly
- **Remedy**: be alert to even trivial infractions and address them immediately

🏆 5 Overvaluing outcomes

- **What**: we give a pass to unethical behaviour if the outcome is good
- **Example**: a researcher whose fraudulent trial saves lives is judged more ethical than one whose trial causes deaths
- **Remedy**: examine 'good' and 'bad' decisions alike; reward solid processes, not just outcomes

➕ Other causes (p.18)

- Personal motivation to perform ('I must be No. 1')
- Pressure from a supervisor to reach unrealistic goals, with threats
- Reward systems that honour unethical behaviour
- Perception of little or no consequences
- Students: **peer behaviour** = strongest predictor of cheating, then penalty severity & chance of being reported

🔗 **CASE LINKS / USE IN ANSWER:** Bank of Baroda (p.17) = ill-conceived goals + supervisor pressure. Satyam (p.15) = slippery slope + overvaluing outcomes. VW (p.188) = impossible targets. Answer template: cause → example → remedy.

Indian ethics cases in the book: Satyam & Bank of Baroda

★★ IMPORTANT

📖 Book p.15, 17

1 **Both show the same pattern: pressure for numbers + nobody questioning it = scandal.**

2 THE STORIES

1	2	3	4
			
Satyam: chairman inflates revenue & cash for years	₹7,000 crore fake assets; stock falls 80%	Bank of Baroda: staff given aggressive app-signup targets	Staff add fake mobile numbers; RBI stops onboarding

3 KEY POINTS

1. Satyam (2009): slippery slope, motivated blindness
2. BoB (2023): ill-conceived goals + supervisor pressure
3. Fix: realistic goals, reward process, whistle-blower channels

4 **IN THE EXAM:** Strong Indian examples for any ethics or goal-setting question.

Indian ethics cases in the book: Satyam & Bank of Baroda (full detail)

📚 FULL DETAIL

📖 Book p.15, 17

🏢 Satyam scandal (OB in Action, p.15)

- 7 Jan 2009: chairman **B. Ramalinga Raju** confessed by letter to inflating cash balances, revenues and profits for years
- Thousands of fake assets ≈ **₹7,000 crore**; manipulation began as early as **2001**
- Stock fell **>80% in one week**; clients suspended projects; employees faced job insecurity
- Government replaced the board (11 Jan 2009) and appointed new leadership
- Led to stricter auditing, compulsory independent directors, stronger oversight

🏦 Bank of Baroda 'bob World' scam (p.17)

- Reported 11 July 2023: customer accounts linked to unregistered mobile numbers to fraudulently enrol them on the app
- Bhopal-zone staff told (24 Mar 2023) to report at **7 a.m.**; given **aggressive targets** with no breathing space
- Some staff entered numbers of non-existent customers to hit quotas
- **10 Oct 2023: RBI** ordered BoB to stop onboarding new customers; bank tightened verification
- Lesson: digital ambition outran governance & customer-centric ethics

❓ Book's reflection questions

- Satyam: what controls, board practices or audits could have caught it earlier?
- Satyam: as a top manager, how would you rebuild employee & client trust?
- BoB: what can employers do to encourage whistle-blowers?
- BoB: redesign onboarding so it is fast AND ethical
- BoB: which cultural/structural elements drive unethical target-driven behaviour?

🧠 OB analysis (use in answers)

- Satyam: **slippery slope**, **overvaluing outcomes**, **motivated blindness** of auditors/board
- BoB: **ill-conceived goals** + supervisor pressure + reward for numbers → cognitive dissonance → rationalising
- Fixes: realistic SMART goals, reward process, whistle-blower protection, ethical climate, independent oversight
- Link to goal-setting risks (p.188) and CWB (p.67)

🔗 **CASE LINKS / USE IN ANSWER:** Both cases fit any question on unethical behaviour, goal setting gone wrong, or organisational culture. Mention dates and numbers for credibility.

What YOU can do when you see unethical conduct

★ GOOD TO KNOW

📖 Book p.20

1 **Speaking up is part of the job. Frame it as business and bring a solution, not just a complaint.**

2 6 ACTIONS

- 💼 **Treat it as business**
- ✅ **It's part of your job**
- ❓ **Challenge the rationale**
- 🐣 **Use junior status** — 'I'm new, maybe I missed...'
- 🔭 **Long-term consequences**
- 💡 **Suggest a solution**

3 KEY POINTS

1. 6 practical actions (p.20)
2. Useful in the RECOMMENDATIONS part of an ethics answer

4 **IN THE EXAM:** Recommendation paragraph: 'Employees should be encouraged to challenge the rationale and propose solutions (p.20)'.

What YOU can do when you see unethical conduct (full detail)

📚 FULL DETAIL

📖 Book p.20

📖 **BOOK DEFINITION (p.20):** *Whether at work or school, some people don't see the harm. Accept that confronting ethical concerns is part of your job.*

1 Recognise it's business: treat it that way

- Ethics affects costs, revenues and employee development; argue against misconduct as you would against any business risk

2 Accept that confronting ethics is part of your job

- In your job description or not, ethics is everyone's job; if something is questionable, act

3 Challenge the rationale

- Ask: 'If what you did is common practice or OK, then why is there a policy forbidding it?'
- Or: 'Would you explain this in a meeting with your boss or on the evening news?'

4 Use lack of seniority as an asset

- Being junior lets you say: 'Because I'm new, I may have missed something, but this seems out of bounds...'

5 Consider & explain long-term consequences

- Many lapses are driven by short-term gains; frame the issue in long-term costs

6 Suggest solutions, not just complaints

- You'll be seen as more helpful and taken more seriously; harder for others to ignore your complaint

🔗 **CASE LINKS / USE IN ANSWER:** Use these 6 as RECOMMENDATIONS in ethics answers (BoB staff, Satyam employees). Self-Assessment 1.2: idealistic vs relativistic ethics.

The 3-Step Problem-Solving Approach

★★★ MUST KNOW

📖 Book p.21-22

1 **A problem = the GAP between what you want and what you have. Close it in 3 steps.**

2 THE 3 STEPS



1 DEFINE
desired vs actual. Ask 'why is this a problem?'

→



2 CAUSES
use OB theories. Ask 'why/how does this cause it?'

→



3 RECOMMEND
map each fix to a cause; act

3 KEY POINTS

1. Einstein: '59 minutes defining, 1 minute solving'
2. Don't jump to causes: start from facts
3. Ask 'why?' several times to reach the root cause
4. Good recommendations remove causes → problem disappears

4 **IN THE EXAM:** This IS the structure of your exam answers. Write the 3 steps as headings.

The 3-Step Problem-Solving Approach (full detail)

📚 FULL DETAIL

📖 Book p.21-22

📖 **BOOK DEFINITION (p.21):** *A problem is a difference or gap between an actual and a desired state or outcome, and problem solving is a systematic process for closing such gaps.*

🎯 Step 1: Define the problem

- Most people identify problems reactively → snap judgements, common sense, wrong definition → wrong causes → ineffective solutions
- Einstein: 'If I had one hour to save the planet, I would spend 59 minutes defining the problem and one minute resolving it'
- **Tip**: define in terms of desired outcomes; test with 'Why is this a problem?'; start from facts/evidence
- Example: disengagement shown by not helping coworkers, not answering after-hours emails

🔬 Step 2: Identify causes using OB concepts

- Essential: identify the right underlying causes; the more OB you know, the more causes you can test
- **Tip**: test each cause with 'Why or how does this cause the problem?'
- Example: disengaged because of an unfair performance review → feels unappreciated → won't go the extra mile
- Ask 'why' repeatedly to reach root causes

🗺️ Step 3: Recommend and (if appropriate) act

- **Tip**: map recommendations onto causes, which are linked to the problem
- Good recommendations remove/improve causes → problem solved or mitigated
- Example: fix unfair reviews with multiple raters (peers + self, Ch 6)
- Chapter 11: this is an abbreviated version of rational decision making

🧰 Using it with the Organizing Framework (p.29)

- Step 1: problems = gaps in **outcomes** at any of the 3 levels
- Step 2: causes = **inputs** (person/situation) or **processes** (indiv/group/org)
- Step 3: recommendations target inputs/processes
- Bezos defines his problem as superior customer service, not quarterly numbers

🔗 **CASE LINKS / USE IN ANSWER:** Use these 3 steps as HEADINGS in every case answer. Book applies it to McDonald's harassment (p.51), Uber (p.107), Walmart (p.176), symphony strike (p.185).

Person vs Situation: two sources of every behaviour

★★★ MUST KNOW

📖 Book p.24-25

1 **Behaviour comes from the PERSON (traits, values) interacting with the SITUATION (boss, job, culture). Always check both.**

2 TWO SOURCES



PERSON factors

- Personality
- Values & attitudes
- Skills & intelligence
- Emotions

×



SITUATION factors

- Manager & leadership
- Job design & rewards
- Culture & coworkers
- Economy, family

3 KEY POINTS

1. **Interactional perspective**: behaviour = person × situation
2. People change situations; situations change people
3. Managers control situation factors more easily

4 **IN THE EXAM:** In a case, list causes under two headings: person and situation. Instant structure!

Person vs Situation: two sources of every behaviour (full detail)

📚 FULL DETAIL

📖 Book p.24-25

📖 **BOOK DEFINITION (p.24):** *The interactional perspective states that behavior is a function of interdependent person and situation factors.*

🧍 Person factors

- 'The infinite characteristics that give individuals their unique identities'
- Affect goals, plans, how plans are executed, level of achievement
- Examples: personality, values, attitudes, intelligence, skills, emotions, needs
- Part One of the book (Ch 1–7) is about person factors

🏗️ Situation factors

- 'All the elements outside us that influence what we do, the way we do it, and the ultimate results'
- Help or hinder outcomes: job satisfaction, performance, turnover
- Examples: manager, coworkers, rewards, job design, culture, economy, family
- Parts Two & Three of the book cover situation factors

🔄 People & situations are dynamic (p.25)

- People bring abilities, goals, experiences that **change situations**
- Situations (opportunities, rewards, coworkers) **change people**
- Job markets change (tech bubble vs Great Recession)
- Your manager changes you; you can 'manage up' and influence your manager

📉 Downsizing example (p.25)

- Same event (20% layoff), different reactions: one person relieved (planned grad school), two devastated
- Person factors explain the difference; industry/economy = situation factors
- 'Different people may perceive similar situations in different ways and similar people may perceive different situations in the same way'

🔍 Applying levels to a turnover problem (p.26)

- **Person**: do leavers share a trait? **Situation**: better job market?
- **Individual**: job boring? **Group**: new micromanaging boss?
- **Organisational**: restructuring, desirable jobs moved to HQ?
- → widens focus and reveals more possible causes

🩺 Behavioural-problem diagnosis (handout)

- 'Lazy' employee: check personality, perception of change, attitude/trust, motivation/rewards, emotions, group ties, leader, culture
- Causes: individual · job · leadership · group · organisation · external (family, economy)

🔗 **CASE LINKS / USE IN ANSWER:** Sort causes in ANY case under 'Person' and 'Situation'. Prudence: imposter syndrome (person) vs stereotypes & motherhood penalty (situation). DOR: same staff, new leaders → new behaviour.

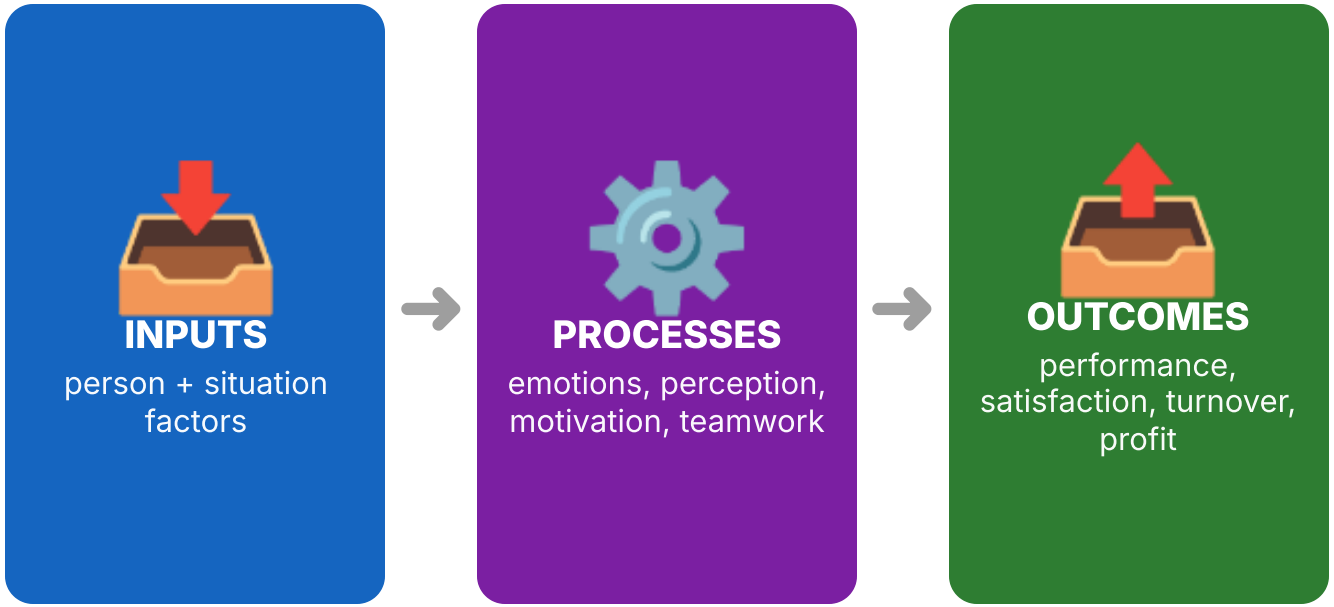
The Organizing Framework: Inputs → Processes → Outcomes

★★★ MUST KNOW

📖 Book p.27

1 **Every OB topic fits one box: INPUTS cause PROCESSES, which produce OUTCOMES. Problems show up as outcomes; causes hide in inputs and processes.**

2 THE FRAMEWORK



3 KEY POINTS

1. 3 levels: individual, group/team, organisation
2. Feedback loop: today's outcomes are tomorrow's inputs
3. Problem = gap in an OUTCOME
4. Causes = INPUTS or PROCESSES

4 **IN THE EXAM:** Draw this 3-box diagram in a long answer to show structure. Mars Inc. (p.28) is the book's example.

The Organizing Framework: Inputs → Processes → Outcomes (full detail)

📚 FULL DETAIL

📖 Book p.27

📖 **BOOK DEFINITION (p.27):** *The foundation of the Organizing Framework is a systems model wherein inputs influence outcomes through processes.*

📥 INPUTS

- **Person factors**: personality, values, attitudes, intelligence, EI, needs, PsyCap
- **Situation factors**: leadership, job design, rewards, culture, climate, HR practices
- Initial drivers of all outcomes
- More person factors than situation factors → look at person factors when searching for causes

⚙️ PROCESSES (3 levels)

- **Individual**: emotions, perception, attributions, motivation, decision making
- **Group/team**: group dynamics, communication, conflict, team processes
- **Organisational**: communication, culture processes, change
- Leadership can be both an input and a process

📤 OUTCOMES (3 levels)

- **Individual**: task performance, work attitudes, well-being/flourishing, OCB/CWB, turnover, career outcomes
- **Group/team**: group performance, satisfaction, cohesion
- **Organisational**: financial performance, customer satisfaction, survival, reputation

🔁 Feedback loops & why it matters

- Outcomes at one time affect inputs & processes later (feedback loops at the bottom of Fig 1.3)
- Two purposes: (1) organise concepts into causally related categories, (2) solve problems
- Each chapter opens & closes with its own version; Fig 1.4 shows the full framework (great revision map)

🍫 Applying OB: Mars Inc. (p.28-29)

- Inputs: no perks, everyone punches a time clock, docked 10% if late; but strong 'Five Principles' (quality, responsibility, mutuality, efficiency, freedom)
- Processes: family culture, 3 generations working there; bonuses 10–100% of salary; volunteering
- Outcomes: ~5% turnover, Fortune 100 Best (#98), steady growth

🔗 **CASE LINKS / USE IN ANSWER:** Draw Inputs → Processes → Outcomes in long answers. Orix: inputs (O-Code, custom pay) → processes (equity comparisons, engagement) → outcomes (retention, growth).

Choosing a solution: resolve, solve or dissolve?

★ GOOD TO KNOW

📖 Book p.30

1 **Decide how ambitious your fix is: quick patch, ideal fix, or remove the problem entirely.**

2 **3 LEVELS OF FIX**



RESOLVE
temporary 'doughnut' spare tyre

→



SOLVE
proper new full-size tyre

→



DISSOLVE
public transport: no car needed

3 **KEY POINTS**

1. Then judge options on: criteria (profit, people, ethics)
2. consequences (who wins/loses)
3. choice process (you, team, 3rd party)

4 **IN THE EXAM:** Say in your answer: 'I recommend we SOLVE (not just resolve) this by...' Sounds analytical.

Choosing a solution: resolve, solve or dissolve? (full detail)

📚 FULL DETAIL

📖 Book p.30

📖 **BOOK DEFINITION (p.30):** *The essence of successful problem solving is to be willing to consider real alternatives.*

🍩 Resolve

- Choosing a **satisfactory** solution that works but is less than ideal
- Example: a temporary 'doughnut' spare tyre
- Most common managerial action (Ackoff)

🛞 Solve

- The **optimal or ideal** response
- Example: buying a new, full-size, high-quality spare
- Needs more resources/effort

🚌 Dissolve

- **Change or eliminate the situation** in which the problem occurs
- Example: city builds public transport so cars (and tyres) aren't needed

📏 1 Selection criteria

- Effect on bottom-line profits
- Effect on you and coworkers
- Reputation with customers/community
- Your values
- Ethical implications

⚖️ 2 Consequences (trade-offs)

- Who wins and who loses
- Ideal vs practical
- Perfection vs excellence
- Superior vs satisfactory results

🗳️ 3 Choice process + resources

- Who decides: you, a team, or a third party; agree the method (vote? public/secret? majority/unanimous?)
- Consider resources and who will support or resist: 'what's in it for them?'
- Most decisions face constraints: time, money, authority, information

🔗 **CASE LINKS / USE IN ANSWER:** Strengthens the recommendation part: 'Orix should SOLVE (not merely resolve) its fairness risk by...'. Mention criteria incl. ethics.

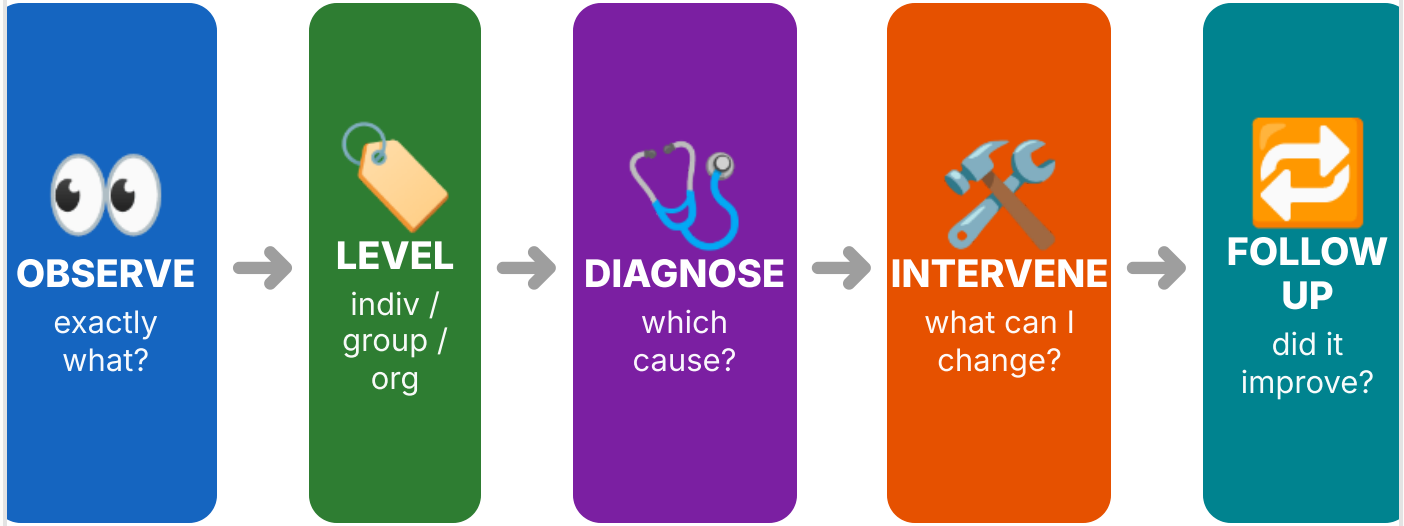
Behavioural problems: diagnose, don't label

★★ IMPORTANT

📖 Book Handout

1 **'He's lazy' is a label, not a diagnosis. The same behaviour can have many causes. Find the cause first.**

2 5-STEP DIAGNOSIS



3 KEY POINTS

1. Individual: absenteeism, low motivation
2. Group: conflict, gossip, blame
3. Organisation: resistance to change, politics, silence
4. 'Lazy' employee? check perception, rewards, emotions, boss, culture

4 **IN THE EXAM:** Key line: 'Behaviour management begins with diagnosis, not blame.'

Behavioural problems: diagnose, don't label (full detail)

📚 FULL DETAIL

📖 Book Handout

🎓 **CLASS DEFINITION (class handout):** *Employee behavioural problems: recurring or significant patterns of employee behaviour that negatively affect individual performance, relationships, team functioning, or organisational effectiveness.*

👤 Individual-level problems

- Low motivation & effort
- Negative attitudes, cynicism
- Absenteeism & lateness
- Poor adaptability to change
- Lack of initiative
- Emotional outbursts
- Low involvement/commitment

🏢 Organisation-level problems

- Resistance to change
- Office politics & favouritism
- Employee silence
- Unethical behaviour
- Counterproductive work behaviour
- High turnover
- Weak citizenship (OCB)

🩺 5-step diagnosis + causes

- 1 Observe exactly · 2 Identify level · 3 Diagnose causes · 4 Intervene · 5 Follow up
- Causes: individual (personality, ability) · job (workload, role ambiguity) · leadership · group (norms, exclusion) · org (culture, rewards) · external (family, economy)

👥 Group-level problems

- Interpersonal conflict
- Poor teamwork
- Workplace incivility
- Gossip & rumours
- Knowledge hoarding
- Conformity, reluctance to disagree
- Blame shifting

🔗 Problem → OB concept

- Low motivation → motivation theories, rewards, goals
- Conflict → personality, communication, group dynamics
- Resistance → perception, attitudes, change mgmt
- Incivility → emotions, attitudes
- Silence → power, leadership, psychological safety
- Politics → power & influence

🛠️ Managerial responses

- Clarify expectations & roles
- Feedback & coaching
- Review workload & job design
- Communication & participation
- Recognition & rewards
- Address conflict early
- Safe voice channels
- Respectful, ethical culture

🔗 **CASE LINKS / USE IN ANSWER:** 'Lazy' employee case: late, skips meetings, refuses new system → check perception of change, trust, rewards, frustration, boss, culture. 'Behaviour management begins with diagnosis, not blame.' 20 common problems listed in handout.

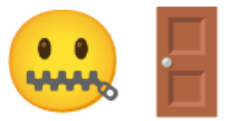
People management: Starbucks manager 'Alex'

★★ IMPORTANT

📖 Book Handout

1 **Alex managed tasks and ignored people. Public criticism killed trust, and the team, and the numbers, collapsed.**

2 THE STORY

1	2	3	4
			
Long queues; Alex pushes targets	Publicly criticises mistakes	Staff go silent; experienced staff quit	Complaints rise; 'why isn't the team performing?'

3 KEY POINTS

1. Task focus: 'Work faster' vs people focus: 'What is causing the delay?'
2. Fix: private feedback, coaching, recognition, listen
3. Track people metrics too: absenteeism, engagement

4 **IN THE EXAM:** Links: EI (empathy), justice (interactional), engagement, turnover.

People management: Starbucks manager 'Alex' (full detail)

📚 FULL DETAIL

📖 Book Handout

💬 **KEY QUOTE (handout):** *People management skills are the abilities managers use to understand, communicate with, motivate, support, develop and influence employees toward organisational goals.*

☕ The situation

- Busy store: long queues, staff shortages, pressure to serve fast
- Alex focuses only on sales targets & efficiency
- Publicly criticises mistakes; tells staff to 'work faster'

📉 What happens next

- Productivity rises briefly
- Staff stop communicating with Alex
- Experienced staff consider leaving; newcomers get no support
- Blame between team members; complaints & absenteeism rise
- Alex: 'I communicated targets... why isn't the team performing?'

🔍 Hidden people problem

- Public criticism → less trust & psychological safety
- Pressure without support → less motivation
- Poor communication hides operational problems
- Blame weakens teamwork
- Experienced turnover loses knowledge

🧰 8 key skills → outcome

- Communication → coordination
- Active listening → early problem detection
- Emotional intelligence; Empathy → relationships
- Constructive feedback (private) → learning
- Coaching → capability
- Conflict mgmt → teamwork
- Recognition → engagement
- Delegation → ownership

✅ What Alex should do

- Private, respectful performance talks
- Ask about workload, staffing, process
- Recognise helpful staff; coach newcomers, use mentors
- Address blame quickly; give autonomy
- Task-focused 'Work faster' → people-focused 'What is causing the delay?'

📊 Dashboard to monitor

- **Business**: sales, productivity, service, complaints
- **People**: absenteeism, turnover, engagement
- **Team**: conflict, cooperation, peer support
- **Leadership**: feedback quality, trust, voice
- Goal = sustainable performance

🔗 **CASE LINKS / USE IN ANSWER:** Links: EI (empathy), interactional justice, engagement, Theory X management, turnover. 'Managers achieve results through people.'

R1: Indiana Dept. of Revenue: a culture turnaround

★★★ MUST KNOW

📖 Book Reading R1

1 **A rigid, fearful tax office became a Top-100 US workplace WITHOUT higher pay, by changing how leaders treat people.**

2 BEFORE vs AFTER



BEFORE (2012)

- $526M tax errors
- Time clocks, docked pay
- Locked doors, micromanaging
- 'Keep your head down'

→



AFTER (2023)

- Top-100 US workplace
- >90% customer satisfaction
- $100M IT project on time
- Fun = core value #1

3 KEY POINTS

1. New leaders Krupp & Grennes: **Respect, Trust, Caring**
2. Treat people as people, taxpayers as customers
3. Walk the floors, ask 'what do you need?', fix small things
4. Simple mission: 'Pyramid of Excellence'

4 **IN THE EXAM:** Use for: workplace effectiveness, culture, motivation without money (Herzberg, SDT), positive OB.

R1: Indiana Dept. of Revenue: a culture turnaround (full detail)

📚 FULL DETAIL

📖 Book Reading R1

💬 **KEY QUOTE (Austrom 2024, R1):** *Organizational culture is the sum of an organization's underlying assumptions, beliefs, values, and mindsets... simply stated, culture is the way we do things around here.*

🔥 The crisis (2011–2016)

- Failed to distribute **$205M** local income tax; **$320M** corporate tax misallocated → **$526M** errors; schools lost $300M
- Deloitte audit: fragmented systems, workarounds, culture 'that sacrificed accuracy for speed'
- New private-sector leaders restored credibility; implemented ~90% of audit recommendations

😟 Old culture

- Stiff, bureaucratic, petty rules, micromanaged
- Time clock; written up and pay docked if minutes late
- Afraid to speak up: 'We did our jobs and kept our heads down'
- Locked doors between departments; never saw the commissioner

🧑‍💼 Leaders: Krupp (2017–20) & Grennes

- Motto: **Respect, Trust, Caring**
- Arbinger: see 'people as people', not objects
- Walked corridors, knew names, asked 'what do you need?' → replaced broken chairs, keyboards
- Grennes: 'Many managers think they manage a thing... rather than I lead people'

🔄 Mindset shifts

- People as objects → people as people
- Distrust of govt workers → trust
- **Taxpayers → customers**
- Collecting taxes → serving fellow citizens
- Stakeholders as adversaries → allies & advocates

🏆 Results

- Project **NextDOR** ($100M IT): on time & budget all 5 years; 50+ tax types; during COVID
- >90% customer satisfaction (was dreaded)
- Top workplace in central Indiana 5 years; **first govt agency in US Top 100 Workplaces (2023)**
- Achieved without private-sector pay or perks

📝 Practices

- Pyramid of Excellence; 7 values: **Fun**, leadership, integrity, respect, teamwork, service, continuous improvement
- Hire, promote, release on values; recognition program
- Leadership training for all levels
- Grennes' 27-item engagement checklist: 'It's a good tired'

🔗 **CASE LINKS / USE IN ANSWER:** Use for workplace effectiveness, culture change, motivation without money (Herzberg, SDT, Pink: autonomy, mastery, purpose), virtuous leadership & positive OB.

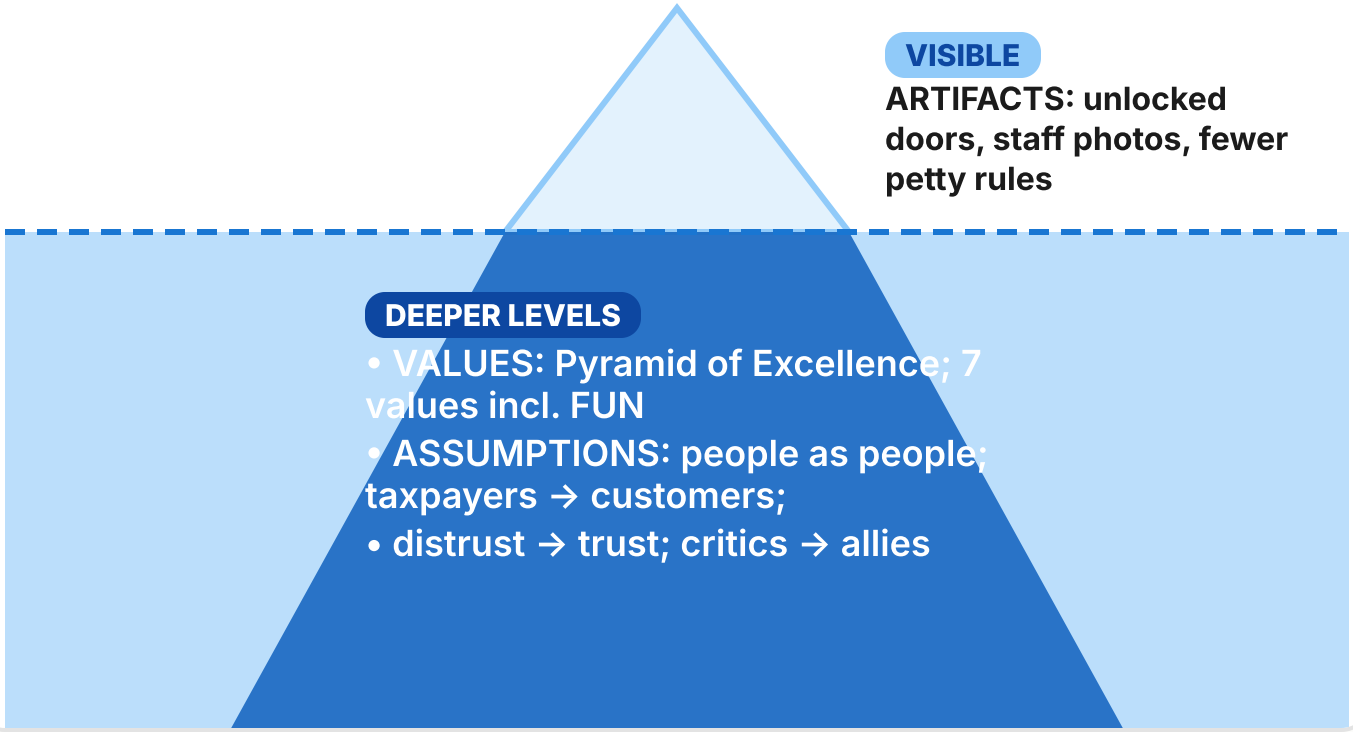
R1: Schein's 3 levels of culture (how DOR changed)

★★ IMPORTANT

📖 Book Reading R1

1 **Real culture change works on all 3 levels, especially the hidden assumptions at the bottom.**

2 CULTURE ICEBERG



3 KEY POINTS

1. Also: **Pfeffer's 7 people practices** (security, selective hiring, training, info sharing, teams, fewer status gaps, pay)
2. DOR couldn't raise pay → used intrinsic motivators
3. Heifetz: **adaptive** change (mindsets), not just technical fixes

4 **IN THE EXAM:** Answer line: 'DOR changed artifacts, values AND assumptions (Schein), which is why it lasted.'

R1: Schein's 3 levels of culture (how DOR changed) (full detail)

📚 FULL DETAIL

📖 Book Reading R1

💬 **KEY QUOTE (R1):** *The only thing of real importance that leaders do is to create and manage culture. (Schein)*

🧱 Level 1: Artifacts (visible)

- Commissioners visited offices, listened & acted
- Unlocked doors, painted grey walls, staff photos in annual reports
- Eliminated petty rules using core values as criteria
- Frequent communication; best-in-class recognition; leadership development

📜 Level 2: Espoused values

- Short, memorable mission, purpose, vision → **DOR Pyramid of Excellence**
- Leadership engaged in clarifying and living 7 core values
- Values on walls, documents, new-hire welcome pack

🧠 Level 3: Basic assumptions

- Tacit beliefs about people & relationships
- People as objects → people as people
- Distrust → trust; taxpayers → customers; collecting → serving; adversaries → allies

👥 Pfeffer's 7 people-centred practices

- 1 Employment security (only a hygiene factor in govt)
- 2 Selective hiring (Lencioni: humble, hungry, smart)
- 3 Extensive training (call centre 2 days → 4 weeks + 2 weeks coaching)
- 4 Sharing financial & performance info
- 5 Self-managed teams/decentralised decisions
- 6 Reduced status differences ('blow up the distinctions')
- 7 High contingent pay: NOT possible → intrinsic motivators instead

🧭 Heifetz: leading complex change

- **Technical problems**: solvable with existing expertise
- **Adaptive challenges**: need new learning in beliefs, mindsets, values
- Pre-2017 fixes were technical; NextDOR treated as systems AND business modernisation
- Front-line staff (not managers) mapped processes, tested, trained

🔗 **CASE LINKS / USE IN ANSWER:** Answer line: 'DOR changed artifacts, espoused values AND basic assumptions (Schein), so the change lasted.' 70–80% of culture change efforts fail (Kotter; Argenti).

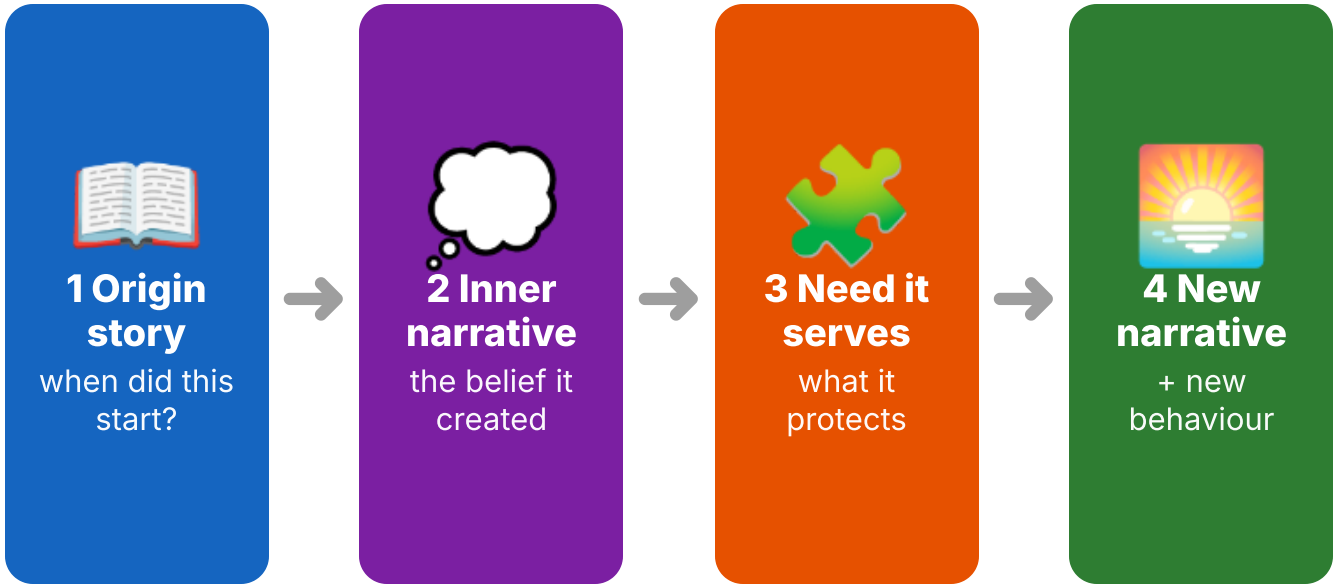
R2: Getting to the bottom of destructive behaviours

★★ IMPORTANT

📖 Book Reading R2

1 **Some bad habits survive coaching because they protect an old wound. Find the 'origin story' to change them.**

2 CARUCCI'S 4 STEPS



3 KEY POINTS

1. Change needs the WILL (motivation) + the WAY (skills)
2. Trauma (amygdala) can block both
3. Andy: mocked as a child → talks non-stop to look smart
4. New story: 'I am liked, smart, and safe even in silence'

4 **IN THE EXAM:** Use for: behavioural problems, emotions, leadership development questions.

R2: Getting to the bottom of destructive behaviours (full detail)

📚 FULL DETAIL

📖 Book Reading R2

💬 **KEY QUOTE (Carucci, HBR 2019):** *When routine efforts to learn new skills or form new habits fail, it's usually because they are only engaging one of these two areas.*

🧠 Why change fails: the brain

- **Prefrontal cortex** = cognition = 'the WAY' (learning skills)
- **Reward system** (dopamine) = motivation = 'the WILL'
- Change needs both
- Most change-resistant behaviours are rooted in formative trauma stored in the **amygdala** → self-protective re-enactment; will + way not enough

🗣️ The case of Andy

- Division president, global accounting firm; affable, articulate, high energy
- But: needed to be right, craved spotlight, talked incessantly, belittled people who disagreed
- 'Andy's a great guy, but he'll never change'

📖 Step 1: Write origin stories

- Recall scenes (ages 5–20) where the behaviour became important
- Q: When and how was this behaviour learned?
- Andy: stutter + ADHD; daily walk past jeering peers to the 'stupid classroom' at age 10

💭 Step 2: Identify the inner narrative

- Narratives are templates/biases we recreate until rewritten
- Andy: 'Unless you can prove otherwise, everyone will see how stupid you are'
- He believed he had to HIDE being stupid; abrasiveness recreated the rejection he feared

🧩 Step 3: Name the need it serves

- The need anchors the behaviour
- Andy: 'I want to feel like I belong just by being me'
- Cognition + motivation present, but unaddressed pain overpowered them

🌅 Step 4: New narrative + behaviours

- Write a new narrative; may need a therapist
- Andy: 'I am liked, smart, and safe even in silence'
- Maya Angelou: 'There is no greater agony than bearing an untold story inside you'

🔗 **CASE LINKS / USE IN ANSWER:** Use for behavioural problems, emotions, leadership development and coaching questions. Links to self-awareness (EI) and attribution (look beyond 'he's just difficult').

HR-OB success vs failure: Infosys vs Jet Airways

★ GOOD TO KNOW

📖 Book Handout

1 **Same country, same era: one invested in people and grew; one ignored them and collapsed.**

2 **SUCCESS vs FAILURE**



INFOSYS

- Learning platform (Lex)
- Clear career paths
- Well-being apps, open grievance
- First Indian co. on NASDAQ

VS



JET AIRWAYS

- Poor communication
- Unfair, delayed salaries
- No change mgmt vs IndiGo
- Shut 2019; 20,000 jobless

3 **KEY POINTS**

1. Shows OB/HR practices drive business results
2. Jet = psychological contract breach

4 **IN THE EXAM:** Quick Indian contrast for 'why OB matters' questions.

HR-OB success vs failure: Infosys vs Jet Airways (full detail)

📚 FULL DETAIL

📖 Book Handout

🚀 Infosys: background & result

- Founded 1981 by 7 engineers → global IT leader
- First Indian company listed on **NASDAQ**
- Consistently 'Best Employer' (Great Place to Work, LinkedIn, Forbes)
- Low attrition vs industry; strong employer brand

📚 Infosys: OB-HR practices

- L&D culture: **'Lex'** digital learning platform
- Structured career paths, transparent promotion, competency-based appraisals
- 'Infosys Cares', **InfyMe** app for well-being & mental health
- Open communication; grievance portals
- Women in Leadership (WIN), flexible work, maternity benefits
- Values: customer delight, integrity, fairness, transparency (C-LIFE)

🛬 Jet Airways: background & result

- Founded 1993; once India's largest private airline
- Shut April 2019; **20,000+** jobless
- Strikes, negative publicity, loss of customer & investor trust

❌ Jet Airways: OB-HR mistakes

- Poor employee relations & communication
- Unfair compensation, delayed salaries
- Low morale, no engagement
- No workforce planning: overstaffing + skill gaps
- No change management when IndiGo & SpiceJet disrupted

💡 Lessons

- Effective HR isn't just hiring: it's communication, engagement, alignment of people & strategy
- Jet = breach of **psychological contract** (p.54)
- Infosys = high **POS** (p.58) and engagement

🔗 **CASE LINKS / USE IN ANSWER:** Quick Indian contrast for 'why does OB matter for performance?'

Module 2 roadmap: Values & Attitudes

★ **Values (deep beliefs) shape attitudes (feelings about specific things), which shape behaviour. Job satisfaction is the key attitude.**

42 The big chain: values → attitudes → behaviour + detail ★★★

54 Cognitive dissonance: when beliefs and actions clash + detail ★★

64 Perceived organisational support (POS) + detail ★

44 Values: what they are and where they come from + detail ★★

56 Ajzen's Theory of Planned Behaviour: why intention predicts action + detail ★

66 Job satisfaction: its 5 causes + detail ★★★

46 Schwartz's 10 values: a circle of agreement & conflict + detail ★★★

58 The 4 workplace attitudes managers track + detail ★★★

68 What job satisfaction leads to (10 outcomes) + detail ★★★

49 Culture lenses: Hofstede & GLOBE (class slides) + detail ★★

60 Commitment & the psychological contract + detail ★★

70 OCB vs CWB: the good citizen and the saboteur + detail ★★

52 Attitudes have 3 parts: Feel, Believe, Intend (ABC) + detail ★★★

62 Employee engagement: giving your all + detail ★★

72 Is job satisfaction real or a myth? McKinsey 'Great Attrition' + detail ★★★

⚡ **Fast path:** read slides **42–43, 46–48, 52–53, 58–59, 66–67, 68–69, 72–73** first, then the rest.

Numbers = slide numbers. Each topic: 🖼️ picture slide, then 📚 full-detail slide. ★★★ **must know: read first** ★★ **important** ★ **if time**

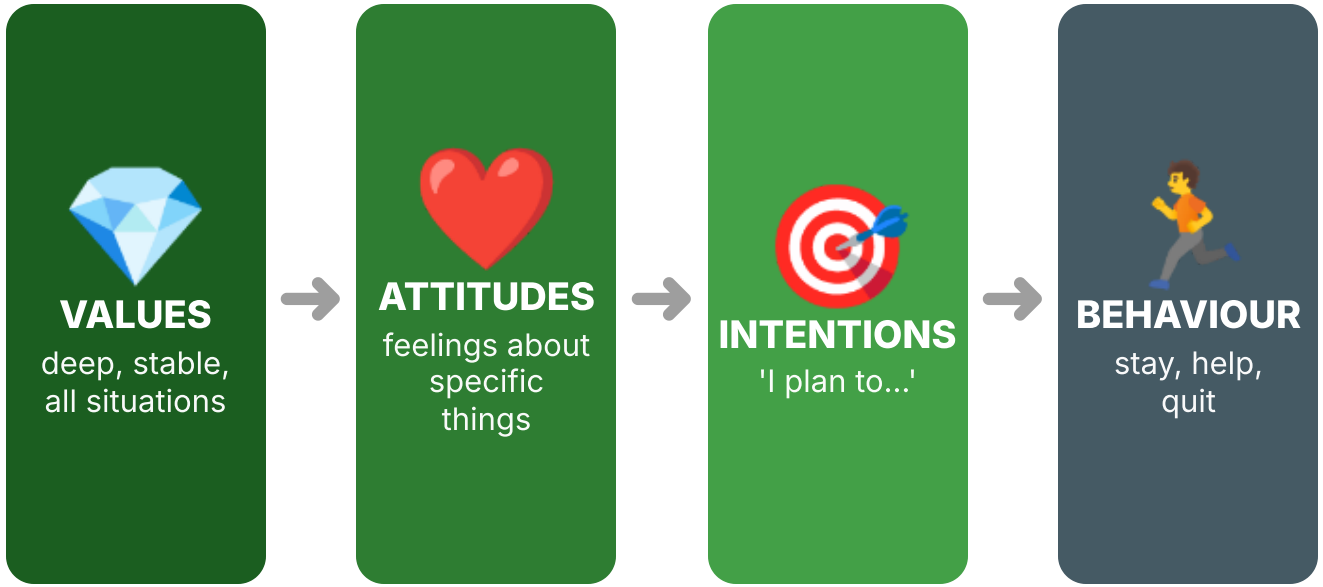
The big chain: values → attitudes → behaviour

★★★ MUST KNOW

📖 Book p.41, 47

1 **What you deeply value shapes how you feel about your job, which shapes what you do: stay, help, slack off or quit.**

2 THE CHAIN



3 KEY POINTS

1. Values = global, all situations
2. Attitudes = specific (my boss, my pay)
3. Attitudes affect behaviour **through intentions**
4. Workplace attitudes = OUTCOMES managers track

4 **IN THE EXAM:** Diagnose any case: which value is clashing? which attitude dropped? what behaviour followed?

The big chain: values → attitudes → behaviour (full detail)

📚 FULL DETAIL

📖 Book p.41, 47

📖 **BOOK DEFINITION (p.47):** *Values represent global beliefs that influence behavior across all situations, while personal attitudes relate only to behavior directed toward specific objects, persons, or situations.*

🗺️ Chapter 2 framework (Fig 2.1)

- **Inputs (person factors)**: values, personal attitudes, intentions
- **Outcomes (individual)**: task performance, workplace attitudes, well-being/flourishing, citizenship vs counterproductive behaviour, turnover
- **Outcomes (organisational)**: accounting/financial performance, customer service/satisfaction
- Problems = gaps in these outcomes; causes can lie in values & attitudes

🔄 Values in the OB process (handout 6)

- VALUES → perceptions & interpretation of situations → attitudes & motivation → decisions & interpersonal behaviour → performance, commitment, cooperation
- Managerial example: forced performance-ranking system → achievement-oriented employee welcomes it; cooperation-oriented employee sees it as harmful to teamwork
- Lesson: the same HR practice produces different reactions because value priorities differ

🎓 Learning objectives LO 2-1 to 2-6

- 2-1 Role values play in behaviour
- 2-2 How personal attitudes affect behaviour & outcomes
- 2-3 Four key workplace attitudes
- 2-4 Five causes of job satisfaction
- 2-5 Outcomes of job satisfaction
- 2-6 Implications for you & managers

🤝 Engagement starts with you (Winning at Work, p.42)

- Know your job & expectations; seek training, volunteer
- Speak up; ask for frequent feedback
- Develop mindfulness; avoid actively disengaged coworkers
- Take charge of your health; revisit the big picture

🔗 **CASE LINKS / USE IN ANSWER:** Diagnose any case along the chain: which VALUE clashes (Orix staff value pay vs CEO's culture), which ATTITUDE dropped (commitment, satisfaction), which BEHAVIOUR followed (quitting, CWB).

Values: what they are and where they come from

★★ IMPORTANT

📖 Book p.43

1 **Values are abstract ideals that guide your thinking and behaviour in EVERY situation. They're stable and often unconscious.**

2 SOURCES OF VALUES

- 👨‍👩‍👧 **Parents & family**
- 🧒 **Childhood experiences**
- 🛕 **Religion / spirituality**
- 🌏 **Culture & society**
- 🎓 **Education**
- 🔒 **Stable over time** — change only with big events

3 KEY POINTS

1. **Rokeach**: terminal values (end goals) vs instrumental values (means)
2. Value system = your personal ranking of values
3. Values vary across generations and cultures
4. Person–org value fit → commitment, retention

4 **IN THE EXAM:** Line to quote: 'Values are abstract ideals that guide our thinking and behavior across all situations' (p.43).

Values: what they are and where they come from (full detail)

📚 FULL DETAIL

📖 Book p.43

📖 **BOOK DEFINITION (p.43):** *Values are abstract ideals that guide our thinking and behavior across all situations. They stem from our parents' values, our experiences in childhood and throughout life, and our religious or spiritual beliefs.*

📖 Definitions

- **Robbins**: 'basic conviction that a specific mode of conduct or end-state of existence is personally or socially preferable to an opposite mode or end-state'
- Stable, evaluative beliefs that guide preferences; define right/wrong, good/bad
- **Value system** = hierarchy of values by relative importance
- Values are relatively stable and can influence behaviour **without our awareness** (p.43)

❓ Why values matter (p.43)

- 1 They guide actions across all situations → helps you **self-manage** (choose a major, career)
- 2 Understanding values makes you more effective at **influencing others'** attitudes and behaviour

📊 Rokeach Value Survey

- **Terminal values**: desirable end-states (comfortable life, sense of accomplishment, equality, family security, freedom, happiness, self-respect, wisdom)
- **Instrumental values**: preferred means of behaving (ambitious, honest, responsible, capable, courageous, helpful, self-controlled)
- Executives, union members and activists rank them differently

🔟 8 reasons to study values (handout 6)

- 1 Influence behaviour (integrity → won't misreport sales)
- 2 Shape attitudes & satisfaction (value fit; autonomy-lover hates a controlling boss)
- 3 Drive motivation (achievement vs security)
- 4 Guide ethical decisions; conflicting values → dilemmas
- 5 Explain individual differences (no one-size-fits-all)
- 6 Shape culture: stated vs enacted values; gaps → cynicism
- 7 Affect leadership & relationships
- 8 Help manage diversity: dialogue, not stereotypes

🧩 Person–organisation fit

- Compatibility between employee and organisation values
- High fit → satisfaction, commitment, cooperation, retention
- Low fit → dissatisfaction, conflict, turnover intentions
- So recruitment & socialisation must communicate the **actual** values

🏢 Corporate values (handout 2)

- **Tata**: Integrity, Responsibility, Excellence, Pioneering, Unity
- **Infosys C-LIFE**: Client value, Leadership by example, Integrity & transparency, Fairness, Excellence
- **Amazon**: customer obsession, ownership, invent & simplify, bias for action, frugality, deliver results
- **Google**: respect the user, the opportunity, each other · **PwC**: integrity, make a difference, care, work together, reimagine

🔗 **CASE LINKS / USE IN ANSWER:** Leaders' values (handout 3): Gandhi (ahimsa, satya), Mandela (reconciliation, Ubuntu), Ratan Tata (trusteeship), Premji (integrity, frugality), Nadella (growth mindset, empathy). DOR and Orix hire on values.

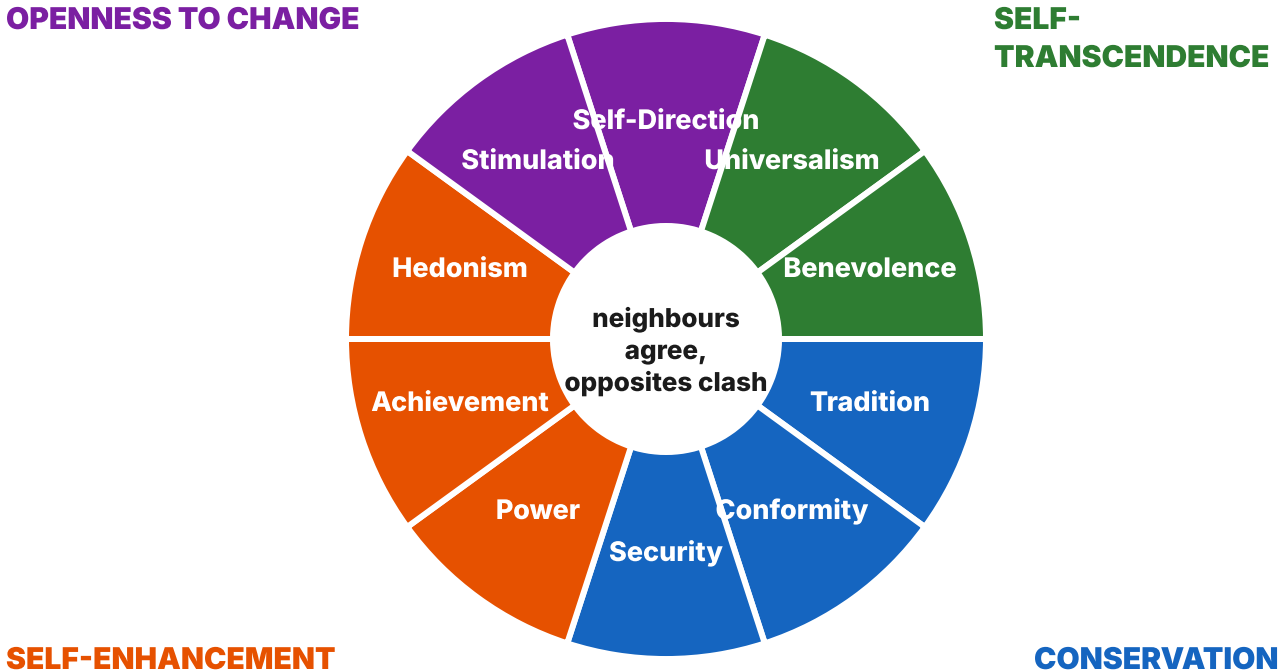
Schwartz's 10 values: a circle of agreement & conflict

★★★ MUST KNOW

📖 Book p.43-45

1 **People hold 10 basic values arranged in a circle: values next to each other fit together, values opposite each other pull against each other.**

2 THE VALUES WHEEL



3 KEY POINTS

1. **Self-transcendence** (others) vs **self-enhancement** (me)
2. **Openness to change** vs **conservation** (stability)
3. Behaviour depends on the RELATIVE importance of opposing values
4. Managers: give tasks that fit each person's values

4 **IN THE EXAM:** Ex: an achievement-driven employee loves a ranking system; a benevolence-driven one hates it.

Schwartz's 10 values: a circle of agreement & conflict (full detail 1/2)

📚 FULL DETAIL

📖 Book p.43-45

📖 **BOOK DEFINITION (p.43-44):** *Schwartz proposed that broad values motivate our behavior across any context... it is the relative importance we give to these two dimensions of opposing values that drives our behavior.*

🔁 Two bipolar dimensions (Table 2.1)

- **Self-transcendence**: concern for welfare & interests of others (universalism, benevolence)
- vs **Self-enhancement**: pursuit of own interests, success & dominance (power, achievement)
- **Openness to change**: independence of thought, action, feelings; readiness for change (stimulation, self-direction)
- vs **Conservation**: order, self-restriction, preserving the past, resisting change (conformity, tradition, security)

🔟 The 10 values (Fig 2.2 meanings)

- **Self-direction**: independent thought & action (creativity, freedom)
- **Stimulation**: excitement, novelty, challenge
- **Hedonism**: pleasure & gratification (shares openness + self-enhancement)
- **Achievement**: personal success by social standards
- **Power**: status, prestige, control over people & resources
- **Security**: safety, harmony, stability
- **Conformity**: restraint of actions that upset others/norms
- **Tradition**: respect for customs (shares a wedge with conformity)
- **Benevolence**: welfare of close others
- **Universalism**: understanding, tolerance, welfare of all people & nature

Schwartz's 10 values: a circle of agreement & conflict (full detail 2/2)

📚 FULL DETAIL

📖 Book p.43-45

🎯 How the circle works

- **Adjacent** values (self-direction & universalism) are compatible
- Values farther apart are less compatible
- **Opposing** values (self-direction vs conformity) are unlikely in the same person
- Example: value achievement over universalism → study for an A instead of a climate meeting

💼 Workplace & personal application

- Paul doubts climate change (low universalism) but wants an A (achievement) → give him the final report, not eco-ideas
- Universalism/benevolence employee → projects with social value
- Tradition > achievement employee → unhappy working holidays or missing a child's play
- Employees find more meaning pursuing goals consistent with their values; incongruent goals → conflict

🌍 Dynamics of values (p.46)

- Values are relatively stable; motivation is greatest when the environment matches them
- **Airbnb**: $2,000 annual travel credit because staff value 'embrace the adventure'
- Values vary across generations: Depression-era parents value security; Boomers (1946–64), Millennials (1980–2001), Gen Z (1997–2012)

🔗 **CASE LINKS / USE IN ANSWER:** Use Schwartz for individual differences in a case: Orix's achievement-driven geologists vs security-seeking parents; Southwest hires for benevolence-type 'people people'.

Culture lenses: Hofstede & GLOBE (class slides)

★★ IMPORTANT

📖 Book Class PPT

1 **Countries differ in shared values. These frameworks are lenses for understanding teams, NOT stereotypes for individuals.**

2 HOFSTEDE'S 6



Power distance
accept unequal power?



Individualism vs collectivism
me or we?



Uncertainty avoidance
need rules?



Masculinity vs femininity
compete or care?



Long-term orientation
plan for future?



Indulgence vs restraint
enjoy or control?

3 KEY POINTS

1. **Hofstede = 6 dimensions** (country level)
2. **GLOBE = 9 culture dims + 6 leader styles**; 'as is' vs 'should be'
3. **Schwartz** = individual values
4. Use as hypotheses, never stereotypes

4 **IN THE EXAM:** Multicultural team question: power distance affects participation; collectivism affects team vs individual rewards.

Culture lenses: Hofstede & GLOBE (class slides) (full detail 1/2)

📚 FULL DETAIL

📖 Book Class PPT

🎓 **CLASS DEFINITION (class PPT):** *Values influence what people consider desirable, important, right, or appropriate. Culture shapes shared expectations about authority, relationships, risk, time, and achievement.*

🌐 Hofstede's 6 dimensions (country level)

- **1 Power distance**: acceptance of unequal power distribution
- **2 Individualism vs collectivism**: individual autonomy vs group ties
- **3 Uncertainty avoidance**: preference for predictability, rules, structure
- **4 Masculinity vs femininity**: competition, achievement, assertiveness vs cooperation, quality of life
- **5 Long-term orientation**: pragmatic future persistence vs short-term normative
- **6 Indulgence vs restraint**: free gratification vs strict social regulation

🇸🇬 Class example: Singapore

- Low power distance (per class slide; Hofstede's published score is high, mention both)
- Collectivist: community, harmony, family
- Masculine: achievement, competition
- Low uncertainty avoidance: entrepreneurial
- Long-term: sustainability, national planning
- Restraint: self-discipline

🌏 GLOBE: 9 cultural dimensions

- Power distance · uncertainty avoidance · institutional collectivism · in-group collectivism (family pride/loyalty) · gender egalitarianism · assertiveness · future orientation · performance orientation · humane orientation
- **Practices ('as is')** vs **values ('should be')**: e.g., high power distance today but egalitarian future desired

Culture lenses: Hofstede & GLOBE (class slides) (full detail 2/2)

📚 FULL DETAIL

📖 Book Class PPT

👑 GLOBE: 6 leadership styles

- Charismatic/value-based (vision, integrity)
- Team-oriented
- Participative
- Humane-oriented (compassionate)
- Autonomous (independent)
- Self-protective (status, procedure, security)
- Same leader behaviour can work in one culture and fail in another

⚖️ Schwartz vs Hofstede vs GLOBE

- **Schwartz**: individual value priorities; individual + cultural level; best for value congruence
- **Hofstede**: national culture; country level; comparing management across countries
- **GLOBE**: links culture to leadership effectiveness; 9 + 6
- **Limits**: averages ≠ individuals; cultures are dynamic; use as hypotheses, never stereotypes

👫 Applications & mini-cases

- Leadership: adapt participation; Motivation: people value achievement, security, autonomy differently; HRM: tailor rewards/appraisal
- Multicultural team missing deadlines (decision speed, hierarchy, risk) → clarify decision rights, escalation rules, risk thresholds
- Indian manager with Indian/German/US team: power distance affects participation; collectivism affects team vs individual rewards; use cultural intelligence

🔗 **CASE LINKS / USE IN ANSWER:** For a multicultural/global question: name 2–3 dimensions, show how they cause misunderstanding, recommend explicit team norms. Generations (Boomers: achievement; Gen X: work-life balance; Millennials: financial success + team).

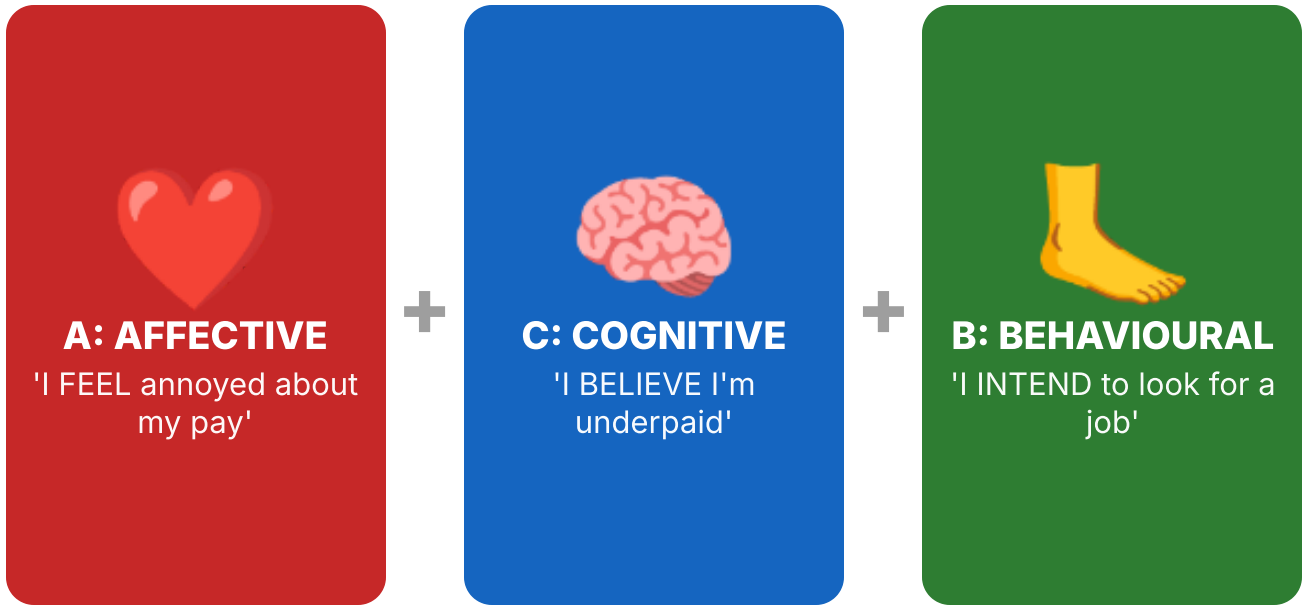
Attitudes have 3 parts: Feel, Believe, Intend (ABC)

★★★ MUST KNOW

📖 Book p.47, 49

1 **An attitude is your feeling/opinion about something specific, made of an emotion, a belief and an intention to act.**

2 THE ABC



3 KEY POINTS

1. Values = global; attitudes = specific targets
2. All 3 parts influence behaviour
3. Personal attitudes = inputs; workplace attitudes = outcomes

4 **IN THE EXAM:** Break any employee reaction in a case into A, B, C. Orix staff: feel undervalued → believe pay matters → intend to leave?

Attitudes have 3 parts: Feel, Believe, Intend (ABC) (full detail)

📚 FULL DETAIL

📖 Book p.47, 49

📖 **BOOK DEFINITION (p.47):** *Attitudes represent our feelings or opinions about people, places, and objects and range from positive to negative.*

❤️ Affective component: 'I feel'

- Feelings or emotions about an object or situation
- Example: you feel annoyed by people talking on phones in restaurants

🧠 Cognitive component: 'I believe'

- Beliefs or ideas about an object or situation
- Example: you believe phone talk in restaurants is rude (or not)

🦶 Behavioural component: 'I intend'

- How we intend or expect to act toward someone/something
- Example: whether you intend to ask the person to stop
- All 3 influence behaviour: you won't say anything if not irritated, if you think phones help people, and if you don't intend to confront

📏 Values vs attitudes (Table 2.2)

- **Values**: global scope; broad, all situations; affect behaviour variously
- **Attitudes**: specific scope; targeted; affect behaviour via **intentions**
- Usually in harmony, but not always: a helper may still refuse to help an unethical coworker

📋 Personal vs workplace attitudes

- **Personal attitudes** = INPUTS in the framework
- **Workplace attitudes** (commitment, engagement, POS, satisfaction) = OUTCOMES of processes like leadership
- Managers use attitude surveys to track job satisfaction, engagement and turnover causes
- Hospitality example (p.48): surveys showed cooks wanted career development → Sous Chef Supper Series, yoga, bike rides

🔗 **CASE LINKS / USE IN ANSWER:** Break an employee reaction into A-B-C: Orix staff feel undervalued (A), believe salary matters most (C), intend to accept rival offers (B). Southwest pastry-chef photo: positive attitudes are contagious.

Cognitive dissonance: when beliefs and actions clash

★★ IMPORTANT

📖 Book p.50

1 **Holding two conflicting thoughts (or acting against your values) feels uncomfortable, so we change something to feel consistent.**

2 CLASH → FIX



THE CLASH

- Megan values helping others
- ...but helping Rob costs her the $500 prize
- = psychological discomfort



3 WAYS TO REDUCE IT

- 1 Change attitude or behaviour
- 2 Belittle its importance
- 3 Find reasons that outweigh it

3 KEY POINTS

1. Festinger's theory
2. People rationalise unethical acts this way
3. Also explains reactions to unfairness (equity theory)

4 **IN THE EXAM:** Bank of Baroda staff: target pressure vs honesty → dissonance → rationalising fake entries.

Cognitive dissonance: when beliefs and actions clash (full detail)

📚 FULL DETAIL

📖 Book p.50

📖 **BOOK DEFINITION (Festinger, p.50):** *Cognitive dissonance represents the psychological discomfort a person experiences when simultaneously holding two or more conflicting cognitions (ideas, beliefs, values, or emotions).*

📚 The Megan example (p.49-50)

- Megan values helping others
- Instructor runs a $500 social-media contest; Megan needs the money for a laptop
- Classmate Rob asks for help on his entry and offers to split the prize
- Helping Rob takes time from her own entry → conflicting cognitions → dissonance

🩹 3 ways to reduce dissonance

- **1 Change your attitude or behaviour (or both)**: tell herself she can't help because she wants to win, OR schedule time to help and split the prize
- **2 Belittle the importance of the inconsistent behaviour**: 'I don't need to help every time someone asks'
- **3 Find consonant elements that outweigh the dissonant ones**: 'I really need the prize money for my laptop'

🔁 Why it matters in OB

- People are motivated to keep attitudes and behaviour consistent (avoid looking like a hypocrite)
- Explains rationalisation of unethical acts
- Underlies **equity theory**: perceived unfairness → dissonance → corrective action (p.178)

🏦 Applying it

- Bank of Baroda staff: honesty vs aggressive targets → rationalise fake entries (belittle / consonant elements)
- Employees asked to act against their values may quit (change behaviour) or become cynical (change attitude)
- Managers: avoid putting people in value-conflicting situations; give a legitimate path

🔗 **CASE LINKS / USE IN ANSWER:** Use when explaining WHY people justify unethical acts, or how unfair treatment leads to reduced effort (dissonance → equity).

Ajzen's Theory of Planned Behaviour: why intention predicts action

★ GOOD TO KNOW

📖 Book p.50-52

1 The best predictor of what someone will do is what they INTEND, and intention comes from 3 things.

2 3 DRIVERS → INTENTION



3 KEY POINTS

1. To change behaviour, change these 3 drivers
2. Want to know if someone will quit? Ask their intention
3. McDonald's harassment strike is the book's case

4 IN THE EXAM: Use when asked how to change employee behaviour.

Ajzen's Theory of Planned Behaviour: why intention predicts action (full detail)

📚 FULL DETAIL

📖 Book p.50-52

📖 **BOOK DEFINITION (p.50):** *Ajzen developed and refined a model focusing on intentions as the key link between attitudes and planned behavior.*

👍 1 Attitude toward the behaviour

- The degree to which a person has a favourable or unfavourable evaluation of the behaviour

👥 2 Subjective norm

- A social factor: the perceived social pressure for or against the behaviour

🕹️ 3 Perceived behavioural control

- The perceived ease or difficulty of performing the behaviour, reflecting past experience and anticipated obstacles

🩸 Example: donating blood

- Positive intention if you think donating is valuable (attitude), friends donate (norm), and you have time (control)

🔬 Research & practice (p.52)

- Intention is a strong predictor of behaviour: to know if someone will quit, have a third party ask their intention
- To change behaviour, change intentions by working on the 3 motives
- Classmate doing poor work: show benefits of quality (attitude), model good work & recognise it (norm), remove obstacles (control)
- Personal: to exercise more, first change beliefs/intentions about exercise

🍔 Problem-solving case: McDonald's (p.51)

- Hundreds of workers in 10 US cities struck over sexual harassment
- 4 in 10 women in fast food report unwanted advances; 90% of immigrant workers stay silent
- Demands: training, better complaint channels, employee committee
- Franchise model diffuses responsibility
- Use TPB: strike intention driven by attitude, norm (collective action), control (organised by Fight for $15)

🔗 **CASE LINKS / USE IN ANSWER:** Use for 'how can a manager change employee behaviour?' (e.g., get Orix team leads to adopt fair i-deal rules: attitude + norm + control).

The 4 workplace attitudes managers track

★★★ MUST KNOW

📖 Book p.53

1 **Four attitudes tell a manager how the organisation is doing: commitment, engagement, perceived support and job satisfaction.**

2 THE 4 ATTITUDES



Org commitment
I identify with this org & want to stay



Engagement
I give my ALL to my work



Perceived org support
the org values me & cares



Job satisfaction
I like my job (its facets)

3 KEY POINTS

1. These are OUTCOMES in the framework
2. Low ones predict low performance & high turnover
3. Facebook: non-survey-takers 2.6× more likely to quit
4. Next 3 slides take each in turn

4 **IN THE EXAM:** Step 1 of any answer: name which of these 4 attitudes is low in the case.

The 4 workplace attitudes managers track (full detail)

📚 FULL DETAIL

📖 Book p.53

📖 **BOOK DEFINITION (p.53):** *These attitudinal measures serve a dual purpose. First, they represent important outcomes... Second, they link to other significant outcomes that managers will want to improve.*

⚓ Organisational commitment

- Extent an individual identifies with an organisation and commits to its goals
- → likely to stay + more motivated toward org goals

🔥 Employee engagement

- Harnessing of members' selves to work roles: physically, cognitively, emotionally (Kahn 1990)
- Engaged employees 'give their all'

🤲 Perceived organisational support

- Extent employees believe the organisation values their contributions and genuinely cares about their well-being

😊 Job satisfaction

- Affective/emotional response toward various facets of one's job
- Most frequently studied outcome in OB

📊 Why track them

- Low satisfaction & engagement → lower task performance, higher turnover
- **Facebook**: regular surveys; staff who don't fill them out are **2.6×** more likely to leave in 6 months
- Managers should understand causes AND consequences of each attitude

🔗 **CASE LINKS / USE IN ANSWER:** Step 1 of any case: name the attitude that is low. Orix = commitment/retention risk; Starbucks = engagement collapse; McKinsey = not feeling valued (POS).

Commitment & the psychological contract

★★ IMPORTANT

📖 Book p.54-55

1 **People commit when their values fit the organisation AND the organisation keeps its unwritten promises.**

2 KEPT vs BROKEN



CONTRACT KEPT

- Southwest: no layoffs ever
- DOR: fixed chairs, listened
- → commitment, loyalty

VS



CONTRACT BROKEN

- Jet Airways: salaries unpaid
- → low commitment, strikes, exits

3 KEY POINTS

1. **Psychological contract** = what I believe I'm owed in return for what I give
2. Breach → lower commitment, satisfaction, performance; more quitting
3. Build commitment: hire for value fit, keep promises, be fair

4 **IN THE EXAM:** Quote the psychological-contract definition (p.54) for any trust/loyalty question.

Commitment & the psychological contract (full detail)

📚 FULL DETAIL

📖 Book p.54-55

📖 **BOOK DEFINITION (p.54):** *Psychological contracts represent an individual's perception about the reciprocal exchange between him- or herself and another party.*

⚓ Organisational commitment (p.54)

- 'A force that binds an individual to a course of action of relevance to one or more targets'
- Org commitment: identifying with the organisation and committing to its goals
- Two outcomes: likely continuation of employment + greater motivation toward org goals

🧲 What drives commitment

- **Person–culture fit**: personal values match org culture (achievement-valuer at goal-rewarding firm)
- Personality · meaningfulness of work · org climate · leader behaviour · org culture
- Quality of **psychological contracts**

📝 Psychological contract

- Employee's beliefs about what he/she is entitled to receive in return for what he/she provides
- **Breach** → lower commitment, job satisfaction, performance; greater intention to quit

✅ 3 best practices

- Hire people whose personal values align with the organisation's
- Make sure management does not breach psychological contracts
- Treat employees fairly and foster trust between managers and employees

🏨 Company examples (Fortune 2019)

- **Hilton (#1)**: parental leave, adoption help; every exec spends a week on front lines; redesigned staff spaces; Hilton University
- **Salesforce (#2)**: ~$9M to fix gender/race pay gaps; 'Ohana' family culture; 10 employee resource groups; 7 paid volunteer days
- **Cisco (#6)**: 'Our People Deal'; flextime; 40 hrs paid volunteering; $50K pitch contest; 36 days holiday

🔗 **CASE LINKS / USE IN ANSWER:** Southwest's no-layoff promise and DOR's 'watch what we do' = contracts kept. Jet Airways' unpaid salaries = breach. Orix's discretionary rewards create implicit contracts that must be honoured as it scales.

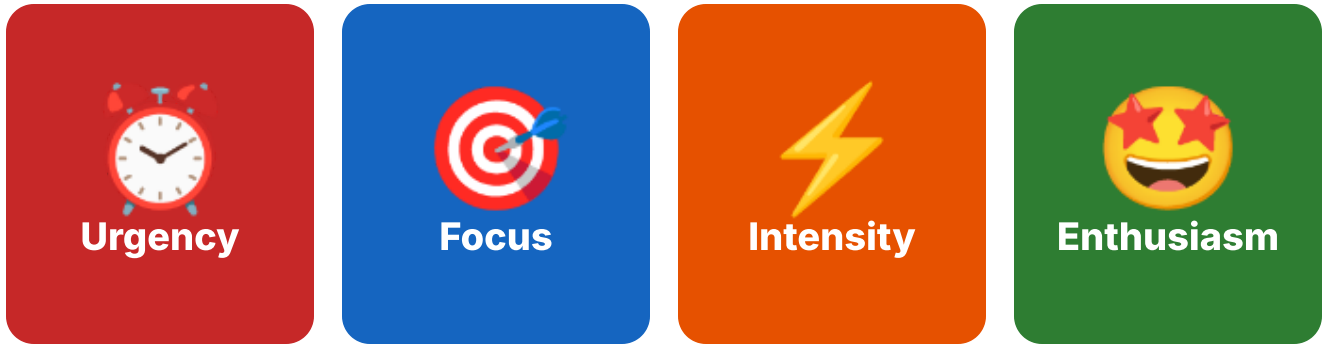
Employee engagement: giving your all

★★ IMPORTANT

📖 Book p.55-57

1 **Engaged people throw themselves into work physically, mentally and emotionally, and it shows in profit.**

2 4 FEELINGS



Gallup: engaged orgs → +10% loyalty · +20% productivity · +21% profit

Drivers: good job design · supportive boss · positive climate · few stressors

3 KEY POINTS

1. Kahn's definition (1990)
2. Indian examples: TCS upskilling, Tata Motors 59%→71%, Hindalco
3. Ritz-Carlton hires on 12 values → turnover 28% vs 55%

4 **IN THE EXAM:** Orix's retreats and DOR's 'fun' value are engagement tools.

Employee engagement: giving your all (full detail)

📚 FULL DETAIL

📖 Book p.55-57

📖 **BOOK DEFINITION (Kahn 1990, p.55-56):** *Engagement is 'the harnessing of organization members' selves to their work roles; in engagement, people employ and express themselves physically, cognitively, and emotionally during role performance.'*

⚡ 4 feelings of engagement

- Urgency
- Focus
- Intensity
- Enthusiasm
- 'Time flies' at work

📥 Drivers (Organizing Framework)

- **Person**: personality, positive psychological capital, human & social capital
- **Situation**: job characteristics (variety, timely feedback) · supportive, trusting leadership · positive organisational climate · few stressors

📈 Outcomes (Gallup, p.57)

- Highly engaged orgs: **+10%** customer loyalty, **+20%** productivity, **+21%** profitability
- Linked to performance, physical & psychological well-being, financial performance, customer satisfaction
- Table 2.3: engagement around the world (Latin America & Africa-Middle East lead)

🛠️ How managers increase it

- Measure, track and respond to engagement surveys
- **Ritz-Carlton** screens candidates on 12 values → turnover 28% vs industry 55%
- Career & development opportunities, recognition, good communication & listening
- Exercise at work, attractive environment, meaningful work, empowerment

🇮🇳 Indian companies (p.57-58)

- **TCS**: >10% raises for top performers (Sept 2025), millions of learning hours in AI/cloud/cyber; bench staff upskill
- **Tata Motors**: engagement 59% (2022) → 71% (2024); voluntary turnover 7.7% → 7.1%; DEI council
- **Hindalco**: Culture Change Champions, one-on-one 'people hour', **Bhoomika** recognition; +14 points Trust Index

🔗 **CASE LINKS / USE IN ANSWER:** Orix's retreats, DOR's 'fun' value and Southwest's culture are engagement tools. Starbucks: public criticism destroyed engagement.

Perceived organisational support (POS)

★ GOOD TO KNOW

📖 Book p.58

1 **When people believe the organisation genuinely cares about them, they pay it back with effort (norm of reciprocity).**

2 HOW POS WORKS



3 KEY POINTS

1. Fostered by fairness, job security, no abusive bosses
2. REI: profit-sharing, health subsidies, discounts

4 **IN THE EXAM:** Southwest open books + no layoffs = high POS.

Perceived organisational support (POS) (full detail)

📚 FULL DETAIL

📖 Book p.58

📖 **BOOK DEFINITION (p.58):** *Perceived organizational support (POS) reflects the extent to which employees believe their organization values their contributions and genuinely cares about their well-being.*

🔄 Norm of reciprocity

- We are motivated to return the favour when someone treats us well
- So employees reciprocate with hard work & dedication
- Treatment must be **voluntary**, not imposed by government or union rules; voluntary acts show genuine respect

🏔️ Example: REI

- Fully funds profit-sharing plan; annual incentive pay on individual, dept & company goals
- Subsidises most medical costs; referral bonus $100–$2,000
- 30–50% discounts on gear

📈 Benefits of POS

- ↑ employee performance, organisational commitment, job satisfaction, OCB, trust, innovation
- ↓ tendency to quit

🛠️ How managers foster POS

- Treat employees fairly
- Avoid political behaviour
- Provide job security
- Empower employees
- Reduce stressors
- Eliminate abusive supervision
- Fulfil the psychological contract

🔗 **CASE LINKS / USE IN ANSWER:** Southwest (open books, no layoffs), Infosys (InfyMe, Infosys Cares), DOR (fixed broken chairs, listened) = high POS. McKinsey: 54% quit because they did not feel valued by the org = low POS.

Job satisfaction: its 5 causes

★★★ MUST KNOW

📖 Book p.59-61

1 **Job satisfaction = how much you like your job. It comes from 5 sources: test all 5 when diagnosing a case.**

2 5 CAUSES

1 Need fulfilment
job meets my needs

2 Met expectations
I got what I was promised

3 Value attainment
job fits my values

4 Equity
I'm treated fairly

5 Disposition
~30% is personality/genes

= JOB SATISFACTION
an emotional response to job facets

3 KEY POINTS

1. Definition: affective response toward **facets** of your job
2. Measured overall OR by facet (JDI: work, pay, promotion, coworkers, boss)
3. Table 2.4 (p.60) lists how managers boost each cause

4 **IN THE EXAM:** Orix: survey wanted raises = expectations/equity. DOR: satisfied despite low pay = value attainment.

Job satisfaction: its 5 causes (full detail)

📚 FULL DETAIL

📖 Book p.59-61

📖 **BOOK DEFINITION (p.59):** *Job satisfaction is an affective or emotional response toward various facets of your job.*

📏 Measuring it

- Not monolithic: satisfied with some facets, not others
- **Single overall rating** (1 very dissatisfied – 5 very satisfied)
- **Facet measure**: Job Descriptive Index (JDI, Cornell): work, pay, promotions, coworkers, supervision; MSQ (Self-Assessment 2.3)
- US Conference Board: **51%** satisfied in 2018, 7th straight rise

🍽️ 1 Need fulfilment

- Satisfaction depends on how far job characteristics let you fulfil your **needs** (physiological or psychological deficiencies that arouse behaviour)
- SHRM: #1 = respectful treatment at all levels; then pay, trust in senior mgmt, job security, using skills
- Manager: understand and meet employees' needs

📬 2 Met expectations

- Difference between what you **expect** (pay, promotion) and what you **get**
- Expectations > outcomes → dissatisfied; outcomes > expectations → satisfied; strongly supported by research
- Manager: meet expectations about what the job offers

💎 3 Value attainment

- Satisfaction from perceiving the job fulfils your important **values**
- Manager: structure work assignments and rewards to reinforce values

⚖️ 4 Equity

- Satisfaction rests on how **fairly** you are treated: your outcomes/inputs vs others'
- Manager: monitor fairness perceptions, interact so people feel equitably treated (Ch 5)

🧬 5 Dispositional / genetic

- Satisfaction is partly a function of personal traits and genes
- Stronger for intrinsic facets (autonomy) than extrinsic (rewards)
- Researchers estimate **~30%** of job satisfaction is dispositional/genetic
- Manager: hire people with an appropriate disposition

🏠 Telecommuting (p.61-62)

- ~50% of US workforce telecommutes part-time; +140% (2005–16)
- ↑ productivity & retention, ↓ absenteeism
- India best practice: hybrid (NatWest 40% office), adjustable schedules (Philips, SAP Labs), outcome metrics, wellness/unlimited leave (Adobe India), stipends

🔗 **CASE LINKS / USE IN ANSWER:** Test all 5 causes: Orix (65% want a raise = met expectations + equity), DOR (satisfied despite low pay = value attainment + needs), Southwest (needs + expectations met).

What job satisfaction leads to (10 outcomes)

★★★ MUST KNOW

📖 Book p.63-68

1 **Satisfaction matters because it changes behaviour: more helping, less harm, fewer quits, happier customers.**

2 4 + 4 + 2 OUTCOMES



ATTITUDES
motivation ↑ involvement ↑ quit-thoughts ↓ stress ↓

→



BEHAVIOUR
performance ↑ OCB ↑ CWB ↓ turnover ↓

→



ORGANISATION
profit ↑ customer satisfaction ↑

3 KEY POINTS

1. Performance link is **moderate & complex**
2. **OCB** = voluntary helping, not formally rewarded
3. **CWB** = harmful acts (theft, bullying, gossip)
4. **Spillover**: happy staff → happy customers

4 **IN THE EXAM:** Southwest: happy employees → best customer service (spillover).

What job satisfaction leads to (10 outcomes) (full detail)

📚 FULL DETAIL

📖 Book p.63-68

📖 **BOOK DEFINITION (p.63):** *Ten key outcomes correlate to job satisfaction: four attitudinal and four behavioral, and two organizational-level outcomes.*

🧠 4 attitudinal outcomes

- **Motivation**: psychological process arousing interest and directing behaviour; positively correlated
- **Job involvement**: extent personally engaged in work role; moderately related
- **Withdrawal cognitions**: thoughts and feelings about quitting; low satisfaction a major contributor (31% quit within 6 months: jerk boss, job ≠ interview, felt alone)
- **Perceived stress**: strong negative link with satisfaction & engagement; linked to absenteeism, turnover, heart disease; detach from work off-hours

🏃 4 behavioural outcomes

- **Job performance**: moderately related; relationship complex (7,000 people, 3 years); each indirectly influences the other
- **OCB**: moderately positive
- **CWB**: strong negative
- **Turnover**: moderately strong negative

🏢 2 organisational outcomes

- **Accounting/financial performance**: positive (448 business units), weaker than with productivity since many factors affect profit
- **Customer service/satisfaction**: positive via the **spillover effect**: attitudes in one part of life spill into another

🚪 Turnover detail (p.68)

- Can be good (losing a 'George Costanza')
- Losing a good employee loses knowledge; cost ≈ 20% of salary for hourly staff, more for specialists
- Mercer: voluntary turnover >15%
- Reduce: hire for culture fit · foster engagement · selective hiring with analytics (Dash Design) · onboarding · recognise high performers (North 6th Agency points)

🎬 Netflix harassment policy (p.64-65)

- After Kevin Spacey, Netflix banned asking for numbers, flirting, staring >5 seconds
- Mocked; employees began counting stares
- Lesson: policies must fit reality and be taken seriously

🔗 **CASE LINKS / USE IN ANSWER:** 'Is job satisfaction real or myth?': it's real because it predicts OCB, CWB, turnover, customer satisfaction; the link to performance is only moderate. Southwest = spillover to customers.

OCB vs CWB: the good citizen and the saboteur

★★ IMPORTANT

📖 Book p.65-67

1 **Satisfied employees go the extra mile (OCB). Dissatisfied ones may quietly harm the organisation (CWB).**

2 OCB vs CWB



OCB (citizenship)

- Helping & training newcomers
- Suggestions for improvement
- Caring for property
- Punctual beyond rules

VS



CWB (counterproductive)

- Theft, fake invoices
- Bullying, gossip, harassment
- India: absenteeism, nepotism, caste bias
- Time theft, sabotage

3 KEY POINTS

1. OCB is voluntary and adds up across people
2. CWB has a strong negative link with satisfaction
3. Reduce CWB: careful hiring, satisfying jobs, remove abusive bosses, act fast

4 **IN THE EXAM:** Starbucks blame-shifting and BoB fake entries are CWB; Southwest's volunteering is OCB.

OCB vs CWB: the good citizen and the saboteur (full detail)

📚 FULL DETAIL

📖 Book p.65-67

📖 **BOOK DEFINITION (p.65-66):** *OCB is 'individual behavior that is discretionary, not directly or explicitly recognized by the formal reward system, and that in the aggregate promotes the effective functioning of the organization.' CWB harms other employees, the organization as a whole, and/or organizational stakeholders.*

🦸 OCB: 2 key points + examples

- OCBs are **voluntary**; they help groups and the org achieve goals
- Constructive statements about the department · interest in others' work · suggestions for improvement · training new people
- Respect for the spirit of rules · care for org property · punctuality & attendance beyond standard
- Volunteerism = discretionary citizenship that builds org image

📈 Why OCB matters

- Moderately positive correlation with job satisfaction
- Individual: better appraisal ratings, lower quit intentions & absenteeism
- Org: productivity, efficiency, lower costs, customer satisfaction, unit-level satisfaction
- Creates positive impressions → promotability

🦹 CWB examples

- Bullying, theft, gossip, backstabbing, drug/alcohol abuse, destroying property, violence, deliberately poor work, personal Internet surfing, excessive socialising, tardiness, sabotage, sexual harassment
- IKEA worker issued himself ~$400,000 refunds; lab manager faked $1.2M invoices; postal worker faked jury duty for $40,000

🇮🇳 CWB in India (p.67)

- Withdrawal & absenteeism (up to 20% in some firms); time theft; stealing; embezzlement; record & payroll falsification
- Bribery & corruption; abusive leadership & harassment; **favouritism & nepotism**; discrimination by caste, gender, religion, age
- Stealing credit; breach of confidentiality & insider trading; fraud with clients

🛑 3 ways to reduce CWB

- 1 Hire people less prone to CWB (cognitive ability, personality tests)
- 2 Design jobs that promote satisfaction; eliminate abusive managers
- 3 Respond quickly; define unacceptable behaviours and the standard required

🔗 **CASE LINKS / USE IN ANSWER:** Southwest's 144,000 volunteer hours = OCB. Starbucks blame-shifting, BoB fake entries, Satyam fraud = CWB.

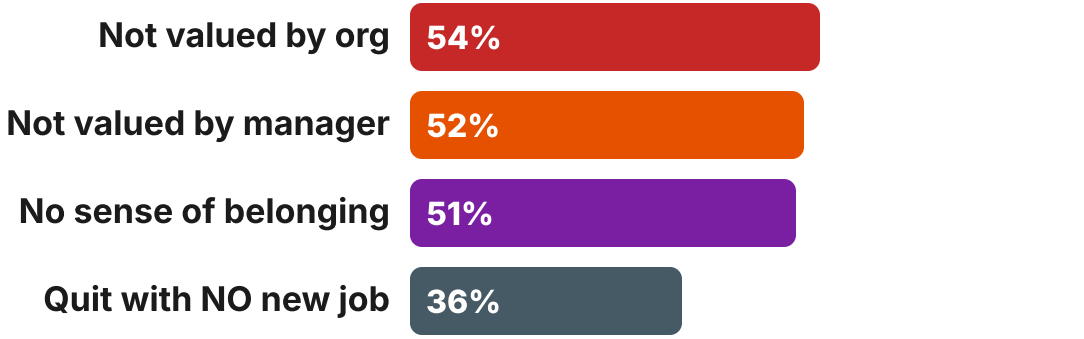
Is job satisfaction real or a myth? McKinsey 'Great Attrition'

★★★ MUST KNOW

📖 Book Handout + p.68

1 **People don't quit mainly over pay. They quit because they don't feel valued or don't belong.**

2 WHY PEOPLE QUIT (%)



Employers wrongly assumed: **pay, work-life balance, health**

3 KEY POINTS

1. **Relational** (feel valued) > **transactional** (pay, perks)
2. Fix: listen, strengthen managers, career paths, community, flexible benefits
3. Verdict for the essay: satisfaction is REAL and measurable, but money alone won't buy it

4 **IN THE EXAM:** Use with DOR (high satisfaction, low pay) and Orix (culture > cash).

Is job satisfaction real or a myth? McKinsey 'Great Attrition' (full detail)

📚 FULL DETAIL

📖 Book Handout + p.68

💬 **KEY QUOTE (McKinsey 2021, handout 4):** *The central employer–employee disconnect was relational versus transactional: employers emphasized pay and practical issues, while employees emphasized belonging and appreciation.*

📊 The scale

- **19M+** US workers quit since April 2021
- **40%** at least somewhat likely to quit; **64%** of employers expect high turnover to persist
- Survey: 5,774 workers in Australia, Canada, Singapore, UK, US + 250 employers
- Likely to leave: hospitality 47%, goods 43%, white collar 41%, trade 38%, healthcare 36%, education 32%

🚪 Quitting without a job

- **36%** of likely quitters would leave with no job lined up; 64% of US quitters did
- Healthcare: 42% quit without a new job
- **45%** cited family-care needs

🎯 Why they left vs what employers thought

- Not valued by organisation **54%**
- Not valued by manager **52%**
- No sense of belonging **51%**
- Employers assumed: compensation, work-life balance, poor health
- Raises & thank-you bonuses feel transactional

🏠 Remote work

- 65% of people who took jobs in another city/state could work remotely; only 13% relocated
- 87% of those unlikely to quit cited liking where they live
- Mishandled hybrid → avoidable exits

🛠️ 5 actions: attrition → attraction

- 1 Listen systematically; involve employees
- 2 Strengthen managers; build hybrid leadership
- 3 Redesign benefits (childcare: **Patagonia** ~100% new-mother retention)
- 4 Career paths & recognition (**Waffle House** grill levels)
- 5 Build community: staycations, Slack activities, coffee chats

⚖️ Verdict + 2.6 takeaways (p.69)

- Satisfaction is **real** & measurable, but money alone won't buy it
- Managers: hire for value match; reinforce beliefs; build emotional connections & team spirit
- Stay positive & model engagement; discuss expectations and socialise newcomers (many quit in year 1)
- You: identify core values; before quitting do a cost-benefit analysis

🔗 **CASE LINKS / USE IN ANSWER:** Use with DOR (high satisfaction without high pay) and Orix (culture over cash) to argue satisfaction is relational. Theory link: POS, psychological contract, need fulfilment.

Module 3 roadmap: Emotions & Social Perception

★ **Part A: how emotions shape work (EI, emotions, R3, Prudence). Part B: how we see and judge others (perception, stereotypes, attribution, Yelp).**

75 **Emotional Intelligence (EI): 4 skills** + detail ★★★

78 **Low EI in action: Uber's Travis Kalanick** + detail ★★

80 **Emotions: felt vs displayed; positive vs negative** + detail ★★

82 **Anger looks back, fear looks forward** + detail ★★

84 **R3: Treat resistance to change as DATA, not defiance** + detail ★★★

87 **Case 7: Prudence in a maze of metaphors** + detail ★★★

90 **Perception: we act on what we SEE, not on reality** + detail ★★★

92 **What shapes how we see a person (Figure 4.3)** + detail ★★

94 **Implicit bias in hiring & appraisal** + detail ★★★

96 **Stereotypes: how they form and how to break them** + detail ★★★

98 **Attribution: is it the PERSON or the SITUATION? (Kelley)** + detail ★★★

100 **Two biases: blaming others, crediting ourselves** + detail ★★

102 **Case 8: Yelp: where bias enters the hiring funnel** + detail ★★★

⚡ **Fast path:** read slides **75–77, 84–86, 87–89, 90–91, 94–95, 96–97, 98–99, 102–104** first, then the rest.

Numbers = slide numbers. Each topic: 🖼️ picture slide, then 📚 full-detail slide. ★★★ **must know: read first** ★★ **important** ★ **if time**

Emotional Intelligence (EI): 4 skills

★★★ MUST KNOW

📖 Book p.105-106

1 **EI = noticing and managing emotions: your own (personal) and other people's (social).**

2 THE 2 × 2

🪞 **Self-awareness** know my emotions & limits	🧘 **Self-management** control impulses, adapt
👂 **Social awareness** empathy, read the room	🤝 **Relationship mgmt** influence, resolve conflict, teamwork

3 KEY POINTS

1. Goleman's 4 domains (Table 3.6 lists the sub-skills)
2. Top row = personal competence; bottom row = social competence
3. EI can be developed, unlike IQ
4. But EI is NOT the biggest driver of performance (p.110)

4 **IN THE EXAM:** Starbucks 'Alex' and Uber's Kalanick lacked empathy (social awareness) → toxic teams.

Emotional Intelligence (EI): 4 skills (full detail 1/2)

📚 FULL DETAIL

📖 Book p.105-106

📖 **BOOK DEFINITION (p.105):** *Emotional intelligence is the ability to monitor your own emotions and those of others, to discriminate among them, and to use this information to guide your thinking and actions. EI is a mixture of personality and emotions.*

🪞 1 SELF-AWARENESS (personal competence)

- **Emotional self-awareness**: reading your own emotions and recognising their impact; using 'gut sense' to guide decisions
- **Accurate self-assessment**: knowing your strengths and limits
- **Self-confidence**: a sound sense of your self-worth and capabilities

🎛️ 2 SELF-MANAGEMENT (personal competence)

- **Emotional self-control**: keeping disruptive emotions and impulses under control
- **Transparency**: honesty, integrity, trustworthiness
- **Adaptability**: flexibility with change or obstacles
- **Achievement**: drive to meet inner standards of excellence
- **Initiative**: readiness to act and seize opportunities
- **Optimism**: seeing the upside in events

👀 3 SOCIAL AWARENESS (social competence)

- **Empathy**: sensing others' emotions, understanding their perspective, taking active interest in their concerns
- **Organisational awareness**: reading the currents, decision networks and politics at org level
- **Service**: recognising and meeting follower, client or customer needs

Emotional Intelligence (EI): 4 skills (full detail 2/2)

📚 FULL DETAIL

📖 Book p.105-106

🤝 4 RELATIONSHIP MANAGEMENT (social competence)

- **Inspirational leadership**: guiding and motivating with a compelling vision
- **Influence**: wielding a range of persuasion tactics
- **Developing others**: feedback & guidance
- **Change catalyst**: initiating and leading in a new direction
- **Conflict management**: resolving disagreements
- **Building bonds**: a web of relationships
- **Teamwork & collaboration**

📈 Benefits & dark side (p.109, Fig 3.6)

- ~75% of Fortune 500 use EI products/services; builds on Gardner's inter- & intra-personal intelligences
- Linked to better social relationships, well-being, satisfaction; store managers' EI → team cohesiveness → sales; creativity
- **Dark side**: high-EI people fake personality tests better; can manipulate (fake empathy)
- Fig 3.6: no strong links; EI is **NOT** the big driver of performance consultants claim
- EI vs IQ: EI is more flexible and can be developed throughout working life

🛠️ How to develop EI: Goleman & Nevarez (p.109-110)

- **Q1** How do I see myself vs how others see me? (self-assess on Table 3.6 + feedback from friends, boss, coach)
- **Q2** What matters to me? (decide goals & which EI parts to develop)
- **Q3** What changes will I make? (a plan; goal setting, Ch 6)
- Fig 3.7 EQ → career readiness: self-awareness → self-mastery, adaptability & resilience, communication, relationships, conflict handling, ethical behaviour
- Tillman Fertitta: 'I treat everybody differently'

🔗 **CASE LINKS / USE IN ANSWER:** Uber (Kalanick) = low empathy & relationship management. R3: leaders must regulate their OWN reaction to resistance (self-management). Southwest & DOR leaders = high social awareness.

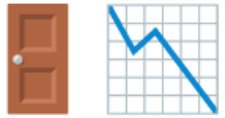
Low EI in action: Uber's Travis Kalanick

★★ IMPORTANT

📖 Book p.107-108

1 **A brilliant founder with little empathy built a toxic culture, then blamed others for it.**

2 THE STORY

1	2	3	4
			
Argues with an Uber driver; blames him	Calls scandals a 'PR problem', not culture	Bullying, retaliation against complainers	Execs quit; he's ranked last among tech CEOs

3 KEY POINTS

1. Traits: grandiose, no empathy, arrogant, entitled
2. Indian research: **Dark Triad** (Machiavellianism, narcissism, psychopathy)
3. Moderate levels can help performance; high levels hurt

4 **IN THE EXAM:** Answer: problem = toxic culture; cause = low EI + dark traits + blaming others (FAE); fix = coaching, 360° feedback, change leader.

Low EI in action: Uber's Travis Kalanick (full detail)

📚 FULL DETAIL

📖 Book p.107-108

💬 **KEY QUOTE (Uber box in the book, page 107):** *Kalanick claimed Uber had a public relations problem, instead of acknowledging the company he founded and created had a serious culture problem.*

📰 The facts

- Scandals: sexual harassment at corporate; rape & illegal-behaviour allegations against drivers; surge pricing during a JFK taxi strike (greed)
- Seeming disregard for, if not encouragement of, rampant harassment
- Video: argued with an Uber driver; blamed drivers for not taking personal responsibility; at the 'apology' meeting he **doubled down**
- Bullying and retaliation against people who complained to HR

⚔️ Leadership behaviour

- 'Unrelentingly combative'; switched between praising and tearing people down in meetings
- President **Jeff Jones** quit after a few months without negotiating an exit package (left millions)
- Employee survey: Kalanick ranked **last** among tech CEOs

✅ Narcissism checklist (book)

- Grandiose self-importance ✓
- Lack of empathy ✓
- Arrogant ✓
- Sense of entitlement ✓
- Demand excessive admiration: perhaps

🌑 Indian research: Dark Triad (p.108)

- Dark Triad = **Machiavellianism, narcissism, psychopathy**
- 2022 study: link to job performance is **curvilinear**; moderate levels help (strategic thinking, confidence, risk taking), esp. in competitive jobs; high levels hurt
- Workplace spirituality (WPS) cuts perceived incivility & silence, but dark traits **nullify** its benefit
- Q: coach managers to use moderate dark strengths, or mitigate them to keep civility?

📝 3-step answer (board's view)

- **1 Problem**: toxic culture → harassment, turnover (Jones), reputation & customer loss
- **2 Causes**: low social awareness (empathy) & relationship management; narcissistic traits; self-serving / fundamental attribution bias ('drivers lack responsibility'); no accountability
- **3 Fix**: short term: independent investigation, protect complainants, executive coaching; long term: new CEO/board oversight, values, 360° feedback, EI-based leader selection

🔗 **CASE LINKS / USE IN ANSWER:** Use as the textbook example of a leader whose low EI creates a toxic culture. Contrast with Kelleher (Southwest) and Krupp & Grennes (DOR).

Emotions: felt vs displayed; positive vs negative

★★ IMPORTANT

📖 Book p.111-112

1 **Emotions are short reactions to something specific. What you FEEL and what you SHOW can differ, and goals decide which emotion you get.**

2 TYPES OF EMOTION

😊
Positive
goal achieved: joy, pride, relief

😞
Negative
goal blocked: anger, fear, guilt, envy

😐
Mixed
promotion... but must relocate

🎭
Felt vs displayed
feel angry, show calm

3 KEY POINTS

1. Emotions communicate and motivate
2. Bigger goal → stronger emotion
3. Procrastination = coping with anxiety (p.112)
4. Display norms: what emotions are OK to show at work

4 **IN THE EXAM:** Prudence feels exhaustion & self-doubt (negative, goal-blocking).

Emotions: felt vs displayed; positive vs negative (full detail)

📚 FULL DETAIL

📖 Book p.111-112

📖 **BOOK DEFINITION (p.111):** *Emotions are complex, relatively brief responses aimed at a particular target, such as a person, information, experience, or event. They also change psychological and/or physiological states.*

🎭 Felt vs displayed (p.111)

- Passed over for promotion: **feel** disappointed/angry; **display** nothing (choosing 'no emotion') or cry
- Your display affects outcomes (e.g., the manager's reaction)
- Taxi drivers, waiters, hairdressers earned **higher tips** when trained to manage felt vs displayed emotions
- Emotions motivate behaviour and **communicate** (smile vs scowl); more changeable than other individual differences

🎯 Emotions & goals (p.112)

- **Positive = goal congruent**: joy, gratitude, pride, satisfaction, contentment, relief (graduate on time with honours)
- **Negative = goal incongruent** (frustration/failure): anger, fright, anxiety, guilt, shame, sadness, envy, jealousy, disgust (failing a required final)
- **Mixed**: well-earned promotion that requires moving to another state
- The more important the goal, the more intense the emotion

📏 Display norms (p.113)

- Expectations about which emotions are appropriate to show (happy with customers, calm in meetings, no anger)
- Crying at work: **38%** OK occasionally (frequent hurts career), **31%** no effect, **32%** never OK (seen as weak)

⏳ Procrastination = emotions (Applying OB, p.112)

- Irrational delay despite expecting to be worse off; a way to cope with **stress/anxiety**
- Impulsive people → more anxious → procrastinate more
- Fixes: **1** set subgoals with start/end times · **2** just do it (start part) · **3** envision benefits & feelings · **4** reward yourself

💼 Job-search emotions (p.115)

- Get organised & disciplined; plan 'If X happens, then I'll do Y'
- **Fear**: future-oriented → build scenarios
- **Frustration**: don't take it personally; learning opportunity
- **Excitement**: don't get complacent, keep searching

🔗 **CASE LINKS / USE IN ANSWER:** Case 7: Prudence feels exhaustion, unease and self-doubt (negative, goal-incongruent) but displays calm. Starbucks staff hid frustration. R3: resistance is often fear or anxiety.

Anger looks back, fear looks forward

★★ IMPORTANT

📖 Book p.113

1 **After a change, angry people are upset about what HAPPENED; fearful people worry about what MIGHT happen. Treat them differently.**

2 PAST vs FUTURE



ANGER (Shelby)

- About the PAST
- 'The layoff process was unfair'
- → explain & fix fairness of process

VS



FEAR (Jennifer)

- About the FUTURE
- 'Am I next?'
- → reduce uncertainty, communicate

3 KEY POINTS

1. Both survived a 15% downsizing
2. Anger at issues (not people) can help
3. Shame/anger from feedback → CWB

4 **IN THE EXAM:** Links to R3: 'anxiety' resistance = fear. Procedural justice handles anger.

Anger looks back, fear looks forward (full detail)

📚 FULL DETAIL

📖 Book p.113

📖 **BOOK DEFINITION (p.113):** *Anger is a backward-looking or retrospective emotion. Fear is a forward-looking or prospective emotion.*

😠 Shelby: ANGER (past)

- Company downsized **15%**; Shelby survived
- Angry about something that already happened: probably HOW decisions were made about whom to cut
- May think the process was unfair (three favourite colleagues let go)
- Manager: explain & fix the fairness of the PROCESS (procedural justice)

😨 Jennifer: FEAR (future)

- Fearful of what might happen: 'might my job be cut next?'
- Manager: reduce uncertainty: communicate plans, timelines, criteria; reassure where honest

🗂️ Table 3.7: negative emotions & how to handle them

- **Fearful**: step back: 'Is my career really at risk?' If not, reframe as nervous excitement
- **Rejected**: do I respect the source? If yes, ask: 'Can you explain what happened?'
- **Angry**: get distance to calm down; pinpoint the rule/standard violated; communicate its importance so it doesn't recur
- **Frustrated**: everyone is; focus energy on what you can change
- **Stressed**: prioritise important over urgent; build self-efficacy

🔥 Anger at work (OB in Action, p.113-114)

- Andrew Cornell (Cornell Iron Works): frequent, brief meetings instead of 'throwing a nuclear bomb'
- ALL-CAPS hostile e-mails, screaming = counterproductive & damage the perpetrator's reputation
- **Costs**: shame/anger in feedback → CWB (abuse, theft); aggressive customers → employees make more mistakes
- **Benefits**: anger can communicate forcefully & solve problems when aimed at **issues, not individuals**

🔗 **CASE LINKS / USE IN ANSWER:** R3 'anxiety' and 'loss' map onto fear and anger. Orix staff anger at unequal deals = past, about fairness. Change at DOR: fear of job loss.

R3: Treat resistance to change as DATA, not defiance

★★★ MUST KNOW

📖 Book Reading R3

1 **When people push back on change, they're telling you something. Find out which of 4 things it is before reacting.**

2 4 KINDS OF RESISTANCE



LOSS

'What am I losing?' → name it, honour the old way



ANXIETY

'What happens to me?' → repeat messages, admit unknowns



LACK OF CONTROL

'Why is this done TO me?' → involve early, co-create



REAL FLAWS

'This won't work' → get curious, adapt plan

3 KEY POINTS

1. Leader traps: personalising, moralising, rushing
2. Pushing harder drives resistance underground
3. Beware 'faux-inclusion' (asking after deciding)
4. Then **hold the line** on behaviour, kindly but firmly

4 **IN THE EXAM:** Labelling resisters 'difficult' = fundamental attribution bias. Use with procedural justice & voice (Ch 5).

R3: Treat resistance to change as DATA, not defiance (full detail 1/2)

📚 FULL DETAIL

📖 Book Reading R3

💬 **KEY QUOTE (Carucci, HBR Apr 2026):** *All resistance is meaningful data. As a leader, your job isn't to determine whether it's valid; it's to understand what it's telling you. What we call resistance is almost always something else: fear, loss, confusion, overload, or a legitimate flaw in the change itself.*

🧠 Why leaders misread it

- Resistance doesn't feel like data, it feels like **defiance**; leader feels challenged, undermined, slowed
- So we default to **interpretation instead of diagnosis**: 'they're just being difficult'
- Leaders respond to surface behaviour (missed deadlines, gossip, eye rolling) without diagnosing what's underneath

🪤 3 traps

- **1 Personalising**: reaction to the change seen as reaction to ME (disrespect)
- **2 Moralising**: 'Are you a team player?': shuts down the dialogue that could improve the change
- **3 Rushing to resolution**: persuade harder, escalate authority; speed compromises understanding
- Result: resistance amplified or driven **underground**: silence ≠ alignment

💔 1 LOSS: 'What am I losing?'

- Lost authority, expertise, relationships, identity (manager no longer the decider; tenured expert no longer the expert)
- Looks like: defending old way, undermining new approach, clinging to decision rights, overemphasising risks
- Do: **name the loss directly · honour what the old way represented · re-anchor their value in the future**

R3: Treat resistance to change as DATA, not defiance (full detail 2/2)

📚 FULL DETAIL

📖 Book Reading R3

😰 2 ANXIETY: 'What does this mean for me?'

- Uncertainty = powerful stress trigger; people fill gaps with worst cases; overwhelmed, look disengaged
- Leaders overestimate the clarity of their message
- Do: **communicate consistently, not just clearly** (repeat) · **normalise the uncertainty** ('I don't have every answer yet') · **create space for questions**

🕹️ 3 LACK OF CONTROL: 'Why is this being done to me?'

- People resist feeling powerless or excluded more than change itself
- Looks like: passive compliance, minimal effort, retreating to old habits, no ownership
- **Faux-inclusion** = asking for input after decisions are made
- Do: **be explicit where input matters** · **involve early** · **turn participation into co-creation** ('the direction is set; how we make it work we figure out together')

🔧 4 FLAWS IN THE CHANGE: 'This doesn't work.'

- Unrealistic timelines; processes that don't match real work; conflicts with other initiatives
- Ask: 'What might this person be seeing that I'm not?'; resisters are often closest to the risks
- Do: **get curious before corrective** · **separate the signal from the delivery** · **be willing to adapt the plan**

🛑 Holding the line: honour emotion, hold behaviour

- Listening earns the **right to hold the line**; one eye-roll is human, consistent undermining is a leadership issue
- Avoid extremes: cracking down too early vs waiting too long
- **1 Name the behaviour & impact without judgement** · **2 Separate the person from the expectation** ('you don't have to agree, but engage helpfully') · **3 Follow through consistently: escalate clarity, not emotion**
- 'Accountability isn't about control, but care'

🔗 **CASE LINKS / USE IN ANSWER:** Theory links: emotions (fear = anxiety; anger = loss), fundamental attribution bias (labelling the person), procedural justice & voice (Ch 5), SDT autonomy (control). Use for any change/resistance case (DOR turnaround, Orix scaling).

Case 7: Prudence in a maze of metaphors

★★★ MUST KNOW

📖 Book Case 7

1 **One working mother's day shows every hidden barrier women face, each with a name.**

2 PRUDENCE'S DAY

1	2	3	4	5
				
STICKY FLOOR at home; LEAKY PIPELINE train loses women	GLASS CEILING above; asked to climb the GLASS CLIFF	QUEEN BEE: 'earn your stripes'; MANSPLAINING colleague	DOUBLE BIND signs; MOTHERHOOD PENALTY	SECOND SHIFT at home; IMPOSTER SYNDROME at night

3 KEY POINTS

1. Intersectionality: overlapping disadvantages
2. The 'maze' = many barriers over a whole career
3. OB lenses: stereotypes, attribution, emotions, values conflict

4 **IN THE EXAM:** Answer: problem = talent loss (leaky pipeline); causes = stereotypes + double bind (situation), imposter syndrome (person); fix = flexible work, sponsorship, fair appraisal.

Case 7: Prudence in a maze of metaphors (full detail 1/2)

📚 FULL DETAIL

📖 Book Case 7

💬 **KEY QUOTE (IMD case IM1444, 2024):** *Who was the real imposter? Was it her, or the convoluted Maze of obstacles surrounding her?*

🚶‍♀️ Prudence's day (the story)

- **Kitchen**: stuck to the Sticky Floor making breakfast for twin daughters → late again
- **Metro**: Leaky Pipeline express loses female passengers at each station
- **Office**: blue sky but hidden Glass Ceiling; asked to lead an emergency meeting via the treacherous **Glass Cliff** stairs
- **Stairs**: VP Victoria (Queen Bee): 'You have to earn your stripes'; male colleague mansplains 'drop that heavy backpack'
- **Double Bind signs**: Be Assertive / Be Nurturing; Take Charge / Follow Instructions; Speak Your Mind / Keep the Peace; Dream Big / Stay Grounded
- **Evening**: Motherhood Penalty (colleagues resent early exit; boss doubts she can take more); the Intersection; Second Shift & Invisible Job; Imposter Syndrome at night

📖 Exhibit 1: the 13 metaphors (1)

- **Sticky Floor**: societal or self-imposed limits that keep women from advancing despite capability
- **Leaky Pipeline**: gradual loss of women & under-represented groups at each career stage (systemic barriers, life-stage conflicts)
- **Glass Ceiling**: invisible barriers to top leadership despite qualifications
- **Glass Cliff**: precarious leadership roles offered to women/minorities in crises → higher failure risk
- **Queen Bee**: women leaders who assimilate by distancing from junior women, legitimising inequality
- **Mansplaining**: condescending explanations assuming women know less

Case 7: Prudence in a maze of metaphors (full detail 2/2)

📚 FULL DETAIL

📖 Book Case 7

📖 Exhibit 1: the 13 metaphors (2)

- **Double Bind**: conflicting expectations (assertive AND nurturing, ambitious yet humble)
- **Motherhood Penalty**: setbacks from assumptions about availability/commitment after becoming a mother
- **Second Shift**: additional unpaid labour at home after the workday
- **Invisible Job**: unseen emotional & mental labour of running a household
- **Imposter Syndrome**: internalised self-doubt despite success
- **Intersectionality**: overlapping disadvantage from multiple identities (race, gender, class, sexuality, disability)
- **Maze**: the many barriers across the whole career journey

🔬 OB lenses

- **Stereotypes** (p.133): gender-role beliefs, women of colour hit hardest; double bind = conflicting stereotypes
- **Perception & implicit cognition**: boss assumes lower commitment (motherhood penalty)
- **Attribution**: leaving early → internal 'not committed' (fundamental attribution bias), ignoring the situation
- **Emotions**: exhaustion, unease, self-doubt; **core self-evaluations**: imposter syndrome lowers self-efficacy
- **Values**: benevolence/family vs achievement; **psych. contract & POS**

✅ Answer frame & recommendations

- **Problem**: capable women plateau or exit (leaky pipeline) → lost talent
- **Causes**: situation factors (stereotypes, double bind, motherhood penalty, queen-bee culture, glass cliff) + person factor (imposter syndrome)
- **Recos**: structured, objective appraisal & promotion criteria; flexible work/i-deals with no career penalty; sponsorship & mentoring; support for crisis roles; stereotype-awareness & attribution training; equal parental leave norms; track pipeline data by stage

🔗 **CASE LINKS / USE IN ANSWER:** Pairs with Yelp (bias in systems) and Ch 4 stereotypes. Book: 'women of colour are more negatively affected by sex-role stereotypes' = intersectionality.

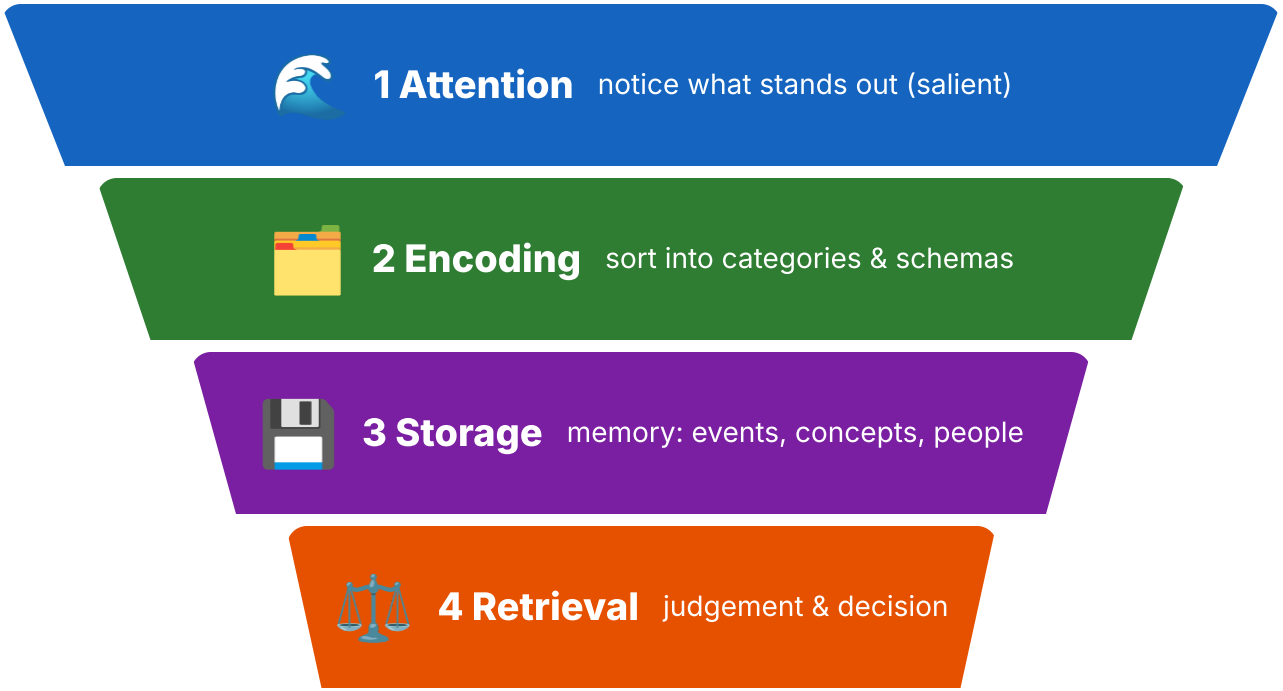
Perception: we act on what we SEE, not on reality

★★★ MUST KNOW

📖 Book p.126-128

1 **Our brain filters a flood of information in 4 stages, so two people can 'see' the same employee very differently.**

2 4 STAGES



3 KEY POINTS

1. Perception = interpreting our surroundings
2. **Schema** = mental picture (red 2-door = sports car)
3. Perception drives hiring, appraisals, promotions
4. Rahul (Indian PSU, p.125): great work, invisible → passed over

4 **IN THE EXAM:** Use for any bias/promotion/hiring question: 'perception, not performance, drove the decision'.

Perception: we act on what we SEE, not on reality (full detail)

📚 FULL DETAIL

📖 Book p.126-128

📖 **BOOK DEFINITION (p.126):** *Perception is a cognitive process that enables us to interpret and understand our surroundings. It is based on our perception of reality, not on reality itself.*

1️⃣ Stage 1: Selective attention / comprehension

- Bombarded by stimuli, we selectively perceive subsets
- **Attention** = becoming consciously aware of someone/something
- We notice **salient** stimuli: stand out from context (a 250-pound man in a women's aerobics class, not at an NFL meeting)
- Needs & goals dictate what is salient

2️⃣ Stage 2: Encoding & simplification

- Raw info → mental representations via **cognitive categories** (dog, animal)
- **Schema** = a person's mental picture or summary of an event or type of stimulus (small, red, two-door = sports car)
- Encoding & schemata simplify a bewildering range of inputs

3️⃣ Stage 3: Storage & retention

- Long-term memory = apartment complex with 3 wings
- **Event memory**: specific & general events; scripts (restaurant, job interview)
- **Semantic memory**: general knowledge, a dictionary of concepts (a good leader: outgoing, works hard)
- **Person memory**: about individuals (your professor) or groups (professors)

4️⃣ Stage 4: Retrieval & response

- Judgements made by **(1)** drawing on & integrating stored categorical info, or **(2)** retrieving a summary judgement already made

🎓 Book example: choosing a finance professor

- Ask friends & interview profs (attention: stimuli A–F) → focus on teaching method, tests, grades (encoding: A, C, F)
- → stored in memory → on registration day choose the case-method/essay-test professor (C), or just recall your decision

🏢 Winning at Work: Rahul Verma (p.125)

- Management trainee at a PSU; brilliant, thorough, never missed deadlines, but never spoke in meetings or led initiatives
- Missed promotion: committee saw 'a good worker not prepared to lead big teams'
- Lesson: performance ≠ potential ≠ **visibility**; silence created a story. Also ONGC/BSNL favouritism allegations
- WW (Weight Watchers) dropped the word 'diet' to change perception

🔗 **CASE LINKS / USE IN ANSWER:** Yelp recruiters' screening = selective attention + schemas ('good engineer' = elite school). Prudence: boss's schema of a committed worker. Rahul = classic 'quiet ≠ leader' perception question.

What shapes how we see a person (Figure 4.3)

★★ IMPORTANT

📖 Book p.128-130

1 **Perception depends on 3 things: who's looking, who's being looked at, and the situation.**

2 **3 INGREDIENTS**



PERCEIVER (6)
needs, experience, stereotypes, mood, tiredness

+



TARGET (5)
looks, dress, gaze, body language

+



SITUATION (2)
context, culture match

3 **KEY POINTS**

1. Tired/overloaded perceivers stereotype more
2. 'Beauty is good' bias favours attractive people
3. Culture differences cause misreadings

4 **IN THE EXAM:** Explain why a manager misjudged someone: perceiver bias + target cues + context.

What shapes how we see a person (Figure 4.3) (full detail)

📚 FULL DETAIL

📖 Book p.128-130

📖 **BOOK DEFINITION (p.128):** *Perception is influenced by three key components: the characteristics of the perceiver, of the target (the person or group being observed) and of the situation.*

🧑 PERCEIVER (6)

- **Direction of gaze**: focuses attention; we remember people who make eye contact
- **Needs & goals**: hungry → notice food; looking for a friend → miss strangers
- **Experience with target**: same firm handshake read as controlling or friendly
- **Category-based knowledge**: stored perceptions incl. stereotypes (professors are intelligent; liars untrustworthy)
- **Gender & emotional status**: women read emotions more accurately; negative mood → negative perceptions
- **Cognitive load**: tired/distracted → distorted, stereotypical judgements

🎯 TARGET (5)

- **Direction of gaze**: eye contact = interest; darting eyes = opposite
- **Facial & body shape**: height ↔ prosperity, income; excess weight stereotyped as lazy, incompetent
- **Nonverbal cues**: folded arms, scowl, crossed legs = defensive; touch = warmth in many cultures
- **Appearance/dress**: tattoos assumed unserious, but survey of 2,000+: same employment & earnings
- **Physical attractiveness**: 'beauty-is-good' → better jobs, ratings, earnings

🌍 SITUATION (2)

- **Context of interaction**: taking food at your parents' home vs a co-worker's fridge; texting at dinner vs in a meeting
- **Culture & race consistency**: we read emotions better in our own culture/race (Kinicki's joke to silent Finnish managers)

🌐 Developing cultural awareness (6 tips)

- 1 Know what you don't know
- 2 Try not to judge prematurely
- 3 Do some homework
- 4 Rely on good manners (use informality with care)
- 5 Reach out to others to learn
- 6 Build diverse teams
- Americans see an apology as admitting wrongdoing; Japanese as eagerness to repair

🔗 **CASE LINKS / USE IN ANSWER:** Yelp: 'culture fit' interviews depend on perceiver needs & category knowledge; voice reveals gender (target cue). Prudence: context (leaving early) changes how she is perceived.

Implicit bias in hiring & appraisal

★★★ MUST KNOW

📖 Book p.131-132

1 **Implicit cognition = automatic beliefs we don't notice, which quietly bias hiring and ratings.**

2 BIAS → FIX



THE BIAS

- Women called 'caring', men 'decisive'
- Recruiters open men's profiles more
- Unstructured 'culture fit' chats

VS



THE FIXES (3)

- 1 Train people to spot bias
- 2 Structured interviews (same Qs)
- 3 Multiple interviewers
- + blind / virtual interviews

3 KEY POINTS

1. Appraisal fix: objective measures, performance diary
2. Female CEOs succeed when predecessors are gender-neutral 'gatekeepers'

4 **IN THE EXAM:** Core page for YELP: audio screens reveal gender, onsite 'culture fit', clone deciders → structured, blind, diverse panels.

Implicit bias in hiring & appraisal (full detail)

📚 FULL DETAIL

📖 Book p.131-132

📖 **BOOK DEFINITION (p.131):** *Implicit cognition represents any thoughts or beliefs that are automatically activated from memory without our conscious awareness. Implicit bias leads people to make biased decisions without realizing they are doing so.*

🧑‍💼 HIRING (p.131)

- Interviewers judge how an applicant fits the *perceived* job requirements
- Recommendation letters: women described as **caring, friendly, nice**; men as **strong, decisive, outstanding**
- **3 solutions**: (1) train managers to recognise hidden bias (2) **structured interviews**: same sequence of questions to all → more reliable (3) **multiple interviewers**
- Virtual interviews: ExxonMobil, Porsche Consulting, ClubMed (speed, cost, more interviewers)
- **Automattic** (WordPress) CEO Matt Mullenweg: text-only final interviews: 'I don't know the gender or race of anyone I interview'

📋 PERFORMANCE APPRAISAL (p.131-132)

- Faulty perceptions → inaccurate ratings, eroded morale, women avoiding leadership roles
- 20-year study: female CEOs succeed when male predecessors create gender-neutral environments and act as **gatekeepers** (hiring, socialising, feedback)
- Reduce bias: **objective measures** (hard for interdependent/mental work), **performance diary**, **train raters**

👑 LEADERSHIP (p.132)

- Employees' judgements of leaders are driven by categorical knowledge (leader prototypes)
- Seen as effective: **1** assigning specific tasks **2** telling others they have done well **3** setting specific goals **4** letting members make decisions

⚠️ Other perceptual errors (class)

- **Halo**: one trait colours all
- **Recency**: last events dominate
- **Contrast**: judged against the previous candidate
- **Similar-to-me**: favour people like us ('culture fit')
- **Self-fulfilling prophecy (Pygmalion)**: expectations create performance
- **Selective perception**: see what fits our interests

🔗 **CASE LINKS / USE IN ANSWER:** Yelp: 'Stoppelgangers' and uncoordinated 'culture fit' interviews = similar-to-me + implicit bias; fix = structured interviews, multiple trained interviewers, blind screens. Prudence: appraisal penalised for leaving early.

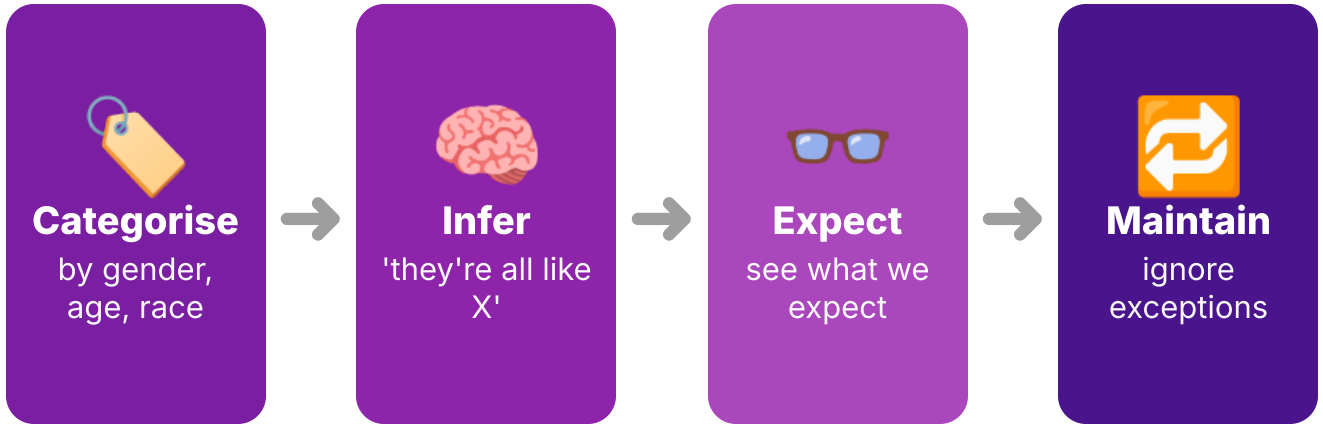
Stereotypes: how they form and how to break them

★★★ MUST KNOW

📖 Book p.133-134

1 **A stereotype is a belief that all members of a group share the same traits. It forms in 4 steps and is fixed by contact and awareness.**

2 4 STEPS + 3 FIXES



...and 3 ways to break them:

FIX 1 Educate | FIX 2 Equal-status teamwork | FIX 3 Self-awareness

3 KEY POINTS

1. Can be positive or negative, accurate or not
2. Evidence: gender, race, age (older workers myth refuted)
3. Anonymous hiring removes names/photos

4 **IN THE EXAM:** Prudence (double bind, motherhood penalty) and Yelp (tech-bro hiring) are stereotype cases.

Stereotypes: how they form and how to break them (full detail)

📚 FULL DETAIL

📖 Book p.133-134

📖 **BOOK DEFINITION (p.133):** *A stereotype is an individual's set of beliefs about the characteristics or attributes of a group. We use them without intending to or even being consciously aware that we are.*

💡 Key points

- Not always negative (engineers good at math) and may or may not be accurate
- They speed processing but lead to poor decisions
- ~38% of US adults will be diagnosed with cancer; managers still make discriminatory decisions about cancer patients
- Barriers for women, older people, people of colour, people with disabilities; undermine loyalty & satisfaction

🔬 Evidence (p.133)

- **Gender**: men preferred for male-dominated jobs (firefighter), no preference for female-dominated (nurse); female founders get less VC; women more likely to hire women; women of colour hit hardest
- **Race**: more perceived discrimination, less psychological support → worse attitudes, health, OCB
- **Age**: belief older workers are less motivated, change-resistant, less trusting, less healthy, worse work-life balance: **all refuted**

🔄 Formation: 4 steps (p.133-134)

- **1 Categorisation**: group people by gender, age, race, occupation
- **2 Inferences**: all in the category share traits (women nurturing, older people more accidents)
- **3 Expectations**: interpret their behaviour through the stereotype
- **4 Maintenance**: overestimate stereotypic behaviour · incorrectly explain expected/unexpected behaviour · differentiate minority individuals from ourselves
- Reducing stereotypes needs **accurate information + motivation**

🛠️ 3 managerial recommendations (p.134)

- **1 Educate** people about stereotypes; LinkedIn: recruiters open men's profiles more → **anonymous hiring** (remove names, photos)
- **2 Contact**: diverse employees work together in **cooperative groups of equal status**: best way, gives accurate data
- **3 Awareness**: encourage everyone to monitor their own stereotypes in decisions

🔗 **CASE LINKS / USE IN ANSWER:** Prudence: double bind & motherhood penalty are stereotypes. Yelp: 'tech bro' engineer schema; blind résumés = anonymous hiring. Rahul: 'quiet = not a leader'.

Attribution: is it the PERSON or the SITUATION? (Kelley)

★★★ MUST KNOW

📖 Book p.135-136

1 **To judge why someone did badly, ask 3 questions. The answers tell you whether to blame the person or fix the situation.**

2 3 QUESTIONS



CONSENSUS
Do others do the same?



DISTINCTIVENESS
Only on this task?



CONSISTENCY
Always like this?



PERSON (internal)
LOW · LOW · HIGH



SITUATION (external)
HIGH · HIGH · LOW



Manager acts
effort → reprimand;
ability → training

3 KEY POINTS

1. Internal = ability, effort
2. External = task, luck, resources
3. Table 4.2 (p.136) gives the pattern
4. Performance = person × situation

4 **IN THE EXAM:** R3's 'knee-jerk resisters' and Prudence's boss both wrongly blame the person.

Attribution: is it the PERSON or the SITUATION? (Kelley) (full detail)

📚 FULL DETAIL

📖 Book p.135-136

📖 **BOOK DEFINITION (p.135):** *Causal attributions are suspected or inferred causes of behavior. Heider proposed behavior can be attributed either to internal factors within a person (such as ability) or to external factors within the environment (such as a difficult task).*

👥 Consensus (people)

- Compares the person's behaviour with **peers**
- High = acts like the rest of the group; Low = acts differently

⏱️ Consistency (time)

- Is performance on this task the **same over time**?
- High = little variation; Low = unable to perform at a standard

🗂️ Distinctiveness (tasks)

- Compares behaviour on **this task** with the person's **other tasks**
- High = this task done very differently from others

📊 Table 4.2: the two key patterns

- **INTERNAL** (person): consensus LOW · distinctiveness LOW · consistency HIGH
- **EXTERNAL** (situation): consensus HIGH · distinctiveness HIGH · consistency LOW
- Fig 4.4 shows sample charts of each dimension

👩 Mary example (p.136)

- **Internal**: Mary performs far better than peers and has done so all year → it's Mary
- **External**: Mary performs like her peers, but lower than her usual this time → it's the situation

🧾 Table 4.1: attribution drives action

- Employee fails to meet standards: attributed to **lack of effort → reprimand**; **lack of ability → training**
- Research: low effort → more immediate, frequent, negative feedback; low ability → **transfer**; external → **no immediate action**

🔗 **CASE LINKS / USE IN ANSWER:** Prudence's boss: low consensus? No: many mothers face it (high consensus) → should be EXTERNAL. Uber: Kalanick blamed drivers (internal). R3: label 'resister' vs read the situation.

Two biases: blaming others, crediting ourselves

★★ IMPORTANT

📖 Book p.137

1 **We over-blame other people's character, and we take credit for our wins while blaming luck for our losses.**

2 TWO BIASES



FUNDAMENTAL ATTRIBUTION BIAS

- Others fail = 'they're lazy'
- We ignore the situation
- → unfair appraisals

VS



SELF-SERVING BIAS

- I succeed = 'I'm smart'
- I fail = 'bad luck / unfair test'
- → no learning

3 KEY POINTS

1. Fix: remember behaviour = person × situation
2. Attributing failure to low ability → people give up

4 **IN THE EXAM:** Kalanick blamed drivers (FAE). Managers labelling resisters 'difficult' (R3) = FAE.

Two biases: blaming others, crediting ourselves (full detail)

📚 FULL DETAIL

📖 Book p.137

📖 **BOOK DEFINITION (p.137):** *The fundamental attribution bias reflects our tendency to attribute another person's behavior to his or her personal characteristics, rather than to situation factors. The self-serving bias represents our tendency to take more personal responsibility for success than for failure.*

👉 Fundamental attribution bias

- Over-attributes OTHERS' behaviour to traits; ignores important situation factors
- Leads to inaccurate assessments of performance → inappropriate responses to poor performance

🏆 Self-serving bias

- My success → controllable internal factors (ability, hard work)
- My failure → uncontrollable external factors (bad luck, lack of sleep)
- Ace a hard test: 'I studied hard'; fail: 'teacher didn't explain', 'I worked a shift last night'

📌 3 managerial lessons (p.137)

- **1** We disproportionately attribute behaviour to internal causes → inaccurate evaluations, lower motivation. Remedy: behaviour = f(**person + situation**)
- **2** Other attributional biases → inappropriate promotions, transfers, layoffs → dampened motivation
- **3** Employees' own attributions matter: failure → low ability → give up, lower expectations, ↓ self-esteem; success → ability/effort → high performance & satisfaction

🔗 Connections

- Optimism (PsyCap): explanatory style is attribution applied to yourself
- Equity: blaming people for unfair outcomes
- R3: calling pushback 'kneejerk resistance' judges the PERSON, not the signal
- Starbucks/Uber leaders blaming staff = fundamental attribution bias + self-serving bias

🔗 **CASE LINKS / USE IN ANSWER:** In any case where a manager blames an employee, name FAE, apply Kelley (consensus etc.) to show the cause is situational, and recommend fixing the situation.

Case 8: Yelp: where bias enters the hiring funnel

★★★ MUST KNOW

📖 Book Case 8

1 **Yelp's tech team was ~90% male. Rachel Williams had to find WHERE bias crept in and fix hiring + inclusion.**

2 THE HIRING FUNNEL



3 KEY POINTS

1. 2014: Yelp ~10% women in tech; 4% Black
2. Rachel: 2-month listening tour
3. Fixes: structured interviews, blind screens, diverse panels, ERGs, track data per stage
4. Diversity ≠ inclusion: people must feel safe being themselves

4 **IN THE EXAM:** Theories: perception stages, implicit cognition (p.131), stereotypes (p.133). Debate quotas vs fairness.

Case 8: Yelp: where bias enters the hiring funnel (full detail 1/2)

📚 FULL DETAIL

📖 Book Case 8

💬 **KEY QUOTE (Rachel Williams, HBS case 918-009):** *It was clear that we needed to focus on inclusion, and not only having a diverse workforce, but creating an environment in which everyone felt welcome.*

🌐 Context (2014)

- Tech 'wake-up call': >80% of technical roles held by men (public reports)
- Jesse Jackson's Rainbow/PUSH relaunched Silicon Valley initiative; Tracy Chou (Pinterest) crowdsourced women-in-engineering data (50+ firms in a week)
- **Google** (May 2014): women 17% of tech staff; US Hispanic 3%, Black 2%
- **Yelp**: ~10% of technical roles women; 7% Hispanic, 4% Black overall

🏢 Yelp & its engineers

- Founded 2004 by Jeremy Stoppelman (HBS MBA); 2M+ business listings, 135M visitors/month (2014)
- 250 staff (2009) → 4,600 (2017); ~3,000 salespeople; 600+ engineers; flat open-plan culture, 'Yelpiversaries'
- Hires ~**30 entry engineers** from several thousand applicants; strong promote-from-within culture

👩🏾‍💼 Rachel Williams

- UC Berkeley psychology grad; Yelp recruiter 2010–11, then ClearSlide; left partly over diversity being on the 'back burner'
- 2014: rehired as first Head of D&I by CEO Stoppelman & COO Geoff Donaker; COO joins her meetings (signals D&I is core)
- Free rein on recruiting, interviewing, hiring, promotion, inclusion, but must prove the **bottom-line case** with no industry blueprint

Case 8: Yelp: where bias enters the hiring funnel (full detail 2/2)

📚 FULL DETAIL

📖 Book Case 8

🔻 2014 hiring funnel → bias risk

- **Campus visits** to a set of strong CS schools → pipeline/sourcing bias
- **Recruiter résumé screen** (final year; weed out 'poor fits') → names, schools, implicit cognition
- **Online code test** → fairly objective
- **Recruiter scores 1–3** on coursework & experience (>2 advance) → subjective, halo
- **45-min Skype audio + coding**, rubric 1–4 (>3 advance) → voice reveals gender
- **Half-day onsite**: four 45-min interviews (2 engineers, 2 hiring managers), half 'culture', half whiteboarding; uncoordinated, similar questions → similar-to-me
- **'Stoppelgangers'** (hiring managers mirroring SVP Eng Michael Stoppelman) decide disagreements → homogeneous judgement

👂 Listening tour (2 months)

- Employees feared managers would see them differently because of background
- Hesitant to be their 'full selves'
- Informal groups: LGBT e-mail thread, women-only book club

🧰 Rachel's options

- Revamp rookie engineer hiring
- Explicit diversity targets or hiring quotas
- **Blind résumés**; voice-changing phone screens
- Focus on senior roles: promote diverse internal talent or hire externally
- Affinity groups (ERGs); diversity/bias training for managers

✅ Recommended answer

- **Problem**: low diversity AND weak inclusion (psychological safety) in a talent-critical engineering org
- **Causes**: implicit cognition & stereotypes in subjective stages; 'culture fit' = similar-to-me; homogeneous deciders; narrow campus list
- **Recos**: widen sourcing; blind early screens; structured interviews with rubrics & diverse trained panels; 'culture add' not 'fit'; ERGs + manager bias training; track funnel data by stage
- **Business case**: wider talent pool, products for diverse users, retention
- Quotas: debate (perceived procedural injustice / tokenism)

🔗 **CASE LINKS / USE IN ANSWER:** Theories: implicit cognition (p.131), stereotypes & anonymous hiring (p.134), person perception (Fig 4.3), equity/justice (quota fairness). Pair with Prudence for gender barriers.

Module 4 roadmap: Foundations of Employee Motivation

★ **3 questions: WHAT drives people (content theories)? HOW do they decide effort (process theories)? HOW do we design jobs (job design)?**

106 **Motivation: direction, intensity, persistence** + detail ★★

108 **The motivation map: which theory answers which question** + detail ★★★

110 **McGregor: Theory X vs Theory Y** + detail ★

112 **Maslow's hierarchy of needs** + detail ★★

114 **McClelland's 3 acquired needs** + detail ★★

116 **Self-Determination Theory (SDT): 3 innate needs** + detail ★★★

118 **Herzberg: hygiene factors vs motivators** + detail ★★★

120 **Equity theory: is my deal fair compared to others?** + detail ★★★

122 **Organisational justice: 3 kinds of fairness** + detail ★★★

125 **Expectancy theory: Motivation = E × I × V** + detail ★★★

128 **Goal-setting theory: specific + difficult goals** + detail ★★★

130 **Job design: from boring jobs to meaningful ones** + detail ★★

133 **Job Characteristics Model (Hackman & Oldham)** + detail ★★★

135 **Case 5: Orix Geoscience: the story** + detail ★★★

138 **Case 5: Orix: theory-by-theory answer** + detail ★★★

⚡ **Fast path:** read slides **108–109, 116–117, 118–119, 120–121, 122–124, 125–127, 128–129, 133–134, 135–137, 138–140** first, then the rest.

Numbers = slide numbers. Each topic: 🖼️ picture slide, then 📚 full-detail slide. ★★★ **must know: read first** ★★ **important** ★ **if time**

Motivation: direction, intensity, persistence

★★ IMPORTANT

📖 Book p.167-168

1 **Motivation explains WHERE effort goes, HOW MUCH effort, and for HOW LONG. It can come from outside (rewards) or inside (enjoyment).**

2 THE BASICS



DIRECTION
what you focus on



INTENSITY
how hard you try



PERSISTENCE
how long you keep going



EXTRINSIC
pay, promotion, praise



INTRINSIC
enjoyment, mastery, meaning



2 families
CONTENT (what) vs PROCESS (how)

3 KEY POINTS

1. Southwest: $544M profit-sharing = extrinsic
2. Intrinsic lasts longer and boosts performance more
3. Not every performance problem is a motivation problem: check ability & resources

4 **IN THE EXAM:** Reluctant analyst (class PPT): good pay but boring job → job-design problem, not laziness.

Motivation: direction, intensity, persistence (full detail)

📚 FULL DETAIL

📖 Book p.167-168

📖 **BOOK DEFINITION (p.167):** *Motivation describes the psychological processes 'that underlie the direction, intensity, and persistence of behavior or thought.' (Latin movere = 'to move')*

🧭 Direction

- What an individual is **attending to** at a given time
- Class: solving a customer problem rather than checking social media

⚡ Intensity

- The **amount of effort** invested in the activity
- Class: energy used to resolve a complex service complaint

⏳ Persistence

- **How long** the activity stays the focus of attention
- Class: repeatedly testing a difficult software fix

💰 Extrinsic motivation (p.167)

- Results from potential or actual receipt of **external rewards**: recognition, money, promotion (payoff from others)
- **Southwest** 2018: **$544M** profit-sharing ≈ **10.8%** extra pay for every employee; **45th** straight year. CEO Gary Kelly: 'Our people are our greatest asset'
- Useful when rewards are credible & valued; risk: narrows focus or **crowds out** interest

❤️ Intrinsic motivation (p.167-168)

- Inspired by 'the positive internal feelings generated by doing well', not incentive pay or compliments
- We give ourselves intrinsic rewards: positive emotions, satisfaction, self-praise
- **Taft** shoes: Kory & Mallory Stevens (Forbes 30-under-30), passion for 'beautiful shoes at beautiful prices'
- Supported by autonomy, feedback, meaningful work; lasts longer & helps performance more (SDT)

🔍 Mini-case: the reluctant analyst (class)

- Good salary, repetitive work, rare feedback, stopped volunteering for new projects
- Not necessarily 'lazy': check job design (low variety, no feedback) and unmet intrinsic needs
- Collect data before labelling; redesign the job
- Why study motivation: shapes effort, service quality, innovation, absenteeism, turnover, OCB

🔗 **CASE LINKS / USE IN ANSWER:** Orix: intrinsic (culture, retreats, autonomy) vs extrinsic (65% wanted a raise). Southwest: both (profit sharing + fun, meaning). Indiana DOR: no pay raises, yet motivation rose.

The motivation map: which theory answers which question

★★★ MUST KNOW

📖 Book p.168-198

1 **Every motivation theory answers one of 3 questions. Pick the right one for the case.**

2 THE MAP



CONTENT: WHAT drives us?

- Theory X / Y
- Maslow's hierarchy
- McClelland's 3 needs
- Self-determination (SDT)
- Herzberg's 2 factors

+



PROCESS: HOW do we choose effort?

- Equity / justice
- Expectancy (E × I × V)
- Goal setting
- + JOB DESIGN: JCM, crafting, i-deals

3 KEY POINTS

1. Content = needs inside the person
2. Process = how person + situation combine
3. Job design = changing the job itself
4. Strong answers combine 1 content + 1 process theory

4 **IN THE EXAM:** Orix: Herzberg + SDT (content) + Equity + Expectancy (process) + i-deals (job design).

The motivation map: which theory answers which question (full detail)

📚 FULL DETAIL

📖 Book p.168-198

📖 **BOOK DEFINITION (p.168):** *Content theories identify internal factors such as needs and satisfaction that energize employee motivation. Process theories explain the process by which internal factors and situational factors influence employee motivation.*

📦 CONTENT theories: 'WHAT needs drive us?' (5)

- **Needs** = physiological or psychological deficiencies that arouse behaviour; vary over time & place
- 1 McGregor's Theory X & Y · 2 Maslow's need hierarchy · 3 McClelland's acquired needs · 4 Self-Determination Theory · 5 Herzberg's motivator–hygiene

⚙️ PROCESS theories: 'HOW do people choose effort?' (3)

- Explain how person + situation factors affect motivation and why people with different needs behave as they do
- 1 Equity / justice theory · 2 Expectancy theory · 3 Goal-setting theory

🛠️ JOB DESIGN: 'How do we build motivating jobs?' (3)

- **Top-down** (management designs): scientific mgmt, enlargement, rotation, enrichment, JCM
- **Bottom-up** (you design): job crafting
- **I-deals** (you negotiate)

🔗 Fig 5.5: comparing need theories

- Maslow higher (self-actualisation, esteem) ≈ McClelland achievement/power ≈ SDT competence/autonomy ≈ Herzberg **motivators**
- Maslow love ≈ affiliation ≈ relatedness; Maslow lower (safety, physiological) ≈ Herzberg **hygiene**
- McClelland & SDT do NOT include lower-level needs; higher-need satisfaction → well-being & flourishing

🩺 Diagnosis framework (class slides 39–48)

- **Knows what is expected?** → role ambiguity → goal setting, feedback
- **Ability & resources?** → capability/resource gap → expectancy (E), SDT competence, training
- **Rewards credible & valued?** → expectancy (I, V), McClelland, Maslow, i-deals
- **Process fair?** → equity, procedural justice, voice
- **Job well designed?** → JCM, enrichment, crafting
- Golden rule: don't label every performance problem a motivation problem

⚠️ Common manager mistakes

- Assuming money motivates everyone · targets without resources · autonomy without support · ignoring unfairness · rewarding outcomes but ignoring methods · treating everyone identically
- **Better**: diagnose first, use voice, adapt to individuals, evaluate over time
- Motivation = a **system**: inputs (needs, values, job, leader, climate, resources) → processes (fairness, expectancy, goals, feedback, voice) → outcomes (effort, performance, engagement, OCB/CWB, turnover, customers)

🔗 **CASE LINKS / USE IN ANSWER:** Exam move: use 1–2 content theories (WHAT is missing) + 1–2 process theories (HOW effort is chosen) + a job-design fix. Orix: Herzberg + SDT + equity + expectancy + i-deals.

McGregor: Theory X vs Theory Y

★ GOOD TO KNOW

📖 Book p.169

1 **Managers' assumptions shape how they treat people, and people often live up (or down) to them.**

2 X vs Y



THEORY X

- People dislike work
- Must be watched
- Carrots & sticks

VS



THEORY Y

- People want responsibility
- Self-directed, creative
- Trust & empower

3 KEY POINTS

1. Theory Y managers → higher performance, satisfaction, OCB
2. Balance: autonomy + clarity

4 **IN THE EXAM:** Indiana DOR before (time clocks, docked pay) = X; after (trust, care) = Y.

McGregor: Theory X vs Theory Y (full detail)

📚 FULL DETAIL

📖 Book p.169

📖 **BOOK DEFINITION (p.169):** *Theory X is a pessimistic view of employees: they dislike work, must be monitored, and can be motivated only with rewards and punishment ('carrots and sticks'). Theory Y is a modern and positive set of assumptions: they are self-engaged, committed, responsible, and creative.*

📕 Origin

- Douglas McGregor, *The Human Side of Enterprise*; drawn from consulting experience
- X = the typical managerial view of his time; he proposed Y to break that negative tradition

🔬 Research (p.169)

- Employees and teams perform **better** when managers display Theory Y behaviours
- Theory Y behaviour → higher **job satisfaction, organisational commitment, OCB**

🏢 Climates (class)

- **Micromanagement** (X): every action monitored → employees optimise for compliance; initiative declines
- **Empowerment** (Y): clear outcomes, discretion, learning & accountability
- **Balanced**: autonomy with clarity; supervision where risk requires; don't treat assumptions as facts

📞 Call-centre illustration

- Manager A tracks every minute and requires approval for small customer accommodations (X)
- Manager B sets service standards, lets trained agents use discretion (Y)
- Discuss: which behaviours each system encourages; safeguards for quality without excess control

🔗 **CASE LINKS / USE IN ANSWER:** Orix (flat, fluid roles, prioritise your own work), DOR (empowered staff), Southwest = Theory Y. Uber / Bank of Baroda target pressure = Theory X climate.

Maslow's hierarchy of needs

★★ IMPORTANT

📖 Book p.169-170

1 **People have 5 levels of needs. A satisfied need stops motivating, so the next level becomes the driver.**

2 THE PYRAMID



3 KEY POINTS

1. 'Prepotent': lowest unmet need dominates
2. Research doesn't support the strict ladder
3. Lesson: one size doesn't fit all, so ask employees
4. India (PPT): early career = safety; mid = esteem; senior = meaning

4 **IN THE EXAM:** Use to explain why different employees (young parent vs senior expert) want different rewards (Orix!).

Maslow's hierarchy of needs (full detail)

📚 FULL DETAIL

📖 Book p.169-170

📖 **BOOK DEFINITION (p.169-170):** *Motivation is a function of five basic needs: physiological, safety, love, esteem, and self-actualization. The five needs are met sequentially in a 'prepotent' hierarchy.*

🪜 The 5 levels (Fig 5.2)

- **Self-actualisation**: self-fulfilment, becoming the best one is capable of
- **Esteem**: reputation, prestige, recognition; self-confidence & strength
- **Love**: to be loved and to love; affection & belonging
- **Safety**: safe from physical and psychological harm
- **Physiological**: food, air, water to survive

🔺 How it works

- Published **1943**; based on clinical observation of a few neurotic individuals
- **Prepotent**: the most pressing need is met before the next becomes most powerful; stair-step
- A satisfied need activates the next higher need; **satisfied needs lose their motivational potential**
- Research does **not clearly support** the details

✅ Practical lessons (p.170)

- Employees have needs beyond a paycheck: **SC Johnson** on-site concierge (groceries, car service, concert tickets)
- 'One style fits all' won't work; small firms: **flexible hours, recognise good performance, involve employees in decisions**
- Design programmes for **emerging or unmet** needs

🇮🇳 Maslow in Indian workplaces (class)

- **Early career**: income stability, safe conditions, belonging in a new team, supportive onboarding
- **Mid-career**: recognition & growth, greater responsibility, work-life flexibility
- **Experienced**: meaningful contribution, mentoring & legacy, autonomy & mastery
- A diagnostic lens, not a rigid staircase; several needs can be active; **ask, don't assume**

🧩 Class case: new hire in a fast-growing firm

- Competitive pay, but unclear expectations, no peer network, little feedback → performance drops
- Unmet: belonging (love) and esteem/competence, not pay
- Fix cheaply: buddy, onboarding, clear goals, regular feedback; evaluate after

🔗 **CASE LINKS / USE IN ANSWER:** Orix: young parents (safety, belonging: 4-day week, babies at office) vs high achievers (esteem, self-actualisation: EMBA). Herzberg's hygiene ≈ lower needs.

McClelland's 3 acquired needs

★★ IMPORTANT

📖 Book p.170-172

1 **People LEARN to need achievement, affiliation or power, and one usually dominates. Match the job to the need.**

2 3 NEEDS



ACHIEVEMENT
excel, beat goals → give stretch targets + feedback



AFFILIATION
be liked, belong → give team projects



POWER
influence others → give coaching/lead roles

Institutional power (for org goals ✓) vs **personal power** (to control others ×)

3 KEY POINTS

1. Needs are acquired over life (unlike SDT)
2. Cameron Mitchell (p.172): high achievement + institutional power
3. Use when setting goals, giving feedback, assigning tasks

4 **IN THE EXAM:** Assign roles by dominant need in a team case.

McClelland's 3 acquired needs (full detail)

📚 FULL DETAIL

📖 Book p.170-172

📖 **BOOK DEFINITION (p.170-171):** *Three needs (for achievement, affiliation, and power) are the key drivers of employee behavior. We are not born with them; we learn them as we go through life.*

🏆 Need for ACHIEVEMENT (nAch)

- Desire to excel, overcome obstacles, solve problems, rival and surpass others
- Prefer **challenging but not impossible** tasks; success from effort & ability, not luck; want rewards and balanced feedback
- Class: process-improvement champion → give stretch projects with measurable outcomes + timely, specific feedback

🤗 Need for AFFILIATION (nAff)

- Desire to maintain social relationships, be liked, join groups
- Like teams and cooperative, collegial climates
- Class: peer mentor or team coordinator → team projects, buddy systems, respectful norms

👑 Need for POWER (nPow)

- Desire to influence, coach, teach, or encourage others to achieve
- **Institutional power** (positive): organise people for org goals, help them feel competent
- **Personal power** (negative): control and manipulate others for own gratification
- Class: coach who mobilises a team → coaching/coordination roles; reward responsible influence, not domination

🛠️ How to apply (p.171)

- Usually one need dominates (Fig 5.3: balanced, achievement, affiliation, power orientations)
- Appeal to each need when you **(1) set goals (2) give feedback (3) assign tasks (4) design the job**

🍽️ OB in Action: Cameron Mitchell (p.172)

- Parents divorced at 9; drugs as a teen; ran away; returned at 16; dishwasher at a steak house → loved restaurants
- Rejected by the Culinary Institute of America (poor grades) → became more driven; double shifts; culinary school
- First restaurant 1993 (Columbus); now **32** restaurants in 12 states, ~**$300M**
- **nAch** dominant; **nAff**: 'associates are #1', collegial climate; **institutional nPow**: develops managers, menu/wine autonomy, 'how to think'

🔗 **CASE LINKS / USE IN ANSWER:** Orix: geologists with high nAch (peer review, impact), founders' institutional power (develop 10 team leads). Kalanick = personal power. Contrast: McClelland's needs are LEARNED, SDT's are INNATE.

Self-Determination Theory (SDT): 3 innate needs

★★★ MUST KNOW

📖 Book p.173-174

1 **Everyone is born needing to feel Competent, Autonomous and Related. Meet all three and intrinsic motivation follows.**

2 C · A · R



COMPETENCE
'I'm capable' → training, tools, coaching

+



AUTONOMY
'I have choice' → empower, delegate

+



RELATEDNESS
'I belong' → teams, fun, shared purpose

3 KEY POINTS

1. Drives **intrinsic** motivation (lasts longer)
2. Amazon month-long onboarding = competence
3. Warning: autonomy without support feels like abandonment

4 **IN THE EXAM:** Orix: autonomy (own priorities), competence (EMBA, peer review), relatedness (retreats, babies at work).

Self-Determination Theory (SDT): 3 innate needs (full detail)

📚 FULL DETAIL

📖 Book p.173-174

📖 **BOOK DEFINITION (Deci & Ryan, p.173):** *Self-determination theory assumes that three innate needs influence our behavior and well-being: the needs for competence, autonomy, and relatedness.*

💪 COMPETENCE: 'I need to feel efficacious'

- Desire to feel qualified, knowledgeable and capable to complete a task or goal
- Managers: tangible resources, time, contacts, coaching, knowledge & information
- **Amazon**: intensive month-long training & leadership programme before new hires start; 'owners from day one'

🕊️ AUTONOMY: 'I need to influence my environment'

- Freedom and discretion in what you do and how you do it
- Managers: empower, delegate meaningful tasks, **support employees' decisions** (intrinsic motivation higher when manager seen as supportive)
- **Schneider Electric**: courses for 160,000 staff; early-career high-potential opportunities

🫂 RELATEDNESS: 'I want to be connected with others'

- Desire to feel part of a group and belong
- Managers: fun & camaraderie; an inspiring corporate vision → common purpose
- **23andMe** (CEO Anne Wojcicki): equal numbers of men & women hired, balanced leadership, parental leave, strong onboarding & belonging

🔑 Core idea

- Needs are **innate** (vs McClelland: learned); their relative value changes over life and across cultures
- These 3 needs → **intrinsic motivation** → better task performance (research supports)
- Intrinsic motivation lasts longer and has a more positive impact than extrinsic

⚠️ SDT in practice (class)

- Practices: structured onboarding & coaching; participation in work methods; peer learning communities & team rituals
- **Autonomy without resources feels like abandonment**
- Belonging should not require conformity
- Feedback should support learning, not humiliation

🔗 **CASE LINKS / USE IN ANSWER:** Orix: autonomy (prioritise own work, fluid roles), competence (peer review, training, $35K EMBA), relatedness (retreats, babies in office). DOR & Southwest score high on all three.

Herzberg: hygiene factors vs motivators

★★★ MUST KNOW

📖 Book p.174-176

1 **Fixing pay and conditions only stops people being UNHAPPY. Only the work itself makes them MOTIVATED.**

2 TWO SEPARATE SCALES



HYGIENE (job context)

- Pay & salary
- Company policy
- Supervision
- Working conditions
- Job security

VS



MOTIVATORS (job content)

- Achievement
- Recognition
- The work itself
- Responsibility
- Growth

3 KEY POINTS

1. Two SEPARATE scales: bad hygiene → dissatisfied
2. No motivators → just 'not satisfied'
3. Order: **fix hygiene first**, then add motivators (job enrichment)
4. Book's critique: good pay CAN motivate (REI)

4 **IN THE EXAM:** Orix: pay at industry average = hygiene; retreats, growth, autonomy = motivators. DOR: job security only a hygiene factor.

Herzberg: hygiene factors vs motivators (full detail)

📚 FULL DETAIL

📖 Book p.174-176

📖 **BOOK DEFINITION (Herzberg, p.175):** *The opposite of job satisfaction is not job dissatisfaction, but rather no job satisfaction; and the opposite of job dissatisfaction is not job satisfaction, but no dissatisfaction.*

🔬 The study

- Interviews with **203 accountants and engineers**
- Found separate, distinct clusters of factors for satisfaction and dissatisfaction
- → two **parallel continuums** starting from a null state (Fig 5.4)

🧹 HYGIENE factors = job CONTEXT

- Company policy & administration · technical supervision · salary · interpersonal relationships with supervisor · working conditions · job security
- Cause movement from **dissatisfaction → no dissatisfaction**; do NOT create satisfaction
- Class hospitality: payroll errors, understaffing, unsafe conditions, poor supervision

🌟 MOTIVATORS = job CONTENT

- Achievement · recognition · characteristics of the work · responsibility · advancement (growth)
- Move people from **no satisfaction → satisfaction**; build them into jobs (→ job enrichment)
- Class hospitality: recognition for guest recovery, responsibility for service improvements, development paths

🛠️ 3 practical applications (p.176)

- **1 Hygiene first**: remove dissatisfaction before trying to motivate (fix pay complaints first)
- **2 Motivation next**: then build motivators into the job
- **3 A few well-chosen words**: positive recognition fuels intrinsic motivation

🤔 Critique (authors' view)

- Research doesn't support the theory or that hygiene is unrelated to satisfaction
- Authors: good hygiene **CAN** satisfy & motivate: **REI** pays well above minimum, benefits for 20-hr part-timers, generous 401(k) → turnover about half other retailers
- Firms add student-loan help, pet insurance, flexible hours

🛒 Problem-Solving Application: Walmart (p.176-177)

- 2019: sick-leave revision for **1.1M** hourly workers; 48 hrs consolidated paid time off
- Critics: bonus for perfect attendance → people come in sick; Bernie Sanders: raise starting pay to $15 (Walmart $11, up from $9 in 2017)
- Sales ~$530B → a hygiene issue (pay, policy) a company can afford to fix

🔗 **CASE LINKS / USE IN ANSWER:** Orix: pay at industry average = hygiene (prevents dissatisfaction); retreats, growth, responsibility = motivators. But 65% wanting a raise shows pay is a LIVE hygiene issue. DOR fixed broken chairs (hygiene) then built recognition (motivators).

Equity theory: is my deal fair compared to others?

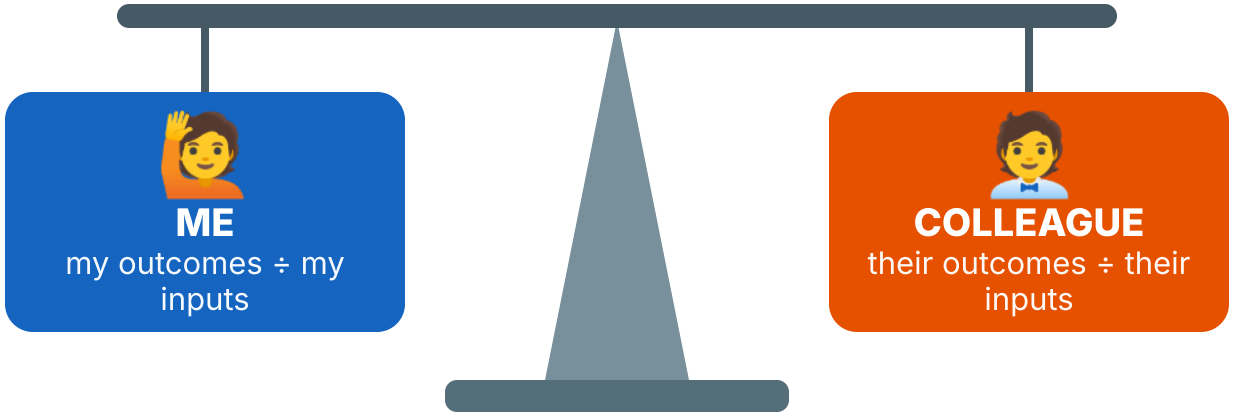
★★★ MUST KNOW

📖 Book p.178-180

1 **People compare what they GET ÷ what they GIVE with someone similar. An unfair ratio → they act to fix it.**

2 THE BALANCE

Is my ratio = their ratio?



3 KEY POINTS

1. **Inputs**: effort, skills, education, experience
2. **Outcomes**: pay, recognition, promotion, flexibility
3. Under-rewarded → anger, less effort, quit
4. ~90% paid ABOVE market think they're underpaid!

4 **IN THE EXAM:** Orix: customised pay → some get more → inequity risk as it grows. Southwest union: 'they exploit our loyalty'.

Equity theory: is my deal fair compared to others? (full detail)

📚 FULL DETAIL

📖 Book p.178-180

📖 **BOOK DEFINITION (J. Stacy Adams, p.178):** *Equity theory is a model of motivation that explains how people strive for fairness and justice in social exchanges or give-and-take relationships. Perceived inconsistencies create cognitive dissonance, which in turn motivates corrective action.*

📤 OUTPUTS: 'What am I getting out of my job?'

- Pay/bonuses, medical benefits, challenging assignments, job security, promotions, status symbols, recognition, participation in decisions
- Class: + flexibility, development

📥 INPUTS: 'What am I putting in?'

- Education/training, skills, creativity, seniority, age, personality traits, **effort**, experience, personal appearance
- Class: + time, emotional labour

⚖️ Comparison & 3 outcomes (Fig 5.6)

- Compare **my outputs/inputs ratio** with **relevant others'**; generalises across personalities & countries
- Compare with **similar, close** others (same job, gender, education): professors compare with professors, not the football coach
- **Equity** = comparable → satisfied
- **Negative inequity** = I fare worse → dissatisfied
- **Positive inequity** = I fare better → guilt maybe; but it is others' negative inequity
- More rewards for more inputs can still feel fair

🔧 Ways to restore equity

- Ask for a raise or promotion (↑ outputs)
- Work fewer hours / less effort (↓ inputs)
- Cognitively re-value your outputs or inputs, or your co-workers'
- Change comparison person, or quit

📊 Evidence (p.180)

- **PayScale** study of **500,000+**: **~90%** paid ABOVE market believed they were underpaid; only 10% knew they were overpaid
- 11% paid AT market felt underpaid
- How employees feel about the pay **process** is **5×** more impactful on satisfaction than pay vs market
- **Equity sensitivity**: some care more about inputs, some about outcomes; predicts OCB & inappropriate behaviour

🐔 Tyson poultry example (p.178)

- Workers denied bathroom breaks, forced to wear adult diapers to meet line quotas; mocked & threatened
- < 1/3 of plants unionised; Oxfam report + advocacy → Tyson: scheduled breaks, line-speed attention, rights training, safety councils

🔗 **CASE LINKS / USE IN ANSWER:** Orix: negotiated, discretionary total compensation → some get more → as Orix grows, employees will compare ratios → negative inequity. Southwest pay vs Delta. Starbucks barista pay.

Organisational justice: 3 kinds of fairness

★★★ MUST KNOW

📖 Book p.180-183

1 **Fairness isn't only about WHAT you get. It's also HOW the decision was made and HOW you were treated.**

2 3 KINDS OF FAIRNESS



DISTRIBUTIVE
fair OUTCOMES (who gets what)

+



PROCEDURAL
fair PROCESS (rules, voice, appeal)

+



INTERACTIONAL
fair TREATMENT (respect, explanation)

3 KEY POINTS

1. Distributive & procedural matter MOST for outcomes
2. Strongest effects: job satisfaction & commitment
3. Give **voice** and an **appeals** process
4. Leaders' behaviour sets the climate for justice

4 **IN THE EXAM:** Restructuring/layoff question: discuss all 3. R3 'faux-inclusion' = procedural injustice.

Organisational justice: 3 kinds of fairness (full detail 1/2)

📚 FULL DETAIL

📖 Book p.180-183

📖 **BOOK DEFINITION (p.180):** *Organizational justice reflects the extent to which people perceive they are treated fairly at work. It has three components: distributive, procedural, and interactional.*

🍰 DISTRIBUTIVE justice

- Perceived fairness of how **resources and rewards are distributed** or allocated
- **Robert W. Baird & Co.** (Fortune #16, 2019): made everyone's office the **same size**

📜 PROCEDURAL justice

- Perceived fairness of the **process and procedures** used to make allocation decisions
- Consistent criteria, voice, accuracy, appeals

🤝 INTERACTIONAL justice

- 'Quality of the **interpersonal treatment** people receive when procedures are implemented'
- Not about outcomes or procedures: dignity, respect, honest explanations

Organisational justice: 3 kinds of fairness (full detail 2/2)

📚 FULL DETAIL

📖 Book p.180-183

📈 Outcomes (Fig 5.7)

- **Distributive & procedural** have consistently **stronger** links to outcomes → focus here
- Interactional is not a leading indicator in any instance (weakest)
- Strongest outcomes: **job satisfaction & organisational commitment**
- Most links are weak → justice works for some outcomes, not others

🛠️ 5 lessons for managers (p.181-183)

- **1 Employee perceptions count**: survey regularly; men more sensitive to pay inequity & procedural justice; perceptions change over time
- **2 Give employees a voice**; create a **voice climate** (Salesforce's Office of Ethical & Humane Use after Border Patrol protest)
- **3 An appeals process** (promotes distributive & procedural justice)
- **4 Leader behaviour matters**: Merck CEO Kenneth Frazier quit Trump's council after Charlottesville
- **5 A climate for justice**: higher team performance; don't let customers abuse staff

🏗️ Class case: restructuring

- Teams restructured, some roles removed; staff got different levels of notice & explanation
- **Distributive**: who lost roles? **Procedural**: criteria, consultation, appeal? **Interactional**: respectful, honest communication?
- Voice: consult, explain criteria & constraints, channels for questions · Appeals: grievance review, no retaliation, close the loop

🔗 **CASE LINKS / USE IN ANSWER:** Orix: i-deals need transparent criteria + appeal (procedural). Shelby's anger after downsizing (Ch 3) = procedural. Southwest union talks. Yelp quotas: perceived fairness.

Expectancy theory: Motivation = E × I × V

★★★ MUST KNOW

📖 Book p.183-185

1 **People try hard only if: effort → performance, performance → reward, AND they value the reward. Any zero kills motivation.**

2 THE CHAIN



Expectancy: 'Can I do it?'

Instrumentality: 'Will I get the reward?'

Valence: 'Do I want it?'

3 KEY POINTS

1. E raised by training, tools, self-efficacy
2. I broken by delayed or changing incentive rules
3. V depends on personal preferences
4. Book cases: orchestra strike, school 'Celebration'

4 **IN THE EXAM:** Diagnose each letter separately. Orix rewards: V high, but I unclear ('ask and maybe you get').

Expectancy theory: Motivation = E × I × V (full detail 1/2)

📚 FULL DETAIL

📖 Book p.183-185

📖 **BOOK DEFINITION (Vroom, p.183-184):** *Expectancy theory holds that people are motivated to behave in ways that produce desired combinations of expected outcomes. Motivation boils down to deciding how much effort to exert in a specific task situation.*

🎯 EXPECTANCY (E): 'Can I achieve the performance?'

- Belief that effort leads to a level of **performance**; subjective probability **0–1**
- **Excel example**: no skills → E = 0; training + daily practice → E close to 1
- Affected by: self-efficacy, time pressure, task difficulty, ability & knowledge, resources, peer support, leader behaviour, climate

🔗 INSTRUMENTALITY (I): 'Will performance get the reward?'

- Perceived relationship between **performance and outcomes** (contingent)
- Passing exams is instrumental to graduating
- **US Navy** enlistment bonuses $5,000 to $25,000+

💎 VALENCE (V): 'Do I value the reward?'

- Positive or negative **value** placed on outcomes; personal preferences
- Money, recognition = positive; being laid off or ridiculed = negative
- **Aflac**: 6-day appreciation week (theme parks, movies, daily gifts): valued only if it fits your needs

✖️ The multiplication rule

- Two-stage sequence: effort → performance → outcome (Fig 5.8)
- If ANY one is zero → motivation collapses
- In a case, diagnose E, I and V separately and fix the broken link

Expectancy theory: Motivation = E × I × V (full detail 2/2)

📚 FULL DETAIL

📖 Book p.183-185

🎻 Problem-solving: Chicago Symphony strike (p.186)

- Union negotiated ~1 year; picketed to keep the prized **defined-benefit pension** (50+ yrs)
- Management: unsustainable cost → defined-contribution plan (risk to workers)
- Director Riccardo Muti joined the picket line; performances cancelled
- Expectancy view: changing the promised reward cuts I and V

🏫 Principal Tim Richard's 'Celebration' (p.187)

- Westwood High (3,000 students; **1,200** failing a course)
- 28 minutes outside with friends 4 mornings a week, only if no Fs; otherwise remediation (tutors, teachers)
- Links a highly **valued** reward (V) to grades (I); tutoring raises E
- Failing students fell to **900** within weeks; goal zero

💼 Class case: sales incentives

- Staff believe extra effort raises sales (**E ✓**)
- Rules change often & payouts delayed (**I ×**)
- Some don't value the reward (**V ×**)
- Fix: stable, timely, credible payouts; let staff choose rewards; collect data on each link

🔗 **CASE LINKS / USE IN ANSWER:** Orix: negotiated perks = high V; but 'ask and you may get it' makes I unclear. Bank of Baroda targets: low E (impossible) → cheating. Southwest profit-sharing = clear I.

Goal-setting theory: specific + difficult goals

★★★ MUST KNOW

📖 Book p.187-189

1 **Clear, challenging goals beat 'do your best', IF people have ability, resources and commitment.**

2 THE TARGET



✅ SPECIFIC: 'score 4.1 → 4.4 by June'

✅ DIFFICULT but attainable

✅ Ability + resources + commitment

Why it works: attention · effort · persistence · strategy

⚠️ Too hard → cheating (VW, Bank of Baroda)

3 KEY POINTS

1. Locke & Latham, 1,000+ studies
2. Feedback & participation help commitment
3. Achievement → satisfaction → higher goals
4. Risks: gaming metrics, unethical shortcuts, stress

4 **IN THE EXAM:** Link goal-setting risks back to ethics (Ch 1 Table 1.2: ill-conceived goals).

Goal-setting theory: specific + difficult goals (full detail)

📚 FULL DETAIL

📖 Book p.187-189

📖 **BOOK DEFINITION (Locke & Latham, p.188):** *Goals that are specific and difficult lead to higher performance than general goals like 'Do your best' or 'Improve performance.'*

📜 The theory (p.188)

- Based on 1,000+ studies across many countries
- **Goal specificity** = quantified (raise OB test score by 10%)
- **Necessary conditions**: ability, resources, and **commitment** to the goal
- **Feedback & participation** are necessary but not sufficient: work only if they lead to commitment to a specific, difficult goal (PwC director **Julia Lamm** prioritising & delegating)
- Goal achievement → satisfaction → commitment to even higher goals (**upward cycle**)

⚙️ 4 mechanisms (p.189)

- **1 Direct attention**: towards goal-relevant tasks; prioritise multiple goals (**KFC**: 100% recoverable/reusable packaging by 2025; antibiotic-free chicken)
- **2 Regulate effort**: harder goals & deadlines → more effort
- **3 Increase persistence**: Kinicki's marathon (goal 3:30, missed by 11 min, trained 3 months)
- **4 Foster task strategies & action plans**: **Memphis 800 Initiative** (grow 800 minority businesses by $50M); subgoals reduce procrastination

🎯 SMART goals (class)

- Vague: 'Improve customer service'
- Specific: 'Raise post-stay satisfaction from **4.1 to 4.4** over the next quarter'
- Safeguards: staffing, training, feedback; monitor unintended consequences
- Simone Biles sets specific medal goals

⚠️ Goal-setting risks (class + p.188)

- Gaming metrics · unethical shortcuts · excessive stress · neglect of unmeasured work · competition that harms cooperation
- **Volkswagen**: software on **11M+** cars cheated emissions tests; engineers blamed CEO Winterkorn's impossible targets; cost **$35B+**
- Response: balanced measures, review HOW targets are met, allow learning & adjustment, reward collaboration
- Set **challenging but attainable** goals; avoid impossible ones

🔗 **CASE LINKS / USE IN ANSWER:** Ch 1 Bank of Baroda & Wells Fargo: unrealistic targets → unethical behaviour (Table 1.2 'goals'). Orix: retreats renew shared goals; team leads need clear, fair goals as it scales.

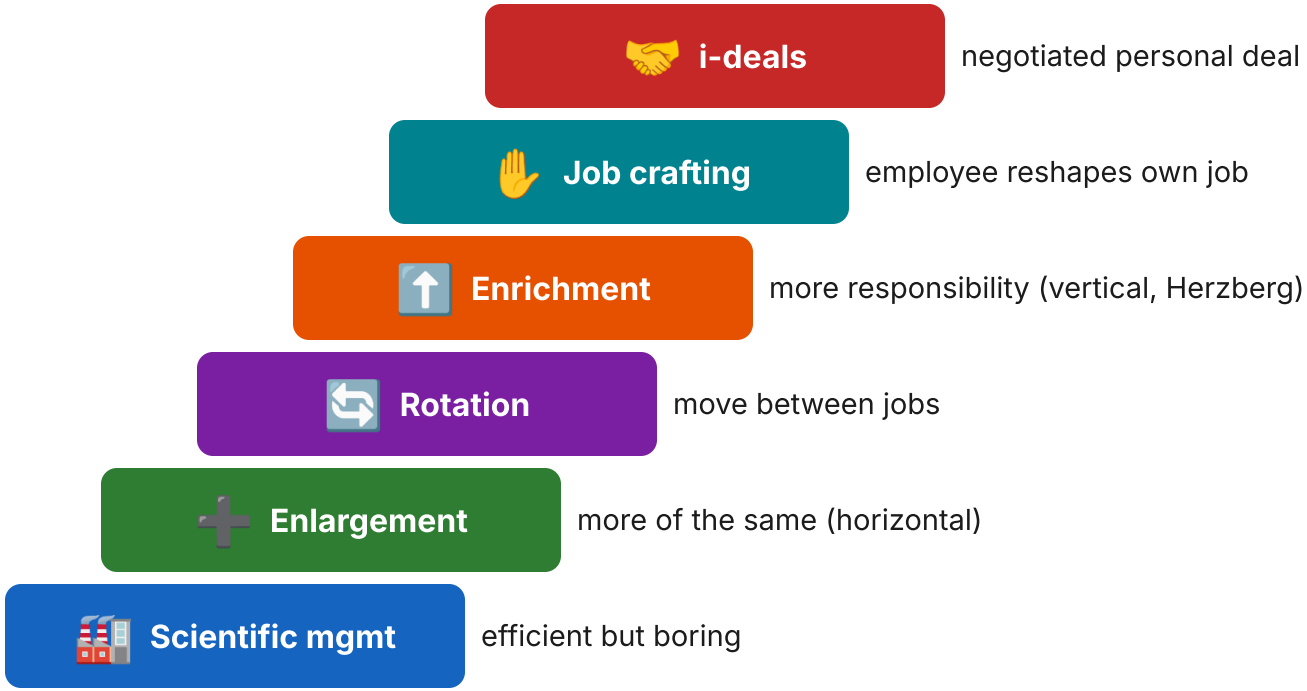
Job design: from boring jobs to meaningful ones

★★ IMPORTANT

📖 Book p.190-196

1 **You can motivate people by changing the JOB itself. Higher up the ladder = more meaning and intrinsic motivation.**

2 THE LADDER



3 KEY POINTS

1. Top-down: managers design (bottom 4)
2. Bottom-up: job crafting (task, relational, cognitive)
3. Middle: i-deals (HCL 'Employees First' p.196)
4. Watch fairness with i-deals (equity!)

4 **IN THE EXAM:** Orix runs on i-deals (4-day week, EMBA, course split).

Job design: from boring jobs to meaningful ones (full detail 1/2)

📚 FULL DETAIL

📖 Book p.190-196

📖 **BOOK DEFINITION (p.190):** *Job design (job redesign or work design) refers to any set of activities that alter jobs to improve the quality of employee experience and their productivity.*

🏭 Scientific management (Taylor)

- Frederick Taylor (1856–1915): the most efficient way to perform jobs, by facts from systematic observation & experiment
- **+** efficiency & productivity (auto assembly lines)
- **–** simplified, repetitive jobs → dissatisfaction, poor mental health, stress, low growth

↔️ Job enlargement = HORIZONTAL loading

- Late 1940s; more variety by combining specialised tasks of **comparable difficulty**
- Alone has **no significant lasting** effect on performance → combine with other methods

🔄 Job rotation

- Move employees from one specialised job to another on a rotating basis
- Benefits: engagement (broader perspective), flexibility & easier scheduling (cross-trained), knowledge & promotability, internal talent pipeline
- Graduate **rotational programmes**; **job swapping** at home and abroad

Job design: from boring jobs to meaningful ones (full detail 2/2)

📚 FULL DETAIL

📖 Book p.190-196

⬆️ Job enrichment = VERTICAL loading

- Practical application of **Herzberg**: more achievement, recognition, stimulating work, responsibility, advancement
- **Final Friday** (Austin agency): last Friday of the month free for personal projects/development
- Class: bank employee owns the **complete customer journey** with authority for routine issues

🎨 Job crafting (bottom-up) (Table 5.2)

- Employees proactively shape their own work; based on empowerment & intrinsic motivation; goal = **meaning**
- **Task**: change number, scope, type of tasks (design engineers move projects to completion)
- **Relational**: change quality/amount of interactions (hospital cleaners care for patients & families)
- **Cognitive**: rethink tasks (nurses see 'insignificant' tasks as patient advocacy; class: hotel cleaner creates a safe welcome)
- **90%** of 2,200 would trade ~**23%** of future earnings for meaning; **Logitech** pilot → all 3,000 staff
- Manager support: safe experiments, recognise initiative, no invisible extra work

🤝 I-deals (negotiated)

- Idiosyncratic deals = employment terms **individually negotiated** (Rousseau): tasks & responsibilities, schedule, location, compensation, development
- Merges top-down & bottom-up: managers can't design optimal jobs for everyone; crafting has limited latitude
- **RSM** encourages i-deals among 9,600 staff
- → ↑ POS, job satisfaction, perceived voice; ↓ quitting
- **Caution**: transparency & **perceived fairness** (equity!)

🇮🇳 Indian practice (book & class)

- **Flexible work** (Saini & Yadav): commutes & extended-family stress → flexibility supports work-life balance, autonomy, well-being, commitment; needs manager support & trust-based (not control-based) management; else isolation, work escalation
- **HCL 'Employees First, Customers Second'**: open financial dashboards, employee problem-solving forums, decentralised decisions → autonomy, trust, ownership

🔗 **CASE LINKS / USE IN ANSWER:** Orix = i-deals at scale (4-day week, 4 weeks' travel, EMBA) plus enrichment (fluid roles). Reluctant analyst: enrich and add feedback. DOR: staff crafted their roles.

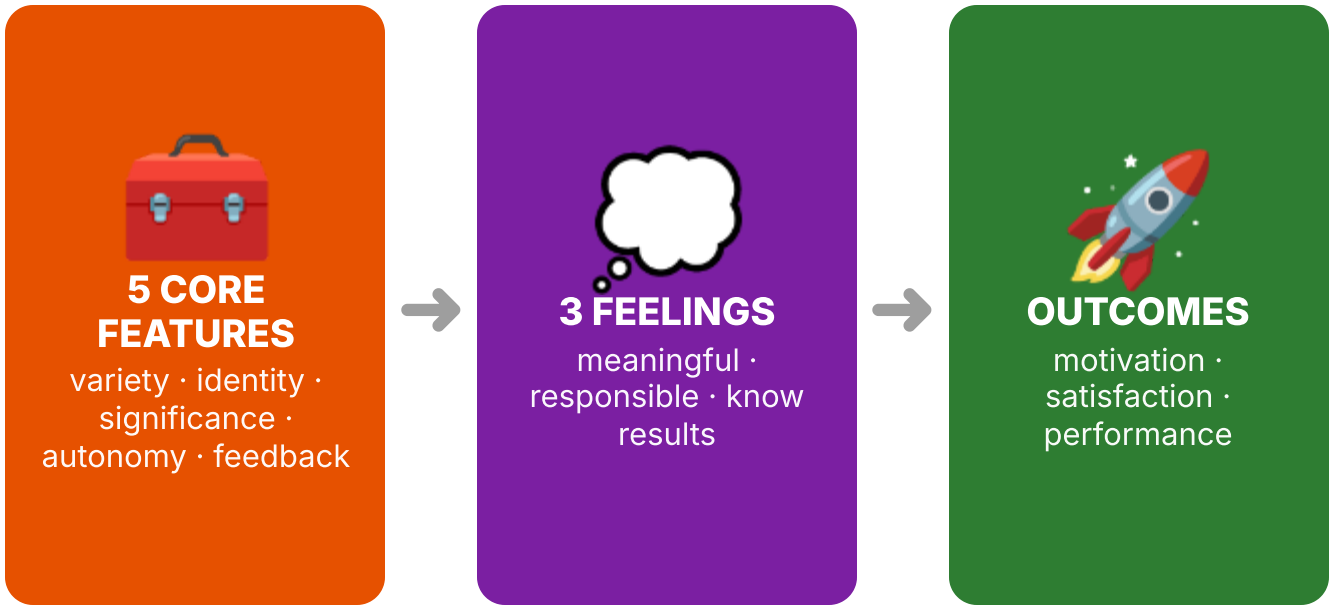
Job Characteristics Model (Hackman & Oldham)

★★★ MUST KNOW

📖 Book p.193

1 **5 job features create 3 feelings, which create motivation. Autonomy and feedback matter most.**

2 FEATURES → FEELINGS → RESULTS



3 KEY POINTS

1. Moderators: knowledge/skill, **growth need strength**, context satisfaction
2. Not everyone wants an enriched job
3. MPS = (SV+TI+TS)/3 × A × F

4 **IN THE EXAM:** To fix a boring job in a case: name the missing feature (e.g. no feedback) and add it.

Job Characteristics Model (Hackman & Oldham) (full detail)

📚 FULL DETAIL

📖 Book p.193

📖 **BOOK DEFINITION (p.193):** *The job characteristics model promotes high intrinsic motivation by designing jobs that possess five core job characteristics, which create three critical psychological states.*

🎛️ 5 core characteristics

- **Skill variety**: job requires a variety of tasks using different skills and talents
- **Task identity**: doing a whole, identifiable piece of work from start to finish with a tangible result
- **Task significance**: the job affects the lives of others inside or outside the organisation
- **Autonomy**: freedom, independence & discretion in scheduling and procedures
- **Feedback**: direct, clear information about how effectively you perform

🧠 3 critical psychological states

- Variety + identity + significance → **experienced meaningfulness** of the work
- Autonomy → **experienced responsibility** for outcomes
- Feedback → **knowledge of actual results**

🏁 Outcomes

- High intrinsic work motivation
- High growth satisfaction
- High general job satisfaction
- High work effectiveness
- Class: lower stress when context supports the design

🚦 3 moderators: 'not everyone wants it'

- **Knowledge & skill** to do the enriched job
- **Growth need strength**: desire to grow as an individual
- **Context satisfactions**: pay, co-workers, supervision
- Works best when people have the skills, want to grow, and are satisfied with context

📊 Practice & evidence (p.194)

- Managers can raise satisfaction & performance and cut absenteeism & stress
- **Dropbox**: generous time off, no annual reviews, real-time feedback & growth conversations
- Meta-analysis of 2 experiments: redesign → **+28%** quality of performance
- MPS = (SV + TI + TS)/3 × A × F: autonomy & feedback are critical (zero kills it)

🏥 Class: task significance & autonomy

- Hospital support staff who see how coordination helps patients find more meaning than those doing isolated admin
- Make impact visible without exaggeration; link daily tasks to service outcomes
- Autonomy needs capability, boundaries, trust; feedback must be timely, specific, improvement-oriented

🔗 **CASE LINKS / USE IN ANSWER:** Score a case job on all 5 (reluctant analyst: low variety & feedback). Orix geologists: high autonomy, identity (client deliverables), feedback (peer review), significance (mining decisions).

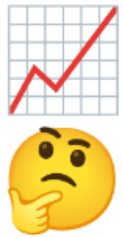
Case 5: Orix Geoscience: the story

★★★ MUST KNOW

📖 Book Case 5

1 **A CEO bet that CULTURE, not money, keeps people. Her staff said they wanted a pay raise. Who is right as the firm grows?**

2 THE STORY

1	2	3	4	5
				
Shastri runs Orix: flat, no hierarchy, 'O-Code' of 10 values	Survey: 65% rank a SALARY RAISE #1	She spends $100K on a Cuba retreat instead of bonuses	A manager refuses a rival: 'you don't have retreats?'	Scaling up: custom deals may feel UNFAIR

3 KEY POINTS

1. Base pay = industry average; extras negotiated per person (i-deals)
2. 4-day week, EMBA paid, babies at the office, peer review
3. Dilemma: keep culture-first? stay fair at scale?

4 **IN THE EXAM:** Answer with Herzberg + SDT + Expectancy + Equity/justice + i-deals (model answer in Toolkit).

Case 5: Orix Geoscience: the story (full detail 1/2)

📚 FULL DETAIL

📖 Book Case 5

💬 **KEY QUOTE (Shastri Ramnath, Ivey case W18688 (2018)):** *I still hold the view that money, per se, cannot retain employees in an organization. Culture is the currency of employee retention.*

⛏️ Company & industry

- Toronto geological consulting firm; **Orix = Organize, Rethink, Interpret, Explore**; data & interpretation services for mining (3-D models, targeting)
- Founded **May 2012** by **Shastri Ramnath** & **Ashley Kirwan**, self-funded, in a mining downturn; equity stakes from small miners + cash from large ones
- Mining: 3.4% of Canada's GDP, highest wages; **cyclical**: firms lay off in downturns and scramble to hire in upturns → stable rosters = competitive advantage

📈 Growth (Exhibit 1)

- 2012: 3 staff, $118,733 · 2013: 10 staff, $1.18M (41% margin) · 2014: 27, $1.70M
- 2015: 27 FT, **$2.55M**, 2 exits · 2016: **36** FT, **$3.14M**, 8.2% margin, 2 exits, 13 clients
- Exits far below industry; women up to **75%**, stabilised at **50%**: 'make mining normal for women'

🧬 Unconventional organisation

- Flat structure, fluid roles, non-monetary intrinsic incentives (not hierarchy, strict job descriptions, calculated bonuses)
- **O-Code**: 10 values: selflessness, honesty, passion, courage, innovation, curiosity, impact, communication, judgement, respect; used for selection & appraisal; renewed at retreats
- Unconventional hiring: secondment (Kuuskman), created role for a Python coder
- Heavy workloads but freedom to prioritise; Monday 10 a.m. calls; **peer review** of every deliverable incl. the CEO's (output, not person)

Case 5: Orix Geoscience: the story (full detail 2/2)

📚 FULL DETAIL

📖 Book Case 5

💵 Pay & customised rewards

- **Baseline** (salary, vacation pay, savings plan, health) = **industry average**, never below
- Rest of total compensation **customised, negotiable and discretionary**: 'ask and we'll find a way'
- 4-day week for a parent; 4 weeks' travel; split a **$3,500** course 50/50 ($100/month); 6 weeks' unpaid leave; **$35,000** EMBA; babies at the office (6 pregnancies in 2016); **$1,000** charity
- Annual 3–4 day leadership retreat for all with 6+ months' service

📊 The dilemma

- Dec 2015 preference survey: **65%** ranked **salary increase #1**; then pension, training, vacation, daycare
- Ramnath went **against** the survey: culture & non-financial rewards
- Sept 2016 Cuba retreat cost **$100,000** (instead of bonuses); a senior manager rejected a poacher: 'You mean, you don't have annual retreats?'
- Now: upturn, talent war, tripled headcount; Ramnath steps back, Kirwan to lead; **10 team leads**; full-time HR hire + consultant
- Growth needs common structures, appraisal, pay & career systems seen as **fair**; customisation → **inequity**
- Q: keep direction? How to sustain authenticity at scale?

🔗 **CASE LINKS / USE IN ANSWER:** Model answer on the toolkit slide uses Herzberg + equity + procedural justice. Also use SDT, expectancy, McClelland, Maslow, i-deals, person–culture fit, POS.

Case 5: Orix: theory-by-theory answer

★★★ MUST KNOW

📖 Book Case 5

1 **Verdict: keep culture-first, but protect FAIRNESS and keep pay at market as the firm grows.**

2 6 LENSES



Herzberg
pay = hygiene; retreats & growth = motivators



SDT
autonomy, competence, relatedness all met



Equity / justice
custom deals → inequity risk; need clear rules



Expectancy
V high, I unclear



i-deals
fit individuals; must look fair



Values fit
O-Code hiring → commitment

3 KEY POINTS

1. Reco 1: benchmark pay to market (hygiene) as talent war heats up
2. Reco 2: transparent rules/menu for i-deals + appeals (procedural justice)
3. Reco 3: build O-Code into hiring & appraisal; train 10 team leads
4. Reco 4: keep retreats; re-survey engagement

4 **IN THE EXAM:** Write one paragraph per box: theory → Orix fact → so what.

Case 5: Orix: theory-by-theory answer (full detail 1/2)

📚 FULL DETAIL

📖 Book Case 5

💬 **KEY QUOTE (Orix case, page 8):** *It was only when these [structures, incentives, appraisal, career paths] were common across the organization that everyone would see them as being fair, just, and equitable.*

🧹 Herzberg

- Pay at industry average = **hygiene** → no dissatisfaction
- Retreats, growth, responsibility, recognition = **motivators** → satisfaction
- But 65% want a raise and the talent war is heating up → pay is a live hygiene risk

🪜 Maslow / McClelland

- Needs differ: young parents (safety, belonging) vs high achievers (esteem, achievement, nAch)
- Customised packages fit individual needs (anti one-size-fits-all)

🕊️ SDT

- **Autonomy**: prioritise own work, fluid roles
- **Competence**: peer review, training, EMBA
- **Relatedness**: retreats, family culture, babies at work

✖️ Expectancy

- Negotiated rewards have high **valence**
- **Instrumentality** unclear: discretionary, 'ask and you may get'; quiet staff may get less

Case 5: Orix: theory-by-theory answer (full detail 2/2)

📚 FULL DETAIL

📖 Book Case 5

⚖️ Equity & justice

- Customised comp → some get more; people compare ratios
- Low **procedural** transparency → inequity perceptions as the firm grows (no longer everyone knows everyone)

🤝 I-deals, fit & POS

- Orix runs on **i-deals** → ↑ POS, satisfaction, voice, retention, but fairness risk
- O-Code hiring & renewal = strong **person–culture fit** → commitment

✅ Recommendations

- **1 Keep culture-first** strategy, but benchmark pay to stay at/above market (hygiene) as the talent war grows
- **2 Formalise fairness**: transparent criteria & caps for i-deals; menu-based 'cafeteria' benefits; appeal route (procedural justice)
- **3** Codify the O-Code into hiring, appraisal & promotion; train the 10 team leads as culture carriers (Theory Y, EI)
- **4** Keep retreats; add visible career paths & recognition
- **5** Re-survey engagement; track exits, offers declined, engagement scores

🔗 **CASE LINKS / USE IN ANSWER:** Structure: problem (engagement + fairness at scale) → 3–4 theories each tied to a case fact → recommendations → how to measure success.

Module 5 roadmap: Positive Organisational Behaviour

★ **Positive OB asks 'what strengths can we BUILD?' instead of 'what's wrong?'. Key ideas: positive emotions, PsyCap (HERO), PERMA.**

142 **Positive OB: build strengths, don't just fix problems** + detail ★★★

144 **Positive emotions: broaden and build** + detail ★★

146 **Mindfulness: attention on purpose** + detail ★

148 **Psychological Capital (PsyCap) = HERO** + detail ★★★

150 **Positive climate & virtuous leadership** + detail ★★

152 **Flourishing = PERMA** + detail ★★★

154 **Case 6: Southwest Airlines: the story** + detail ★★★

157 **Case 6: Southwest: Positive OB answer** + detail ★★★

⚡ **Fast path:** read slides **142–143, 148–149, 152–153, 154–156, 157–159** first, then the rest.

Numbers = slide numbers. Each topic: 🖼️ picture slide, then 📚 full-detail slide. ★★★ **must know: read first** ★★ **important** ★ **if time**

Positive OB: build strengths, don't just fix problems

★★★ MUST KNOW

📖 Book p.257-262

1 **POB studies positive strengths that can be MEASURED, DEVELOPED and MANAGED to improve performance.**

2 OLD vs NEW



TRADITIONAL OB

- 'What's wrong with the employee?'
- Reduce problems
- Fix weaknesses

→



POSITIVE OB

- 'What strengths can we build?'
- Build resources
- Aim: flourishing

3 KEY POINTS

1. NOT blind positivity ('everything will be fine')
2. = acknowledge reality + build resources + act
3. **Positive deviance**: performance far above the norm
4. Benefits: ↑ performance, commitment; ↓ burnout, sick days

4 **IN THE EXAM:** Class examples: Tata Group in COVID (April 2020); Infosys + NIMHANS mental-health first aiders.

Positive OB: build strengths, don't just fix problems (full detail)

📚 FULL DETAIL

📖 Book p.257-262

📖 **BOOK DEFINITION (Ch 7 / class PPT):** *Positive OB is the study and application of positively oriented human resource strengths and psychological capacities that can be measured, developed, and effectively managed for performance improvement in today's workplace.*

🔁 The big shift

- Traditional OB: 'What is wrong with the employee?' / 'How do we reduce problems?'
- Positive OB: 'What psychological strengths can we develop?' / 'How do we build psychological resources?'
- Capacities must be **measurable, developable, relevant to performance**
- **Flourishing** is the destination of POB (a modern way of describing success at work)

🚫 POB is NOT 'think positively'

- **Blind positivity**: 'Everything will be fine!'; ignores obstacles; no path for action
- **Positive OB**: 'The proposal failed. I can learn from it, find another approach and try again.'
- Acknowledges reality + builds resources → **POB = positive resources + effective action**

⚙️ How positivity works (7.1)

- Positive inputs, processes & outcomes at all **3 levels** (individual, group, organisation)
- Operates via **amplifying** (positive effects multiply), **buffering** (protects against negatives) and **positivity**
- Positivity > positive thinking: improves health, relationships, performance, career

📈 Benefits & positive deviance

- **Positive deviance** = successful performance that dramatically exceeds the norm in a positive direction
- Associated with **higher job performance, less burnout, more commitment, higher job satisfaction, fewer sick days**

🧩 Organising Framework (Fig 7.1)

- **Person factors**: emotions, mindfulness, psychological capital, signature strengths
- **Situation factors**: org culture, org climate, org values, virtuous leadership, org practices
- **Outcomes**: task performance, work attitudes, **flourishing**, physical health, OCB/CWB, turnover; team cohesion; financial performance, customer satisfaction
- Book opener: NASA InSight Lander team flourishing after landing on Mars (2018)

🇮🇳 Class situations

- **Tata Group, COVID-19 (April 2020)**: you are HR; staff anxious, operations disrupted, no one knows how long → which psychological strengths keep people performing? (HERO). Tata Trusts mobilised healthcare & community support
- **Infosys**: hybrid workforce, AI uncertainty, workload pressure → HR trained as **Mental Health First Aiders with NIMHANS**; physical, emotional, social, digital well-being initiatives → build capacity, not just reduce stress

🔗 **CASE LINKS / USE IN ANSWER:** For a 'positive culture' question: name POB (build vs fix), give 1 person factor (PsyCap) + 1 situation factor (virtuous leadership/climate) + the outcome (flourishing/PERMA). Southwest, DOR, Orix are positive-deviance stories.

Positive emotions: broaden and build

★★ IMPORTANT

📖 Book p.268-274

1 **Negative emotions NARROW your thinking; positive emotions BROADEN it, spread to others, and build lasting resources.**

2 NARROW vs BROAD



NEGATIVE emotions

- Narrow focus
- Fight/flight thinking
- Limited options

VS



POSITIVE emotions

- Broaden thinking, creativity
- Contagious → upward spirals
- Build resources over time

3 KEY POINTS

1. Need SEVERAL positives to offset one negative
2. 4 ways to raise positivity: connections, kindness, distractions, dispute negative self-talk
3. Faking happiness does NOT work

4 **IN THE EXAM:** Southwest's fun culture spreads to customers (contagion + spillover).

Positive emotions: broaden and build (full detail)

📚 FULL DETAIL

📖 Book p.268-274

📖 **BOOK DEFINITION (Ch 7 key points):** *Negative emotions cause you to narrow your focus, while positive emotions cause you to broaden your thinking. Positive emotions are contagious and can be actively increased.*

🌈 Positive emotions are resources

- Fuel individual, group and organisational success
- Build **social, psychological and physical** resources
- Combat negative emotions
- **Broaden** your mindset → open to new things
- Benefits **endure** over long periods

🔦 Negative emotions limit

- Spur you to act in **narrow, specific** ways (fight/flight)
- Useful for immediate threats, but limit options & creativity

📊 Desirable effects of positive emotions

- Organisational commitment
- Creativity
- Decision making
- (Lower) intentions to quit
- Performance
- (Lower) stress

🔄 Contagion & the positivity ratio

- Positive emotions are **contagious**: **upward spirals**; positive behaviours, feelings and attitudes feed your own and others' in a reinforcing loop
- They can offset negatives, but you need **multiple positive experiences to counter one negative**

➕ 4 strategies to increase positivity

- **1 Create high-quality connections** (co-workers, family, friends)
- **2 Cultivate kindness** (help a friend in a difficult situation)
- **3 Develop distractions** (go for a run when negativity starts)
- **4 Dispute negative self-talk** and thoughts
- Class quiz: Stanley should do all EXCEPT **fake happiness** (B)

🎉 Fun at work

- Fun boosts positivity (book: 'Boost positivity with fun')
- Southwest: mid-air wedding, paper-plane race during a delay, in-flight fashion show; Kelleher's parties & barbecues
- Fun must be authentic, not forced

🔗 **CASE LINKS / USE IN ANSWER:** Southwest: employees' positive emotions spill over to customers (ACSI 78, lowest complaints since 1987). Ch 3 link: emotions as goal-congruent. Starbucks/Uber = negative spirals.

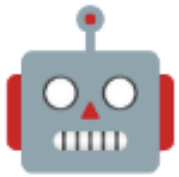
Mindfulness: attention on purpose

★ GOOD TO KNOW

📖 Book p.275-279

1 **Mindfulness = paying attention to the present moment, on purpose, without judging. It can be learned.**

2 MINDLESS vs MINDFUL



MINDLESS

- Autopilot, rigid
- Poor emotion control
- Worse health

VS



MINDFUL

- Present & non-judgemental
- Better communication
- Balanced emotions

3 KEY POINTS

1. Inhibitors: attentional deficit (can't focus), hyperactivity (racing mind)
2. Practised through simple meditation

4 **IN THE EXAM:** Supporting point for well-being questions.

Mindfulness: attention on purpose (full detail)

📚 FULL DETAIL

📖 Book p.275-279

📖 **BOOK DEFINITION (Ch 7 / class PPT):** *Mindfulness is the awareness that emerges through paying attention on purpose, in the present moment, and nonjudgmentally to the unfolding of experience moment by moment.*

🤖 MINDLESSNESS

- State of reduced attention expressed in **rigid or thoughtless** behaviour
- Typified by a failure to control emotions
- Minimal information processing; **automatic**
- Associated with poor mental and physical health

🧘 MINDFULNESS

- Paying attention **on purpose**
- In the **present** moment
- **Non-judgemental** to experience as it unfolds
- Requires **effort** (the brain drifts) and **attentional balance**
- Improves interpersonal communication

🚧 2 inhibitors

- **Attentional deficit**: inability to focus vividly on an object
- **Attentional hyperactivity**: mind racing or wandering → compulsive daydreaming or fantasising

✅ Benefits & how to build it

- Increased **physical, mental and interpersonal** effectiveness
- More effective communication
- More balanced emotions
- Personal satisfaction
- Can be **learned** through simple 'meditative' techniques practised regularly
- Class quiz: FALSE statement = 'mindfulness **decreases** the effectiveness of interpersonal communication' (B)

🔗 **CASE LINKS / USE IN ANSWER:** Use as a supporting well-being intervention (Infosys mental-health first aid, Tata COVID). Links to EI self-awareness and to R3: a mindful leader reads resistance instead of reacting.

Psychological Capital (PsyCap) = HERO

★★★ MUST KNOW

📖 Book p.280-285

1 **PsyCap is a set of 4 positive resources you can develop: Hope, Efficacy, Resilience, Optimism.**

2 HERO



H · HOPE
a goal + willpower + waypower (paths)



E · EFFICACY
'I can do this'



R · RESILIENCE
bounce back from setbacks



O · OPTIMISM
wins = mine & lasting; losses = temporary

3 KEY POINTS

1. Measurable AND developable (short training works)
2. Predicts performance & well-being
3. Optimism links to attribution (Ch 4); efficacy to expectancy (Ch 5)
4. Signature strengths: use yours daily

4 **IN THE EXAM:** Southwest: resilience after 9/11 with no layoffs; Tata built HERO during COVID.

Psychological Capital (PsyCap) = HERO (full detail)

📚 FULL DETAIL

📖 Book p.280-285

📖 **BOOK DEFINITION (Ch 7 key points):** *Psychological capital (PsyCap) consists of hope, efficacy, resilience, and optimism (HERO). Hope is not only a goal and determination, but also one or more clear paths for achieving it.*

🧭 H · HOPE

- **Willpower**: having a goal and the determination to achieve it
- **Waypower**: the means / one or more paths to the goal; see alternative paths
- Class quiz: to have hope you need **a goal and a means for achieving it** (D)

💪 E · EFFICACY

- **Confidence in your ability to do something**
- Influences how you deal with challenges and opportunities
- High efficacy → more confident & positive
- Link: expectancy (E) in Ch 5; SDT competence

🏀 R · RESILIENCE

- Capacity to **consistently bounce back from adversity** and sustain yourself in the face of challenges
- Organisations can be resilient too (book: Kaiser Permanente example)

☀️ O · OPTIMISM

- Optimists attribute **successes** to **personal, permanent, pervasive** causes and **negative events** to **external, temporary, situation-specific** causes
- Realistic and flexible, not blind; self-inspirational
- Link: attribution theory (Ch 4)

📏 Why PsyCap matters

- A person factor that is **measurable and developable** (state-like, not fixed): short training interventions raise HERO
- Predicts performance, well-being, commitment, satisfaction
- Develop: goals with multiple paths (hope), mastery experiences (efficacy), reframing setbacks (resilience, optimism)

⭐ Signature strengths

- A handful of **personal strengths** that shape your thoughts, feelings and behaviours
- Using them in everyday activities increases **engagement** (the E in PERMA)
- Class prompt: 'The HERO dimension I would develop first in an employee is ___ because...'

🔗 **CASE LINKS / USE IN ANSWER:** Tata COVID: HR builds hope (clear plans), efficacy (training for remote work), resilience (support), optimism (temporary setback). Southwest: resilience after 9/11 with no layoffs. Prudence: imposter syndrome = low efficacy.

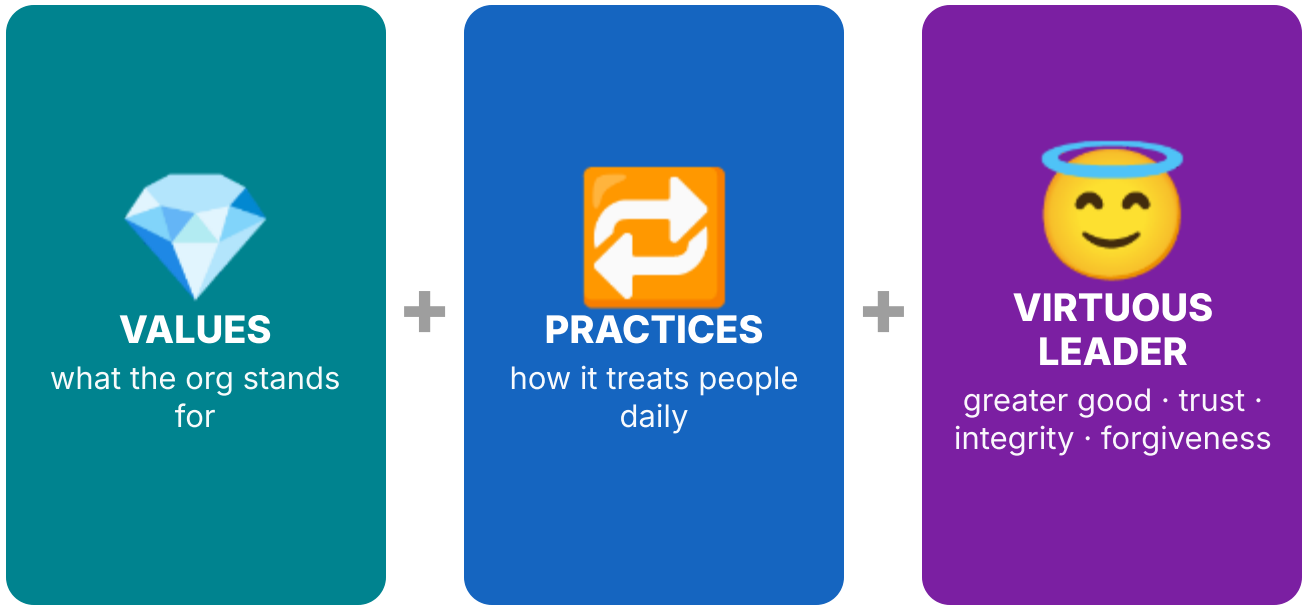
Positive climate & virtuous leadership

★★ IMPORTANT

📖 Book p.286-289

1 **A positive climate comes from 3 things: organisational values, everyday practices, and virtuous leaders.**

2 3 INGREDIENTS



3 KEY POINTS

1. Climate = how employees perceive policies & routines
2. Virtuous leadership → financial results, customer satisfaction
3. Quiz: conflict-resolution panel = restorative justice

4 **IN THE EXAM:** Kelleher (Southwest) and Krupp & Grennes (Indiana DOR) = virtuous leaders.

Positive climate & virtuous leadership (full detail)

📚 FULL DETAIL

📖 Book p.286-289

📖 **BOOK DEFINITION (Ch 7 key points):** *Organizational climate represents employees' perceptions of an organization's policies, practices, procedures, and routines. Positive climates are a function of organizational values, organizational practices, and virtuous leadership.*

🌤️ Climate vs culture

- **Climate** = how employees **perceive** policies, practices, procedures, routines ('what it feels like here')
- Culture = shared values & assumptions (R1 Schein); climate is its visible, felt surface

💎 1 Organisational values

- What the organisation stands for (e.g., compassion, integrity, forgiveness, restorative justice)
- Class quiz: a panel of managers & employees resolving conflicts = **restorative justice** (A)

🔁 2 Organisational practices

- Everyday routines that show care: recognition, development, voice, well-being support
- Examples: Southwest open books & no layoffs; Infosys mental-health first aiders; DOR listening sessions

😇 3 Virtuous leadership

- Key components: a focus on the **greater good**, **trust**, **integrity**, **forgiveness**
- Benefits: **financial performance, customer satisfaction, positive organisational climate, organisational effectiveness**

🏛️ In the cases

- **Herb Kelleher**: integrity as his most admired quality; 'value people as individuals'; cards for births, marriages, deaths; stayed out of employees' way
- 'Power should be reserved for weightlifting and boats; leadership involves responsibility'
- **Indiana DOR** (R1): leaders modelled values ('watch what we do'), fixed hygiene, recognised staff

🔗 **CASE LINKS / USE IN ANSWER:** Climate answers: values + practices + virtuous leader → positive emotions & PsyCap → flourishing → performance & customer satisfaction. Counter-examples: Uber (no integrity), Starbucks (blame).

Flourishing = PERMA

★★★ MUST KNOW

📖 Book p.290-293

1 **Flourishing is the goal of Positive OB: a life (and job) full of Positive emotions, Engagement, Relationships, Meaning and Achievement.**

2 THE PERMA FLOWER



3 KEY POINTS

1. Seligman's PERMA model
2. **Flow** = completely absorbed in an activity
3. 4 kinds of social support: esteem, informational, companionship, instrumental
4. Meaning = serving something bigger than yourself

4 **IN THE EXAM:** Map a case to PERMA: Southwest has P (fun), R (family), M (purpose), A (best service).

Flourishing = PERMA (full detail)

📚 FULL DETAIL

📖 Book p.290-293

📖 **BOOK DEFINITION (Seligman; Ch 7 key points):** *Flourishing reflects the extent to which our lives contain positive emotions, engagement, relationships, meaning, and achievement (PERMA).*

😊 P · Positive emotions

- Broaden your perspective on overcoming challenges
- Build on themselves → spread to others
- Strengthen relationships (the R)

🎧 E · Engagement

- Extent you are **physically, cognitively and emotionally** involved in an activity, task or project
- **Flow** = state of being completely involved in an activity for its own sake
- Increase it by using your **signature strengths** daily

🫂 R · Relationships & social support

- Positive emotions are linked to activities involving others
- **Social support** = perceived helpfulness from relationships; 4 types:
- **Esteem** (you are valued) · **Informational** (advice, knowledge) · **Social companionship** (belonging, doing things together) · **Instrumental** (practical help: money, time, tasks)

🧭 M · Meaning

- Sense of **belonging to and serving something bigger than yourself**
- Enhanced by doing things you value; job crafting & task significance build it

🏆 A · Achievement

- A self-directed life containing **achievement pursued for its own sake**
- Flourishing occurs when achievement is pursued for its own sake

🧩 Class exercise: match to PERMA

- Enjoys solving a challenging task → **E**
- Feels connected to colleagues → **R**
- Feels work serves a larger purpose → **M**
- Feels proud of accomplishing a goal → **A**
- Experiences gratitude and joy → **P**

🔗 **CASE LINKS / USE IN ANSWER:** Southwest: P (fun), E (empowered staff), R ('family', unions as partners), M (2013 purpose: 'connect people to what's important in their lives'), A (41 profitable years). Orix retreats & DOR turnaround also map to PERMA.

Case 6: Southwest Airlines: the story

★★★ MUST KNOW

📖 Book Case 6

1 **A low-cost airline made happy employees its competitive edge, and stayed profitable 41 years in a row.**

2 THE STORY

1	2	3	4	5
				
'Employees first, customers second'; hire for ATTITUDE	University for People; leaders grown inside	Never any layoffs; open-book finances	Fun: mid-air wedding, paper-plane races	2014: union talks stall: 'exploiting loyalty?'

3 KEY POINTS

1. Kelleher: integrity, informality, cards for births/deaths
2. Industry-leading pay ($63,752 vs Delta $42,647)
3. Customer satisfaction 2nd best; lowest complaints since 1987

4 **IN THE EXAM:** Harper's question: are the traits we hire for right for the future?

Case 6: Southwest Airlines: the story (full detail 1/2)

📚 FULL DETAIL

📖 Book Case 6

💬 **KEY QUOTE (Southwest purpose (Jan 2013), WDI case W94C04):** *We exist to connect people to what's important in their lives through friendly, reliable, and low-cost air travel.*

✈️ History & model

- Air Southwest Co. founded **1967** by Rollin King & **Herb Kelleher**; renamed 1971; first flight June 1971 with three Boeing 737-200s (still a single model)
- Losses year 1; profitable every year since **1973**: **41+ consecutive years**
- Low fares + fast gate turnaround; Dallas Love Field → ticker **NYSE: LUV**; largest US domestic carrier (2004); 96 cities, 41 states (2014)

👔 Leaders

- **Kelleher**: fun, informality, 'value people as individuals', integrity; parties & barbecues; equality at all levels; stayed out of the way; retired from 2007
- **Gary Kelly** (CEO 2008, 28-year veteran): 'Our people are our single greatest strength'; international routes; AirTran merger (fuel prices, retire 717s, drop Atlanta hub)
- Leaders promoted from entry level; Chief Executive Group 'best company for leaders' 2014

🎓 People practices

- **Employees = first customers**; customers second
- **Hire for attitude, train for skill**: group interviews, situational scenarios, 'people people'; pilots: 3 phases (HR group interview, logbook review, line-oriented interview with 2+ captains)
- 2013: 750 openings → ~10,000 applicants in 2 hrs; **100,682** résumés → **1,521** hires; **44,831** employees
- **University for People** (1986); leadership ladder Leadership 101 → MIT Level II (6 weeks); MIT costs **$25,000**/person; 193,644 pilot training hrs, 580,000+ safety hrs
- Mentors involved in goal setting

Case 6: Southwest Airlines: the story (full detail 2/2)

📚 FULL DETAIL

📖 Book Case 6

🔐 Security, transparency, empowerment

- **Never any layoffs**, even after 9/11: 'Nothing kills your culture like layoffs'
- **Open-book management** + financial education via the 'Zodiak' board game → ownership
- Empowered customer-relations specialists; **Listening Center** (2014) for employees & travellers
- **144,000** volunteer hours (~$3.2M) in 2013; 44,019 tickets donated; $780K raised

📊 Results

- ACSI **78** (2014), 2nd only to JetBlue; airline average 69
- Lowest complaints per passenger since **1987**; **zero** fatal crashes (1970–2005)
- Fortune best places to work; 76.7% on-time
- Revenue $17.7B (2013)

⚠️ Tensions & Harper's question

- **~83%** unionised; unions historically partners, but 2014 talks stalled: media say Southwest is **'exploiting loyalty'** despite record profits
- Pay already industry-leading: flight attendant **$63,752** vs Delta **$42,647**
- Social media: father & kids deplaned over a tweet about a rude Denver agent ($50 vouchers); Facebook fare sale charged some customers up to 50 times
- **Kelsey Harper** (People Dept) interviewing pilots: are the traits she hires for (the 'Southwest Way') right for the future, and will co-interviewers see candidates the same way?

🔗 **CASE LINKS / USE IN ANSWER:** Theories: POB, positive emotions & spillover, PsyCap, virtuous leadership, PERMA, Herzberg, SDT, commitment & psychological contract, POS, person–org fit, perception in interviews.

Case 6: Southwest: Positive OB answer

★★★ MUST KNOW

📖 Book Case 6

1 **Southwest wins because positive emotions, PsyCap and virtuous leadership are built into everyday practice.**

2 6 LENSES



Positive emotions
fun culture spreads to customers



PsyCap
resilience post-9/11, efficacy via training



Virtuous leadership
Kelleher's integrity & care



PERMA
relationships, meaning, achievement



Herzberg
security & pay = hygiene; recognition = motivator



Risks
union tension, social-media blunders

3 KEY POINTS

1. Reco 1: structured situational interviews (cut perception bias)
2. Reco 2: hire for PsyCap & EI, not just 'fun'
3. Reco 3: fair, transparent union talks (procedural justice)
4. Reco 4: social-media & de-escalation training

4 **IN THE EXAM:** One paragraph per box: theory → Southwest fact → so what.

Case 6: Southwest: Positive OB answer (full detail 1/2)

📚 FULL DETAIL

📖 Book Case 6

💬 **KEY QUOTE (Herb Kelleher, Case 6):** *Nothing kills your [organizational] culture like layoffs.*

🌈 Positive emotions & contagion

- Fun culture, humour and celebrations (mid-air wedding, paper planes) spread to customers
- Spillover → customer satisfaction (ACSI 78, lowest complaints)

🦸 PsyCap (HERO)

- **Efficacy** via University for People & training
- **Hope** via clear purpose & visible career ladders
- **Resilience** after 9/11 without layoffs
- **Optimism**: 41 profitable years in a cyclical industry

😇 Virtuous leadership & climate

- Kelleher's integrity, care, trust; leaders stay out of employees' way (greater good)
- Positive climate = simple values + practices: no layoffs, open books, empowerment, volunteering

🌻 PERMA & other theories

- Engagement, relationships ('family', unions as partners), meaning (2013 purpose), achievement
- **Herzberg**: security & pay = hygiene; recognition, growth = motivators · **SDT** autonomy, competence, relatedness
- **Expectancy**: profit-sharing ($544M in 2018) = clear instrumentality · **POS & psych. contract**: no-layoff promise
- Hire for attitude = **person–org fit** → commitment, OCB (144,000 volunteer hrs), low turnover

Case 6: Southwest: Positive OB answer (full detail 2/2)

📚 FULL DETAIL

📖 Book Case 6

⚠️ Risks to diagnose

- Union stalemate → perceived **exploitation of loyalty** = psychological-contract breach risk; equity comparisons with record profits
- 'Hire for attitude' relies on **subjective perception** → halo, similar-to-me bias, inconsistent co-interviewers (Harper's worry)
- Social-media incidents show empowerment without guidance can backfire

✅ Recommendations

- **1** Structured, situational interviews with behavioural anchors for 'Southwest Way' traits + technical panel scoring → reduce perception bias
- **2** Hire for **PsyCap & EI** (resilience, empathy, efficacy), not just 'fun'; future-proof the trait list
- **3** Protect culture in union talks: transparent, fair process (**procedural & interactional justice**), share data openly (open books)
- **4** Social-media guidelines + de-escalation training; keep empowerment with clear boundaries
- **5** Measure: engagement, PERMA/PsyCap surveys, ACSI, turnover, complaint ratio

🔗 **CASE LINKS / USE IN ANSWER:** Answer shape: problem (sustain culture under union & growth pressure; choose right hires) → 3–4 theories each tied to a fact → recommendations → measures. Contrast with Starbucks (culture lost) and Orix (culture vs pay).

Theory finder: which theory for which question?

★★★ MUST KNOW

1 **Spot the PROBLEM type in the case, then grab the matching theories.**

	If the question is about...	...use these theories	Book pages
😴	**Low effort / disengaged staff**	Herzberg · SDT · Expectancy · JCM	**p.174, 173, 183, 193**
🚪	**People quitting / turnover**	Job satisfaction causes · commitment · McKinsey	**p.60, 54, 68**
💸	**Pay / reward dispute**	Equity · Justice · Expectancy · Herzberg	**p.178, 180, 183, 175**
🙈	**Bias in hiring / promotion**	Perception · implicit bias · stereotypes	**p.126, 131, 133**
👉	**Manager blames someone**	Kelley attribution · FAE	**p.135, 137**
🔄	**Resistance to change**	R3 · emotions (anger/fear) · justice	**R3, p.113, 180**
🎯	**Targets → cheating**	Table 1.2 ethics · goal-setting risks	**p.18, 188**
☠️	**Toxic boss / culture**	EI · Starbucks · R1 Schein · POB	**p.105, R1, p.289**
🌱	**Well-being / culture of positivity**	PsyCap HERO · PERMA · virtuous leadership	**p.280, 290, 289**

EXAM TOOLKIT

All 7 cases & readings on one page

★★★ MUST KNOW

1 **Each case has 2–4 'home' theories. Learn this page and you'll never be stuck.**



R1 Indiana DOR

Culture turnaround without pay

Schein · Pfeffer · Herzberg · POB



R2 Carucci

Destructive habits have origin stories

Emotions · behavioural problems



R3 Carucci

Resistance = data

Emotions · attribution · justice



C7 Prudence

Gender barriers 'maze'

Stereotypes · attribution · emotions



C8 Yelp

Bias in tech hiring

Perception · implicit bias · stereotypes



C5 Orix

Culture vs pay

Herzberg · SDT · equity · expectancy · i-deals



C6 Southwest

People-first airline

POB · PsyCap · PERMA · virtuous leadership

Theory × case matrix: which lens for which case?

★★★ MUST KNOW

1 **Find the case's column: use every ●● theory, add ● ones if time allows.**

Theory / concept	R1 DOR	R2 Andy	R3 Resist.	C5 Orix	C6 SWA	C7 Prudence	C8 Yelp	Starbucks	Infosys / Jet
3-step + Organizing Framework	●●	●	●	●●	●	●	●●	●●	●
Ethics (Table 1.2 causes)	●						●		●
Values / P-O fit / culture	●●			●●	●●	●	●		●●
Commitment, engagement, POS	●●		●	●●	●●	●	●	●●	●●
Job satisfaction causes & outcomes	●			●●	●	●		●	●●
EI & emotions	●	●●	●●		●	●●		●●	
Perception / stereotypes	●	●	●		●	●●	●●	●	
Attribution (Kelley, FAE)		●	●●			●●	●	●	
Content theories (Maslow, Herzberg, McClelland, SDT)	●●			●●	●●			●	●
Equity / justice			●●	●●	●	●	●●	●	●●
Expectancy / goal setting	●			●	●			●	
Job design / crafting / i-deals	●			●●	●	●			
POB: PsyCap, PERMA, virtuous leadership	●●	●		●	●●	●			●

●● = core lens · ● = supporting lens · Starbucks & Infosys/Jet Airways are the class/book examples.

Worked answer: 'Should Orix keep putting culture before pay?'

★★★ MUST KNOW

📖 Book Case 5

1 **Copy this SHAPE: problem → theory + fact (×2–3) → recommendations + measure.**

1 PROBLEM	The core problem at Orix is how to keep employees engaged and fairly rewarded as it scales: 65% want a raise, and customised deals may start to feel unfair.
2a THEORY + FACT	Herzberg (p.175): Orix keeps pay at industry average (a hygiene factor), which prevents dissatisfaction, while retreats, growth and autonomy act as motivators that create satisfaction.
2b THEORY + FACT	Equity theory (p.178): because extras are negotiated individually, employees will compare outcome/input ratios. As the firm grows, unequal i-deals risk perceived inequity.
3 RECOMMEND	I recommend Orix (a) benchmark base pay to market, (b) publish clear rules for i-deals with an appeal route (procedural justice, p.180), and (c) keep retreats. Success = engagement scores and voluntary exits.

Likely questions & answer skeletons (1/2)

★★★ MUST KNOW

1 Write each paragraph as: theory (with page) → case fact → so-what/action.

Q1 Orix: should Ramnath keep putting culture before pay?	**Herzberg** (pay = hygiene; retreats = motivators) + survey shows pay valence rising → **equity** risk from customised comp → recommend market-benchmarked pay + transparent i-deal rules & appeals (**procedural justice**) + keep O-Code & retreats; measure engagement & exits.
Q2 Do motivation theories explain real organisations? (session question)	Partly: Maslow's ladder weakly supported; Herzberg critiqued (REI); **expectancy & goal setting** strongly supported. Show with Orix, DOR, Southwest that combining theories works best → 'motivation is a system'; diagnose before prescribing.
Q3 Diagnose Yelp's diversity problem and recommend	**Perception** stages + **implicit cognition** + **stereotypes** in résumé screens, voice screens and 'culture fit' interviews; homogeneous 'Stoppelgangers' → structured interviews, blind early screens, diverse trained panels, ERGs & inclusion, funnel data by stage.
Q4 Explain Prudence's barriers using OB concepts	Gender **stereotypes** & double bind (p.133) · **fundamental attribution bias** about motherhood (p.137) · negative **emotions** & imposter syndrome (low efficacy) · values conflict → flexible work without penalty, sponsorship, objective appraisal, stereotype training.

Likely questions & answer skeletons (2/2)

★★★ MUST KNOW

1 **Nine questions cover almost every case the exam can throw at you.**

Q5 Is job satisfaction a reality or a workplace myth?	**Reality**: measurable (JDI, MSQ), 5 causes, correlates with OCB, CWB, turnover, customer satisfaction (spillover). Nuance: only moderate link to performance; McKinsey shows it is **relational** (valued, belonging) more than pay. DOR proves it without raises.
Q6 How did Indiana DOR transform its culture?	Schein's 3 levels (artifacts, espoused values, assumptions) + Pfeffer's people practices + adaptive (Heifetz) change + virtuous leadership → engagement & Top-100 workplace. Lessons: listen, fix hygiene, model values, recognise.
Q7 Southwest: role of Positive OB in performance	Positive emotions & contagion → customer satisfaction; **PsyCap** (resilience post-9/11); virtuous leadership (Kelleher); no layoffs & open books → POS; risks: union 'exploiting loyalty', biased 'attitude' hiring, social-media blunders.
Q8 A manager labels resistant staff 'difficult'. Advise.	**R3**: resistance = data (loss, anxiety, lack of control, flaws) · avoid FAE, personalising & moralising · voice & **procedural justice** · **EI** empathy · then 'hold the line' on behaviour.
Q9 Why do good people act unethically? (Bank of Baroda, Satyam)	**Table 1.2**: ill-conceived goals, motivated blindness, indirect blindness, slippery slope, overvaluing outcomes + pressure & rewards (expectancy, goal-setting risks) → realistic goals, reward the process, whistle-blowing, ethical climate.

Compare & contrast in one line each

★★ IMPORTANT

1 **'Distinguish between X and Y' questions: give this one line, then one example each.**

Values vs attitudes	⚖️	global & stable vs specific & changeable
Content vs process	⚖️	WHAT needs drive us vs HOW we choose effort
Maslow vs Herzberg	⚖️	5-step ladder vs 2 separate scales
McClelland vs SDT	⚖️	learned needs vs innate needs
Equity vs expectancy	⚖️	fair compared to others? vs worth the effort?
Distributive / procedural / interactional	⚖️	fair outcome / process / treatment
Enlargement vs enrichment	⚖️	more tasks (horizontal) vs more responsibility (vertical)
OCB vs CWB	⚖️	voluntary help vs deliberate harm
FAE vs self-serving bias	⚖️	blame others' traits vs credit myself
Anger vs fear	⚖️	looks back vs looks forward
Traditional OB vs POB	⚖️	fix weaknesses vs build strengths

Last look before the exam: 10 lists worth knowing

★★ IMPORTANT

1 **These lists are in the book, but knowing them by heart saves you flipping time.**

Ethics causes (5)	goals · motivated blindness · indirect blindness · slippery slope · overvaluing outcomes
4 workplace attitudes	commitment · engagement · POS · satisfaction
Kelley → PERSON	low consensus · low distinctiveness · high consistency
Expectancy	E × I × V: any zero = no motivation
HERO	hope · efficacy · resilience · optimism
Job-sat causes (5)	needs · expectations · values · equity · disposition
EI (4)	self-aware · self-manage · social aware · relationships
SDT (3)	competence · autonomy · relatedness
JCM (5)	variety · identity · significance · autonomy · feedback
PERMA	positive emotions · engagement · relationships · meaning · achievement